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The European Bathroom & Kitchen Product Markets

- 2020 Edition -

Ukraine

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Table of Contents

The Ukrainian Bathroom Market

I.0	Introduction : Bathroom & Kitchen	
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Background : Ukraine - Bathroom

II.0	UA - Background	11
II.1	Background : Overview	12
II.2	Key Figures	14
II.3	Macroeconomic Trends and Forecasts	14
II.4	Historical and Current Exchange Rates	15
II.5	New Dwelling Construction	16
II.6	Dwelling Stock by Type and Tenure	17
II.7	Overview of Impact of COVID-19 on Forecasts	18

Distribution : Ukraine - Bathroom

III.0	UA - Distribution	19
III.1	Distribution : Overview	20
III.2	Summary of Leading Distributors	26

Baths and Shower Trays - Ukraine

1.0	UA - Baths and Shower Trays	27
1.1	Market Overview : Baths and Shower Trays	28
1.2	Historical Trends and Forecasts	36
1.3.1	Prices and Market Values : Baths and Shower Trays	37
1.3.2	Price Segmentation : Cast Iron Baths	38
1.3.3	Price Segmentation : Steel Baths	39
1.3.4	Price Segmentation : Synthetic Baths	40
1.3.5	Price Segmentation : Hydromassage Baths	41
1.3.6	Price Segmentation : Ceramic Shower Trays	42
1.3.7	Price Segmentation : Steel/ Cast Iron Shower Trays	43
1.3.8	Price Segmentation : Synthetic Shower Trays	44
1.4.1	End Use : Base Year	45
1.4.2	End Use : Historical and Forecasts	46
1.4.3	Sales by Type : Baths	47
1.4.4	Sales by Shape : Shower Trays	48
1.4.5	Sales by Material : Synthetic Baths	49
1.4.6	Sales by Material : Synthetic Shower Trays	49

1.5.1	Market Shares : Cast Iron Baths	50
1.5.2	Market Shares : Steel Baths	50
1.5.3	Market Shares : Synthetic Baths	51
1.5.4	Market Shares : Hydromassage Baths	51
1.5.5	Market Shares : Steel / Cast Iron Shower Trays	52
1.5.6	Market Shares : Synthetic Shower Trays	52
1.6.1/2	Route to Market : Baths	53
1.6.3/4	Consolidated View : Baths	54
1.6.5/6	Route to Market : Shower Trays	55
1.6.7/8	Consolidated View : Shower Trays	56
1.7	Market Revision : Baths and Shower Trays	57

Sanitary Ware - Ukraine

2.0	UA - Sanitary Ware	58
2.1	Market Sector Overview : Sanitary Ware	59
2.2.1	Historical Trends and Forecasts : Sanitary Ware	65
2.2.2	Historical Trend and Forecasts: Installation Mod.	66
2.3.1	Prices and Market Values : Sanitary Ware	67
2.3.2	Prices and Market Values by Type : CSW	68
2.3.3	Prices and Market Values by Type of Rim : WCs	69
2.3.4	Prices and Market Values by Type : Conc. Cisterns	70
2.3.5	Prices and Market Values : Non-Ceramic Washbasins	71
2.3.6	Price Segmentation : WCs	72
2.3.7	Price Segmentation : Ceramic Washbasins	73
2.3.8	Price Segmentation : Concealed Plastic Cisterns	74
2.3.9	Price Segmentation : Exposed Plastic Cisterns	75
2.3.10	Price Segmentation : Non Ceramic Washbasins	76
2.4.1	End Use : Base Year	77
2.4.2	End Use : Historical and Forecasts	78
2.5.1	Market Shares : All Ceramic Sanitary Ware	79
2.5.2	Market Shares : WCs	79
2.5.3	Market Shares : Ceramic Washbasins	80
2.5.4	Market Shares : Other Ceramic Sanitary Ware	80
2.5.5	Market Shares : Concealed Plastic Cisterns	81
2.5.6	Market Shares : Exposed Plastic Cisterns	81
2.6.1/2	Route to Market : Ceramic Sanitary Ware	82
2.6.3/4	Consolidated View : Ceramic Sanitary Ware	83

2.6.5/6	Route to Market : Plastic Cisterns	84
2.6.7/8	Consolidated View : Plastic Cisterns	85
2.7	Market Revision : Sanitary Ware	86
Taps and Mixers - Ukraine		
3.0	UA - Taps and Mixers	87
3.1	Market Sector Overview : Taps and Mixers	88
3.2	Historical Trends and Forecasts : Taps and Mixers	94
3.3.1	Prices and Market Values : Taps and Mixers	95
3.3.2	Prices and Market Values by Type : Taps & Mixers	96
3.3.3	Price Segmentation : Bath Taps and Mixers	97
3.3.4	Price Segmentation : Bidet Taps and Mixers	98
3.3.5	Price Segmentation : Kitchen Taps and Mixers	99
3.3.6	Price Segmentation : Shower Taps and Mixers	100
3.3.7	Price Segmentation : Washbasin Taps and Mixers	101
3.4.1	End Use : Base Year	102
3.4.2	End Use : Historical and Forecasts	103
3.4.3	Sales by Type and Application : Taps and Mixers	104
3.4.4	Sales by Type of Finish : Taps and Mixers	105
3.4.5	Sales by Type of Installation : Taps and Mixers	106
3.4.6	Sales by Type of Mounting : Taps and Mixers	107
3.5	Market Shares : Taps and Mixers	108
3.6.1/2	Route to Market : Taps and Mixers	109
3.6.3/4	Consolidated View : Taps and Mixers	110
3.7	Market Revision : Taps and Mixers	111
3.8	Historical Trends and Forecasts : Flushing Valves	112
Shower Wall - Ukraine		
4.0	UA - Shower Wall	113
4.1	Market Sector Overview : Shower Wall	114
4.2	Historical Trends and Forecasts : Shower Wall	119
4.3.1	Prices and Market Values : Shower Wall	120
4.3.2	Price Segmentation : Bath Screens	121
4.3.3	Price Segmentation : Conventional Shower Cubicles	122
4.3.4	Price Segmentation : Hydrotherapy Shower Cubicles	123
4.3.5	Price Segmentation : Shower Enclosures	124
4.4.1	End Use : Base Year	125
4.4.2	End Use : Historical and Forecasts	126

4.4.3	Sales by Type : Bath Screens	127
4.4.4	Sales by Type : Shower Enclosures	127
4.4.5	Sales by Type of Door : Shower Enclosures	128
4.5.1	Market Shares : Bath Screens	129
4.5.2	Market Shares : Conventional Shower Cubicles	129
4.5.3	Market Shares : Hydrotherapy Shower Cubicles	130
4.5.4	Market Shares : Shower Enclosures	130
4.6.1/2	Route to Market : Shower Wall	131
4.6.3/4	Consolidated View : Shower Wall	132
4.7	Market Revision : Shower Wall	133

Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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UKRAINE

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Ukraine, the largest country to lie fully in Eastern Europe, covers a total area of 603,700 km². The country has land borders with several states of the former Soviet Union (Russia, Belarus and Moldova) and countries of Eastern Europe (Poland, Hungary, Slovakia and Romania), and has a southern coastline on the Black Sea. Ukraine is divided into 24 'oblasts' (regions), as well as the city of Kiev, which has a special status. Each region is further subdivided into 'raions' (districts). The state administration in the regions is headed by a governor, who is appointed by the president.

Located in the central part of the northern temperate zone, Ukraine has a moderate continental climate with four distinct seasons. The southern coast of Crimea has a Mediterranean climate. The yearly average temperature in Kiev is 7.2°C. The coldest month is January, averaging a temperature of -5°C, and the hottest month is July with an average temperature of 20°C.

According to the State Statistics Service of Ukraine, the total population was 42.4 million (this figure includes only population in the Ukraine-controlled territories) as of 2019 and current indications expect a demographic decline up to 2021. The capital city is Kiev, which had a population of 2.8 million in 2019. The data is excluding the Autonomous Republic of Crimea. There are four other cities with a population of over one million people, namely Dnepropetrovsk, Donetsk, Kharkov and Odessa. In western Ukraine, Lvov is the regional centre, with a population of around 800,000. Despite the increasing urbanisation of Ukraine, all major urban centres have seen a fall in their population since 1989 except for Kiev. In total, about 69.4% of Ukrainians live in urban areas, with the densest proportion of urban populations being found in the industrial east (84%) and the lowest in western Ukraine (50%). What is peculiar in Ukraine is that almost 55% of the urban population lives in small cities with up to 50,000 inhabitants and in big cities with more than one million inhabitants.

Macroeconomic Overview

The GDP increased in 2019 with a similar growth rate when compared to 2018. The growth was driven by agricultural, trade, food service, manufacturing, and construction sectors. Household consumption and real wages also recorded a positive trend. However, the current growth level is not enough to improve the quality of life in the country and higher growth rates are required, which should be supported by anticorruption, the land market, the financial sector, privatisation and investment reforms. Investment in the agricultural sector has been held back by a lack of transparency and a moratorium on agricultural land sales. The fiscal deficit has increased, due to higher public service wages and spending on social programmes.

Ukraine's GDP declined in the first half of 2020 due to the COVID-19 crisis. It was the first fall since 2015. Presidential elections in March 2019 and Parliamentary elections in autumn created a sense of uncertainty in the market last year. The previous President Poroshenko lost and investors were awaiting to see where the new President Zelensky would take the country. Investment remained under pressure due to difficult external conditions, election-related uncertainties and the resulting high cost of external borrowing. Russia used to be Ukraine's largest trading partner; however, the imposed sanctions from both sides following the conflict in Eastern Ukraine led to severe economic disruptions in the country. In January 2016 a free trade agreement between the EU and Ukraine entered into force, which caused the country to lose its preferential access to the Russian market. Reduced military clashes in eastern Ukraine and a stabilisation of the exchange rate are contributing to an improvement in economic indicators. The political environment, despite the country's corruption problems, seems to be stabilising as well. The IMF demands austerity and structural reforms, such as stamping out Ukraine's chronic corruption, reforming public procurement and lowering pensions. The current ceasefire in the Donbas region remains fragile, however. Ukraine has mature agricultural and industrial sectors which make its economy strong and healthy, but dependence on steel exports and natural gas imports makes it vulnerable to global financial turmoil and Russian pressure.

Residential Construction

New Housing

According to the latest statistics, 900,000 families are in a queue for apartments. The government is not capable of fulfilling this demand with its current resources. Residential construction activity has remained feeble in recent years due to limited mortgage lending and the devaluation of the national currency, as personal savings have now emerged as the main source of housing finance. As many families lost homes during the war, this created significant demand for new housing in the more secured western and central parts of Ukraine. As a result, construction increased again in 2019. The average size of newly registered homes decreased, as investors continued to prioritise the development of smaller, more affordable dwellings. In addition, construction companies managed to decrease construction costs. People who had savings started to invest in real estate (purchasing flats as a safe investment) in order to preserve money from further devaluation. According to the State Statistics Service of Ukraine, completions increased in 2019 to almost 126,000 dwellings.

Non-Residential Construction

Non-residential construction picked up in 2019 despite an uncertain economic situation. Non-residential construction increased by almost 34% and civil engineering by 32%. The trend continued in 2018 and 2019.

II.2 Key Figures

UA - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

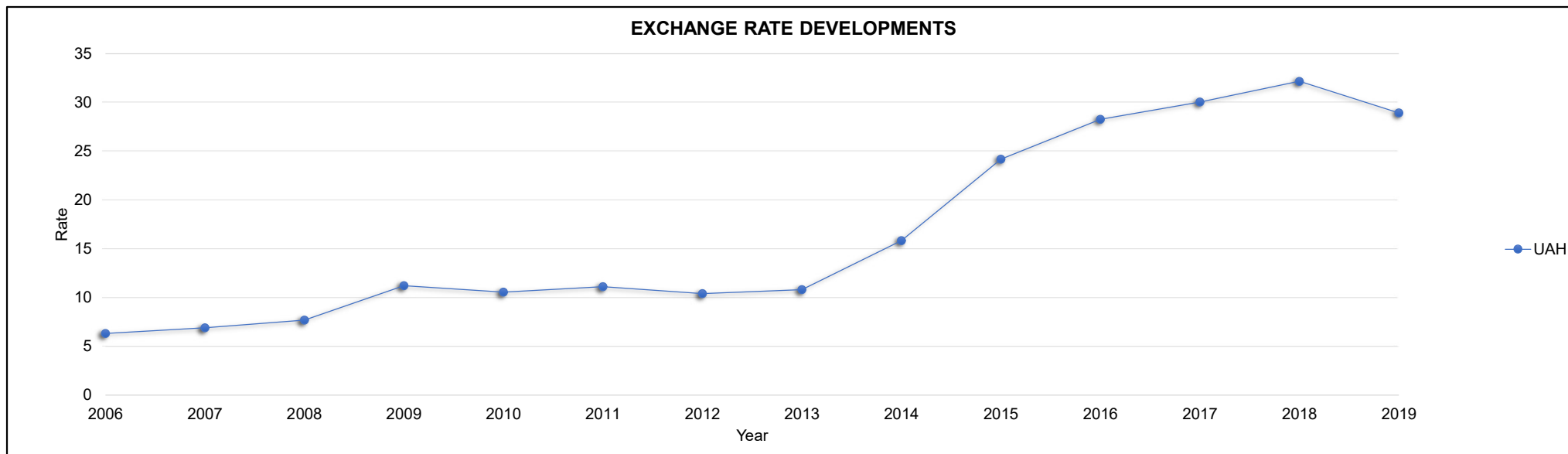
UA - KEY MACROECONOMIC INDICATORS

Value	Year																			
Category	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	0.76	5.21	9.04	13.52	9.08	12.84	25.20	15.90	9.37	7.96	0.57	- 0.26	12.10	48.68	13.91	14.44	10.95	7.89	4.52	7.18
GDP (% change)	5.34	9.50	11.80	3.10	7.60	8.20	2.20	- 15.10	4.10	5.47	0.24	- 0.03	- 6.55	- 9.77	2.44	2.53	3.28	3.17	- 7.73	3.57
Government Balance (% of GDP)	- 1.77	- 0.89	- 4.42	- 2.28	- 1.37	- 1.97	- 3.14	- 6.27	- 5.77	- 2.76	- 4.31	- 4.78	- 4.46	- 1.16	- 2.23	- 2.19	- 2.15	- 2.05	- 8.21	- 5.25
Unemployment Rate (%)	9.63	9.06	8.59	7.19	6.81	6.35	6.36	8.84	8.10	7.86	7.53	7.17	9.28	9.14	9.45	9.65	9.00	8.53	10.05	9.32

Source : IMF

N.B. No data available beyond 2021 at the time of publication.

II.4 Historical and Current Exchange Rates
 UA - EXCHANGE RATES : HISTORICAL AND CURRENT

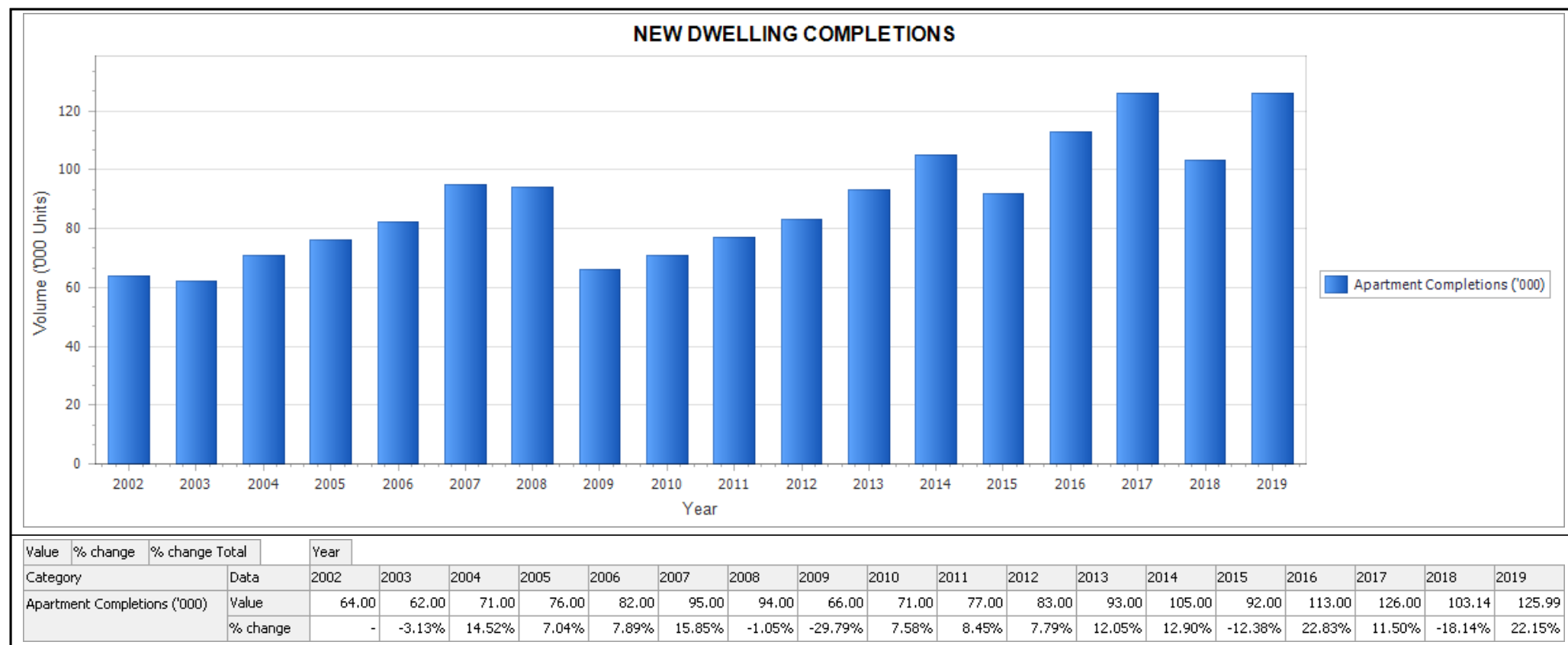


Local Currency	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / UAH	6.3264	6.8959	7.6907	11.22	10.56	11.12	10.39	10.83	15.83	24.19	28.29	30.06	32.17	28.94
% change	-	9.00%	11.53%	45.95%	-5.94%	5.33%	-6.56%	4.22%	46.22%	52.77%	16.93%	6.26%	7.01%	-10.03%

Source: OANDA
 The Ukrainian Hryvnia (UAH) is the Currency of Ukraine. The Exchange Rates Shown are the UAH to the EUR.

II.5 New Dwelling Construction

UA - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
 UA - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments ('000)	11 784.94
	Houses : Rural (%)	25.95
	Houses : Rural ('000)	4 408.06
	Houses : Urban (%)	4.67
	Houses : Urban ('000)	794.00
Dwelling Stock by Tenure	Primary Owned (%)	83.24
	Primary Owned ('000)	14 140.47
	Primary Rented : Private (%)	10.27
	Primary Rented : Private ('000)	1 744.97
	Secondary (%)	6.48
	Secondary ('000)	1 101.56

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts
UA – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the Lock Down [expected start of easing]	Lockdown started on 18 March 2020. Borders closed on 28 March 2020. Some lockdown measures have been eased from 25 May 2020 onwards, but most of them were in place until 22 June 2020. However, the epidemiological situation varies in different regions. Therefore, different measures and stages are in place in each region.
Number of officially confirmed cases to date	As of 21 July 2020: 60,166 total cases; 1,518 deaths. Total population: 43.7 m
General measures in place to support the economy	There is a moratorium on banks charging any penalties, fines, increased interest rates on consumer loans. State supervision on the economic activity has been restricted.
Statistics on affected individuals	N/A
Measures in place to mitigate economic impact on INDIVIDUALS	From April, the government pays an additional UAH 1,000 to those having a pension of less than UAH 5,000; from May 2020, pensions are indexed. In March the government of Ukraine approved a law which introduces the concept of remote work and compensation to the employees who lost their work due to the coronavirus infection. Wage supplements of up to 200% were introduced for healthcare workers. 140,000 employees lost their jobs in April. The government allocated UAH 6 bn to support people who lost their jobs due to the crisis.
Statistics on affected companies	N/A
Specific measures affecting CONSTRUCTION	N/A
Measures in place to mitigate economic impact on COMPANIES	Various tax breaks and benefits were introduced for businesses. The government allocated funds to provide low interest rate loans to small businesses.
Support measures from international organisations (EU, IMF, World Bank, other)	The World Bank's approved USD 150 m for the Social Safety Nets Modernization Project to provide assistance for low-income families in Ukraine. USD 50 m will be used for emergency response to the COVID-19 pandemic. The European Commission approved EUR 190 m in support. Ukraine should receive from the IMF USD 5 bn to fight the COVID-19 crisis.

Sources:

- <https://home.kpmg/xx/en/home/insights/2020/04/ukraine-government-and-institution-measures-in-response-to-covid.html>
- <https://hvyly.net/news/207425-lyashko-nazval-novuyu-datu-prodleniya-karantina-v-ukraine>
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- <https://www.worldbank.org/en/news/press-release/2020/04/30/world-bank-steps-up-support-to-ukraine-to-help-protect-poorest-most-vulnerable>
- <https://www.euneighbours.eu/en/east/stay-informed/news/eu-support-volunteers-ukraine-during-covid-19-outbreak>
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UKRAINE

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The following developments have taken place in the overall distribution of bathroom products in recent years, with the following features:

There are not many players on the market with national scope. Some distributors have a strong regional presence;

Most suppliers are concentrated in the big cities such as Kiev, Dnipropetrovsk and Odessa, with the largest companies sometimes opening shops in other cities or towns, but regions and rural areas are under-represented;

A large number of small imports, including grey imports, are coming from Poland, the Czech Republic and Slovakia. Even very small retailers often import small quantities from wholesalers in Eastern Europe. Poland has become a wholesale hub, and many companies import products from Polish wholesalers rather than purchase directly from manufacturers;

The amount of ad hoc importing and distribution is decreasing, as bathroom products are normally bulky and require a warehouse or a store for the product to be sold effectively as well as a permanent relationship with suppliers;

Several large distributors have started to expand to other businesses besides bathroom, neglecting their core bathroom products businesses;

The 2014-2015 political-economic situation changed the shape of the market, putting additional pressure on all distribution levels. Lower taxation rates prompted many players to enter online sales business by 2016-2017; the COVID-19 crisis boosted online sales in 2020;

Some large wholesalers are trying to develop own retail networks.

It is expected that the distribution environment will continue to develop and become more structured in the long term. Large scale importers and more specialised companies should grow to make Ukrainian distribution similar to that of other European countries. Foreign manufacturers and DIY stores should play a crucial role in transforming the Ukrainian distribution environment, as most Ukrainian companies have failed to successfully adapt to market conditions. The current sluggish economy is likely to drive weak or highly leveraged companies from the market.

Western companies have appreciated the high degree of grey imports in Ukraine and, in order to not be involved in imports and remain competitive, have outsourced importing and distribution functions to local companies. Western companies with smaller sales do not have local offices and usually work with one or several distributors, depending on the sales volume and value. The manufacturers with

significant sales have office in Ukraine, like GEBERIT, CERSANIT and VILLEROY & BOCH.

Ukrainian manufacturers have two types of distribution systems. In the first case, the factory directly sells goods to wholesalers and dealers. In the second case, they have their own trade houses and only supply trade houses that act as exclusive wholesalers.

The COVID-19 crisis may cause a chain reaction of non payments in the distribution chain as some companies may experience problems with liquidity or even go bankrupt. Due to fear of uncertainty, some companies are moving away from deferred payments and are asking for prepayment of goods. This may affect the supply chain and lead to a shortage of goods.

Wholesale Level

The number of powerful incumbent national players is small, with many small and medium sized companies involved in importing and wholesaling. The share and influence of the national players fluctuates, depending on the economic cycle. Some large players were weakened by the economic and political turmoil in 2014-2016 and 2020.

Importers usually have a network of companies involved in the importing function. These companies are often not legally directly connected to the main company. Therefore, even though business is centrally managed, distribution and finances are legally fragmented to decrease business risks and make the business more tax efficient. Currently there is a clear preference towards wholesaling, which accounts for a high proportion of turnover. Usually, wholesalers distribute several product groups. They offer a few brands in each product group if they have exclusivity. Otherwise, wholesalers distribute several brands per product. In order to be competitive, wholesalers offer wide ranges of products in several sectors, such as plumbing and bathroom; plumbing, bathroom and heating; and bathroom and heating.

Previously, manufacturers preferred to work with one wholesaler. However, in order to decrease risk and increase price competition, larger manufacturers are moving to a multi-distributor system. As a result, wholesale margins have come under pressure and, in order to compensate for losses, some wholesalers have increased their portfolios of products/brands or developed retail businesses.

At the primary stage, the main channels of distribution are importers/wholesalers and, in certain cases, representative offices of foreign suppliers (some of them being involved in import and distribution, while others are limited to only representative functions). These companies supply directly to new build (construction contractors and big installers), smaller retailers and wholesalers, and DIY retailers, and also sell through their own retail outlets.

The main method of distribution now is to set up a dealer network across the country. There are three/four main steps in the distribution chain: manufacturers, subsidiary offices/large importers, dealers (small wholesalers)/installers/retailers, and final consumers.

There can also be another level in the distribution chain, if small wholesalers (dealers) sell to retail outlets before the products reach the end consumer. This is more usual with water heaters. However, there are exceptions when local wholesalers import bathroom products from Polish wholesalers instead of working directly with manufacturers. This is a frequent case in western Ukraine.

Some companies bypass the large importer/distributor stage and sell directly to a number of companies that offer installation services. This is also the approach taken by domestic manufacturers: sell directly to the dealer network, reducing the distribution chain to two main levels.

Dealers (wholesalers) buy their products from importers (usually large wholesalers) and sell to shops, construction companies, and end users. Dealers are both companies specialising in bathroom products and non-specialist companies.

At present, there are three general types of distribution companies: those supplying directly to the clients in the construction sector; companies specialising in supplying government projects; and companies mainly involved in retail, installation, and servicing activities.

It should be noted that the more structured distribution systems in Western Europe, with separate functions for each organisation in the distribution chain, do not really exist in Ukraine. The dealers can have a variety of functions. While these companies are normally small wholesalers, they can also be involved in importing, wholesaling (selling in large bulk quantities), operating as merchants (selling to builders or installers), retailing (selling to the private consumer), and installation.

While many distributors are actually importers as described above, the companies could be grouped by the range of suppliers they work with, which vary by: price (economy, middle and high end); sourcing country; and size of the companies (present in only one city, or having shops and representatives in several cities or throughout Ukraine).

Some distributors sell mainly Ukrainian-made products, while the majority of large distributors sell mainly imported or mixed goods. Some of the smaller distributors specialise in importing products from various producers from the same country, while larger distributors specialise in importing well-known brand names. Only large wholesalers have private labels, but sales are still insignificant. Only a few wholesalers have private bathroom labels in Ukraine: AGROMAT has DEVIT and PRIMERA brands and ANTEY has VOLLE brand.

The largest wholesaler in Ukraine is believed to be AGROMAT, followed by ANTEY, AKVADEMI, WIZARD, and GAYZER. In addition, construction companies

often function as importers, sourcing products such as baths and ceramic sanitary ware. Some distributors have their own specialist retail outlets; the most common for bathroom products are known as the 'salon santekhniki' (bathroom products and other building product shops). The leading European manufacturers' products tend to be highly visible in these shops, often sold alongside Ukrainian-made products. A remarkable feature of bathroom product distribution is the extent of unofficial or undeclared importing coming from Poland, Hungary, China, and Turkey. This is often done by smaller companies or individual traders, which purchase small volumes from wholesalers in these countries then transport them back to Ukraine by rail or road.

Wholesalers and dealers have started to decrease warehouse stocks and release cash from turnover in order to better cope with financial difficulties. Every link in the distribution chain tries to increase its influence, optimise finances, and make the chain shorter. Wholesalers try to sell directly to end users.

Retail Level

DIY Retailers

The Ukrainian DIY market is rather underdeveloped and does not exist in the same sense as in most of Europe. The selection of goods is comparable to that of Western European outlets. Upmarket goods are sold in specialist shops and showrooms. EPICENTR is the most powerful and fastest-growing player, now operating nearly 61 stores all over Ukraine. In 2013, DRAGON CAPITAL, the owner of EPICENTR, acquired the NOVA LINIA chain. The chain was not rebranded and operated 14 stores in 2019.

A new trend in the market is the expansion of successful retail distributors from Ukraine and Eastern Europe. ROMSTAL, the Romanian heating and plumbing distributor, opened its first retail outlet in Kiev in 2004. The company distributes some products under its own brand (ROMSTAL). It is believed to be the only retailer with private labels to be operating in Ukraine.

BUDMAX remains one of the biggest market players in terms of the number of stores in Ukraine, although it has closed a number of outlets in recent years.

LEROY MERLIN is the last market entrant, with five stores in Ukraine in 2019.

Specialist/Other Retailers

The retail segment was severely affected by the political turmoil in 2014-2016 and the COVID-19 crisis in 2020. Similar to the DIY sector, some retailers were driven out of business. Therefore, the influence of retailers is limited. The channel is gradually losing positions to DIY and online stores. However, it is worth mentioning that predominantly small independent shops are the biggest losers, while large ones keep strong positions. Only LEO CERAMICA and AGROMAT have national networks. Considering that the local market is very much price driven, specialist

retailers mainly operate in the lower and middle price segments. Independent retailers, depending on the region, can operate in any price segment. Usually in large cities they sell upper or middle price products while in small towns it is economy products.

Retail outlets buy bathroom products from importers and large wholesalers. Wholesalers often operate one or two retail outlets. The role of 'open' construction markets in bathroom product distribution is hard to quantify. Markets tend to offer fewer technical products, more economy priced goods (undeclared and second-hand imports), and often more in the way of parts as opposed to complete products.

In large cities, specialist retailers experience rising competition from online and DIY stores. Therefore, only large retailers that are part of wholesale companies successfully manage to compete, while smaller players are experiencing mounting pressure. DIYs are not interested in small towns where specialist retailers dominate the market. Smaller retailers, depending on the size and location of outlets, are supplied either from wholesalers or local dealers.

Internet Retailers

The share of internet sales is still low, but it is expected to grow in the coming years. Internet shops do not pay VAT in Ukraine and can offer lower prices. They operate as sole traders and have several sole trader entities registered in order to distribute turnover among them and pay lower taxes and avoid paying VAT. Because of this tax loophole, online prices for some products are lower than in retail outlets. Transportation costs remain relatively low in Ukraine, giving another boost to internet sales. Sales via the internet, however, will remain low in the foreseeable future as there are other distribution channels (e.g. specialist retailers and DIY chains) that are more traditional and popular in the Ukrainian market.

Internet sales are growing, but most sales still occur via online stores operated by wholesalers and retailers rather than independent online retailers. Some consumers prefer to see products in store and later purchase online, if it is cheaper to do so. Usually, expensive goods are sold via these channels and stores are flexible with prices and offer higher discounts. There are three types of independent internet shops operating in Ukraine: those selling only a specific brand (usually related to large manufacturers); bathroom specialist shops; and mixed online shops that also distribute bathroom products.

The emergence of local internet platforms, such as 27.UA, PRICE.UA, PROM.UA, ROZETKA.COM.UA, F.UA, and MOYO.UA, is likely to accelerate the growth of online sales. Independent internet retailers apply aggressive pricing policies and offer significant discounts during sale promotions.

Only a few shops operate on the national level (usually several regions), while others supply only one region or even one city. Online sales are predominantly developed in large cities, where people have better access to the internet and

logistics are better organised.

The COVID-19 crisis reshaped the online sales market. Some mixed online shops gave preference to groceries and neglected their main product lines like electronic and bathroom products in 2020. DIY and specialist bathroom shops boosted online sales, the largest players even managed to keep the same sales level in March and April compared to the same period of previous year. However, due to high demand, deliveries were taking too long and not all customers were happy. Therefore, it is not clear whether online retailers will be able to retain customer loyalty in 2021.

III.2 UA - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)														Buying Group Affiliation
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other			
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
NOVA LINIA	NOVA LINIA	DIY/Home Center/Discounter	DIY			14	National		x	x	x	x	x		x	x	x	x				
ROMSTAL	ROMSTAL	DIY/Home Center/Discounter	DIY			19	National		xx	xx	x		x				x		x			
EPICENTR	EPICENTR	DIY/Home Center/Discounter	DIY			61	National		x	x	x	x	x				x	x	x			
BUDMAX	BUDMAX	DIY/Home Center/Discounter	DIY			7	National		x	x	x		x				x	x	x			
LEROY MERLIN	LEROY MERLIN	DIY/Home Center/Discounter	DIY			5	National		x	x	x	x	x				x	x	x			
UKRINSTAL	UKRINSTAL	Retailer	heating/bathrooms			24	National		x	x	x											
LEON SERVICE	LEON SERVICE	Wholesaler/Retailer	heating/plumbing			9	National		x	x	x	x										
WIZARD	WIZARD	Wholesaler/Retailer	heating/bathrooms			7	National		xx	xx												
UNITECH BAU	UNITECH BAU	Wholesaler/Retailer	heating/bathrooms			1	National		xx	xxx	x		x									
GAYZER	GAYZER	Wholesaler/Importer	heating/bathrooms			1	National		x	xx	xxx											
ANTEY	ANTEY	Wholesaler	bathrooms			5	National			xxx												
RIVER TRADE	RIVER TRADE	Wholesaler	bathrooms			1	National		x	xxx												
AKVADEMI	AKVADEMI	Retailer	bathrooms			1	National			xxx												
AGROMAT	AGROMAT	Wholesaler	bathrooms			20	National			xx			x					xx				
UKRBUDMARKET	UKRBUDMARKET	Wholesaler	bathrooms			1	National			xxx												
LEO CERAMICA	LEO CERAMICA	Retailer	bathrooms			25	National			xx			xx					xx				
SERGO	SERGO	Wholesaler/Retailer	bathrooms			1	National			xx			xx					xx				
BEST LINE	BEST LINE	Retailer	bathrooms			1	National			xx			xx					xx				

Source: BRG based on company information and industry interviews

x=marginal activity

xx=substantial activity

xxx=core activity

UKRAINE

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The overall Ukrainian bath and shower tray market is characterised by the dominance of baths in comparison to shower trays. While shower trays have been increasing in sales volumes since the early 1990s, the majority of sales still consist of baths and no major changes are expected for the future. It is to be noted that, traditionally, the Ukrainian shower tray market was dominated by the steel and cast iron producers and by some non-exclusive shower tray suppliers. As for steel and cast iron shower trays, domestic production has disappeared with the drying-up of public funds to the non-residential (institutional) sector. Synthetic shower trays have gained popularity, meaning that consumers have based their choices on design and aesthetics rather than on tradition. A market for synthetic products only started to arise during the early to mid-2000s. Cast iron baths, despite having been in long-term decline, still hold some share on the market as they are not easy and cheap to replace, and people tend to spend their incomes on more necessary replacements such as CSW and taps and mixers. As in Russia, Ukrainian consumers still appreciate the durability associated with cast iron baths and these products are expected to remain on the market, although contracting over time and moving to higher price segments.

Steel baths accounted for the majority share of the total baths market until 2015. While domestic production died, imports kept expanding due to the avoidance of import and other taxes, thus keeping the retail price to a minimum. Due to the price advantage, steel is in demand for new build dwellings and replacement. Synthetic baths overtook sales of steel baths in 2016, and the product is likely to dominate the market. Synthetic baths are becoming increasingly popular, although potential growth slowed in due to the low purchasing power of the population and the relatively high prices.

Recently the trend has been towards cheaper baths, which have been actively promoted by large Ukrainian distributors. Prospects for the synthetic bath market are good, as they are more and more recognised by Ukrainian consumers. However, in the long term it is expected that the penetration of shower enclosures should increase faster, affecting sales growth of baths. In addition, the prices of most Asian products are fixed in USD and the strengthened USD has significantly affected prices in UAH. GEBERIT started production of synthetic baths in Ukraine in 2007, which reshaped this sector.

Sales of ceramic shower trays are marginal and not expected to grow in the near future. It is believed that all notable domestic production of cast iron and steel shower trays ceased in 2007, mainly due to the tough competition from low priced imports; the share of this segment is expected to shrink and be replaced by synthetic shower trays. Synthetic trays account for the majority of the overall shower tray market, and their share is estimated to grow in the future.

Sales of hydromassage baths developed very quickly in the first half of the 2000s, encouraged by the fast-developing domestic supply and booming exports. Demand for hydromassage products came mainly from wealthy individuals, to whom hydromassage appeals as it is expensive and prestigious; high income earners' individual houses remain the major market for hydrotherapy products. However, with the gradual price decrease and the increasing purchasing power of the population, hydrotherapy products have become affordable for the middle-class population. Most products are installed in private houses, as most products occupy a large space; however, small quantities also go to luxury apartments. Hydrotherapy products are not usually installed in flats that were built more than two decades ago, as these flats typically have small bathrooms in which it is difficult to accommodate large items.

The majority of hydrotherapy products sold in Ukraine are imported. Most products are imported by wholesalers, who further resell products. Direct sales account for a small share of the market. Wholesalers supply installers, DIY, and specialist stores. Hydrotherapy products require professional installation and detailed instruction for end users. As a result, the share of DIY is small and unlikely to increase in the foreseeable future. On the other hand, the share of specialist retailers is big. Sales of combined products are low. Hydromassage baths are not actively used by households who have them installed. They require regular maintenance which is additional hassle for end users. Many people use gyms and shower at home less frequently. Some households are disappointed with the quality of products and maintenance involved and have replaced hydromassage baths with synthetic bathtubs or shower enclosures.

Recent Market Trends

Some wholesalers accumulated significant stock of goods in 2018 and warehouses were full with bathroom products in the beginning of 2019. However, due to presidential and parliamentary elections, demand was sluggish in the first half of that year. Baths and shower tray sales started to pick up from the second half.

The fragile economy and tension with Russia affected the market but did not prevent the overall bath and shower tray market from growing in 2019. Due to increase in construction, bath sales increased and were further supported by replacement demand. Shower trays (and enclosures) continued to penetrate the market and recorded an increase in terms of sales. Synthetic baths recorded growth, while other segments recorded a fall. Synthetic models are becoming more popular as they can offer more shapes and are easier to install. Therefore, they appeal to end users and installers.

Given the low and decreasing purchasing power of Ukrainians, the hydrotherapy market is small for such a large country. Sales of hydromassage baths decreased further in 2019. Hydrotherapy products are mainly designed for wealthy individuals who made limited investments in housing in 2014-2019 due to the political situation. These individuals still can afford to purchase hydrotherapy products but, due to the political turmoil and limited construction of new villas, they predominantly

purchase the products for replacement purposes. The low purchasing power of the general population makes it difficult for the average consumer to afford such an expensive installation.

Prices and Market Values

In 2019, the estimated value of the Ukrainian bath market increased in UAH and EUR. In the case of shower trays, the market increased in terms of value and volume. Political turmoil and decreasing purchasing power in 2015 (and further political instability) created a shift towards the lower price segments. The average product prices declined for all product groups in UAH as a result of continuing pressure but due to appreciation of local currency MSP increased in EUR for cast iron and steel baths and ceramic shower trays (due to the increase in raw material costs). Most baths are imported to Ukraine and prices are predominantly fixed in EUR and rarely in USD.

Most baths and shower trays are still sold in the economy/lower segment (in terms of volume), followed by the middle price segment. The share of the upper segment is insignificant in Ukraine. Steel and synthetic baths have the highest share of the total bath market, followed by cast iron. In steel baths, the share of low-cost supply from Eastern European producers, particularly from Poland, remains high.

Average product prices have declined for hydromassage baths in EUR and UAH due to further shift towards lower price segment. The ongoing decline is attributed to the change in the sales mix and a decline in prices offered by manufacturers in EUR. Chinese brands have the lowest retail prices, while JACUZZI and the Scandinavian brands are the most expensive on the market.

Most luxury and upper price hydrotherapy products were purchased by wealthy people who were closely associated with the former government. When political turmoil started in Ukraine, these people delayed replacement or housing completions. Hydromassage baths accounted for more than half of the market in terms of value. Similar to other segments, the hydrotherapy sector is also a price-driven market, with the majority of products sold being in the lower and middle price segments.

New Housing

Dwelling completions increased in 2019 in Ukraine, as people found real estate to be a safe investment despite an unstable UAH and political situation. Demand from the new housing end-use sector has always been one of the main drivers of sales of baths and shower trays. In terms of installations, baths dominate the new housing market but marginally have been losing position to shower enclosures. In terms of material, synthetic models are the most popular.

Newly-built flats are usually equipped with one bath or shower enclosure. Only luxury flats with more than two bedrooms have more than one bathroom. Multiple bathrooms are more frequent in villas. Even more rare are cases whereby

households have a bath and a shower in one bathroom. Walk-in/tiled showers are not popular in Ukraine, and households prefer to install shower trays.

On the end-use side for hydrotherapy products, it is estimated that the sales to new housing increased. Mainly wealthy individuals install hydrotherapy products. Due to the current political turmoil, it has become very unlikely for these groups to build new houses and then install luxury, non-essential products such as hydrotherapy products. Residential construction is forecasted to decline in the short term. As a result, the segment is likely to decline in the near future. Hydromassage baths have accounted for the most sales in hydrotherapy segment. Most installations take place in large cities, where people are wealthier.

Housing RMI

The RMI sector increased for baths and shower trays in 2019. Most steel and cast iron baths and shower trays are sold in this sector. The rate of replacement is still lower than in other sanitary product groups. The main reason for this is when Ukrainians choose to renovate their bathroom, they are more likely to change sanitary ware, mixers, and tiles but leave the old bath (especially if it is a cast iron tub) since it is a costly and difficult product to replace. Therefore, the replacement level is expected to be far from saturation and its share is estimated to grow once the political and economic situation in the country have stabilised. RMI for synthetic baths and shower trays is expected to grow in the long term because these markets are far from saturation, as noted above.

Some households have replaced hydromassage baths with synthetic models, as they have decided either to go for cheaper options or are unsatisfied with products not meeting their expectations (lots of products installed in recent years have been low quality Asian products). As a result, replacement sales of hydromassage baths declined in 2019 and expected to fall further in short term.

Non-Housing

Non-housing installations are estimated to account for a small share. Hotels are the main end use in this segment. Sales to the non-housing segment decreased for baths but increased for shower trays due to increasing penetration of shower enclosures in 2019. The purchasing power of the commercial sector remained higher than that of the general public.

If there is no more military intervention in Ukraine and the political situation recovers, the sector is expected to fall in 2020 due to the COVID-19 crisis and return to growth in long term.

Supply Structure

The supply structure has not changed much in recent years apart from increasing penetration of Asian and OEM products. GEBERIT and CERSANIT have established local productions of synthetic baths and captured the lion's share of the

market. Established players have kept their positions, while smaller importers have been experiencing fluctuating sales.

Local production has continued to dominate the market for synthetic baths in Ukraine. GEBERIT is producing synthetic baths under the KOLO and COLOMBO brands. There are a few more producers of synthetic baths and trays and polymer concrete baths, with production being on an artisan scale.

The Turkish manufacturers remained the market leaders in the cast iron bath market, while the European manufacturers dominated the steel bath market in 2019.

Most synthetic and steel shower trays are imported.

The leading companies on the hydromassage bath market in 2019 were as follows:

EVA GOLD, the most popular Chinese brand;

JACUZZI, BALTECO and DUSCHOLUX were the leading European brands;

POLYPROMSYNTES, the only Ukrainian manufacturer, sold mostly to the non-residential segment;

EPICENTR (DIY chain) introduced its own brand EGO. Also, the VOLLE, JAZZI and KOLLER POOL OEM brands gained popularity. The rest of the market was split between imports from Asia and Europe. These brands are included in 'others'.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3 and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Ukraine in March 2020 which led to lockdown. Factories were operating with various capacities depending on the region. Similarly, construction was frozen temporarily depending on the region. Each Ukrainian region has managed the crisis differently based on the local extent of the spread of the virus. Some bathroom product manufacturers decreased outputs in April and similar to the rest of the Europe, offices switched to remote operations.

Block dwelling construction activity also significantly declined in April 2020. Individual housing construction was not affected much and was predominantly ongoing. Installation activities also declined significantly in some regions. Even though installers did not have shortage of bathroom products, homeowners were

cautious to allow installers in. Lockdown lasted for about two months and the country started gradually reopening by the end of May. However, lockdown measures were made stricter in three (Western Ukraine) regions due to deterioration of the situation in June. The government decided to keep 'adaptive lockdown' until 31 July.

Ukraine is a relatively poor country with limited resources. Most Ukrainians do not have savings. The government was unable to properly support small businesses and low-income families. The lockdown process was mismanaged to a certain degree and did not lead to a significant fall in COVID-19 cases. The number of cases rapidly increased in some regions after lockdown was eased. Unless the death toll and infections increase significantly, the government would not introduce another lockdown as both state and private household savings are depleted. Most likely these lockdowns would be local rather than covering whole country.

Other factors to reshape the bath and shower tray markets are the construction and replacement segments. Some projects were put on hold due to lockdown measures. Some developers have realised that they would not be able to sell dwellings profitably and they might decide to freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of baths and shower trays or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and try to fix broken appliances instead of replacing them. Only necessary replacements will take place on the market and most consumers will be largely influenced by price rather than quality. Some households may opt to purchase the lowest-priced appliances as a temporary solution. However, it should be noted that some consumers with sufficient savings and a stable financial situation decided to use the lockdown period to start renovations. Devaluation of local currency prompted people to spend money and purchase goods (including bathroom products) before UAH devaluated further.

BRG's forecast assumes that there will not be a full scale military conflict in Ukraine and political instability should be localised in only three eastern regions, with the central government losing (at least) legal control over them; the COVID-19 pressure would remain stable and limited to local lockdowns.

The overall baths and shower trays market is forecast to decline in 2020 due to the lockdown, decreased purchasing power of general population, devaluation of local currency and an expected fall in construction. Unemployment is likely to increase and real wages of the population are likely to decline. The overall bathroom products market is forecast to remain under significant pressure and expected to start recovering only in the second half of 2021 (unless it is hit by other shocks or a

significantly worse spread of COVID-19). There is a high degree of certainty that some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022. The overall market is set to grow in the long term, as the replacement level has remained low over the last decade and the market is far from saturation.

The replacement sector is expected to perform better in the long term, as lots of replacements were postponed and with the stabilisation of the situation people can spend more. The non-housing segment is also expected to increase for the shower tray market due to increasing penetration of shower enclosures but decrease for baths.

Synthetic baths are forecast to grow, as they are gaining popularity because they offer different shapes. A growing number of new dwellings are economy and small-size flats, some being only 17 m², leading to the installation of small appliances. As a result, the penetration of shower trays and enclosures is likely to increase.

The fastest-growing markets should be those for synthetic baths/trays, whereas sales of cast iron baths are expected to continue their negative trend during the forecast period. Major factors affecting the sales of cast iron products are the lack of domestic supply and the increasing appeal of synthetic baths. Synthetic bath sales have been growing rapidly in recent years, as they are easy to install, come in various forms and are aesthetically appealing. Due to the fallen purchasing power of the general population, however, people are likely to give preference to cheaper alternatives.

Replacement will also remain under pressure due to the high inflation rate and economic uncertainty, although it is expected to grow for both baths and shower trays. The state spending cuts should affect the non-residential segment. Therefore, the market is forecast to remain under pressure during the middle term.

There is minimal substitution between products (with hydromassage baths substituted by synthetic models or shower enclosures). However, the penetration of shower enclosures, and consequently of shower trays, is likely to grow in the long term.

The overall hydrotherapy segment is expected to decline in 2020. The political situation has improved but remains unstable, and households prefer not to invest in expensive hydrotherapy products at this stage. The decreasing purchasing power and decreasing new luxury housing construction and completion moves consumers away from non-essential luxury items, such as hydrotherapy products. The shift towards economy dwellings is likely to continue, affecting installation types in block dwellings.

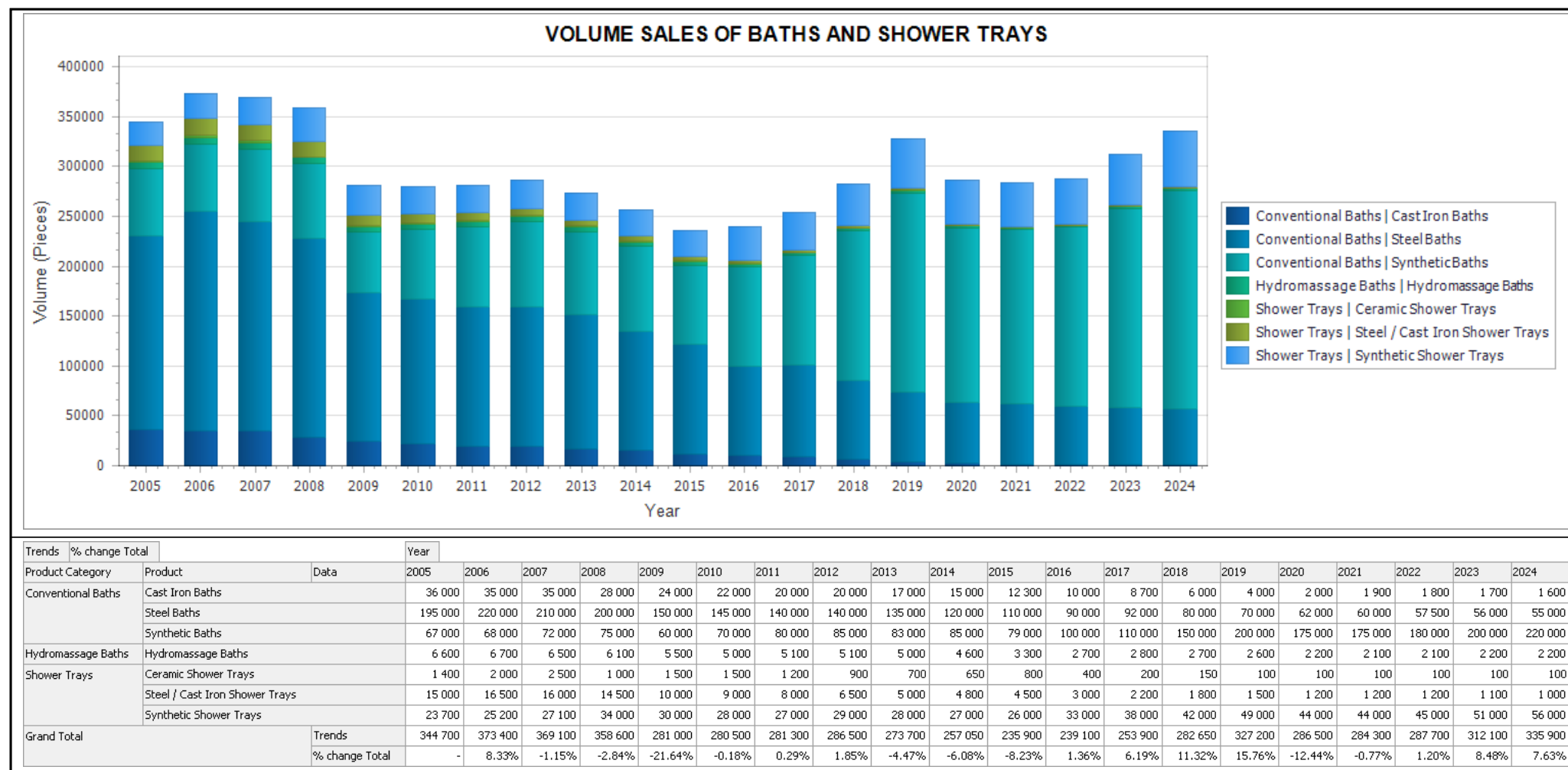
BRG estimates that luxury housing completions (where hydrotherapy products are mainly installed) should not increase in the near future, negatively influencing the market. A moderately negative trend for the overall hydrotherapy product market should continue as long as the political situation remains unstable. Hydromassage

baths should remain by far the dominating product within the hydrotherapy segment.

The market is very sensitive to the political and economic situation and state funding. There is no state programme to support construction. Taking into account the current budget deficit, the government has reduced funding for social housing and state projects. This is unlikely to change in the near future.

1.2 Historical Trends and Forecasts

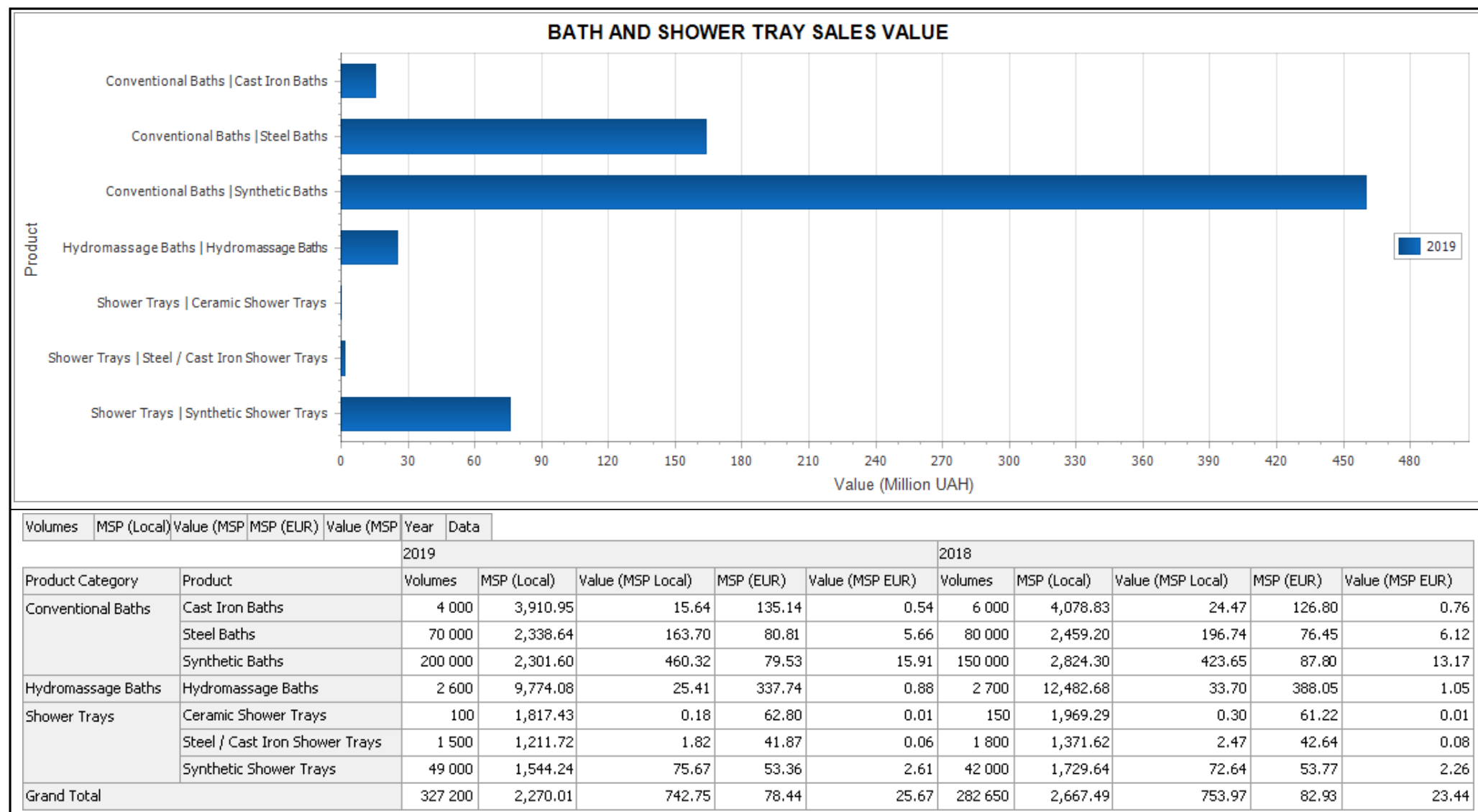
UA - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

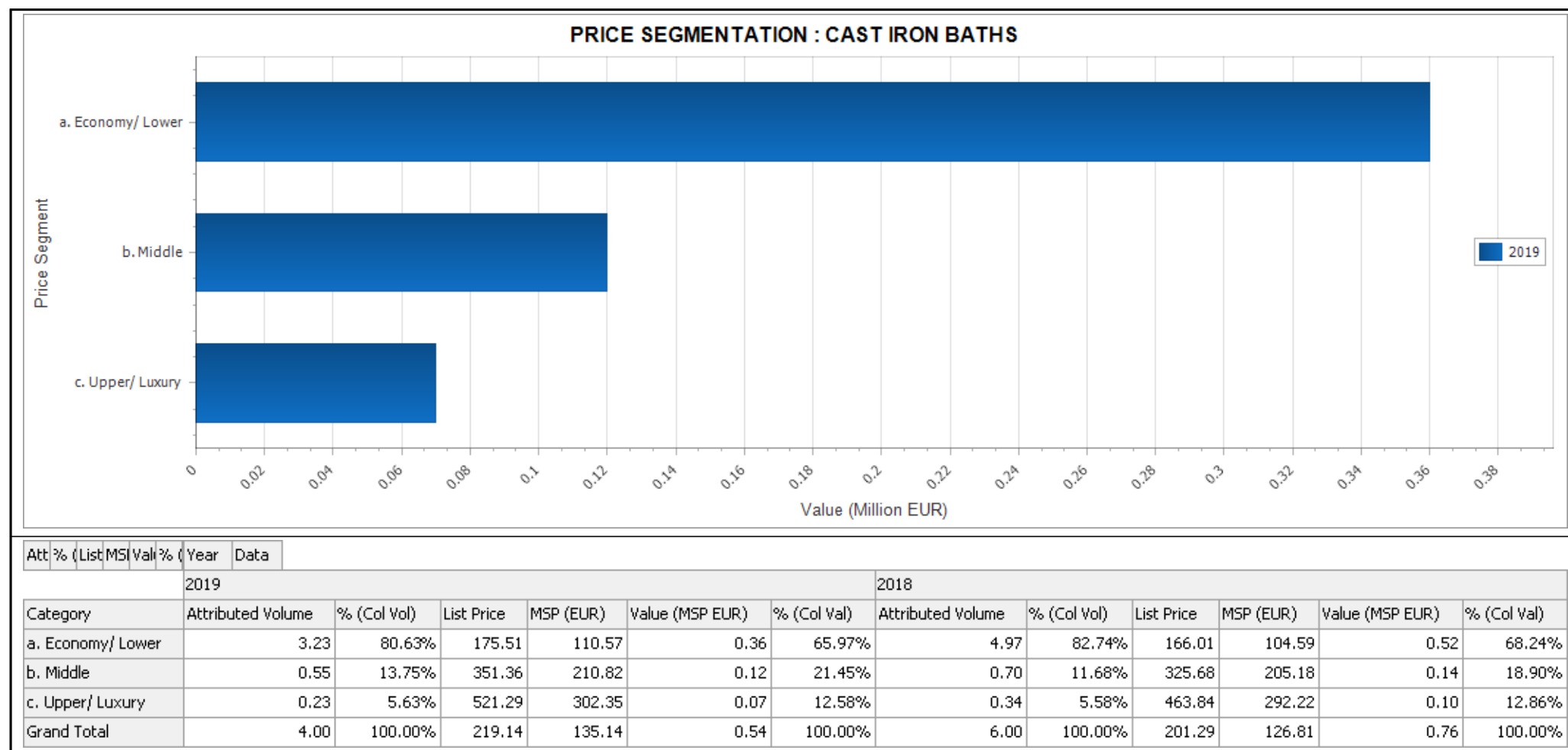
UA - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in UAH. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

UA - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

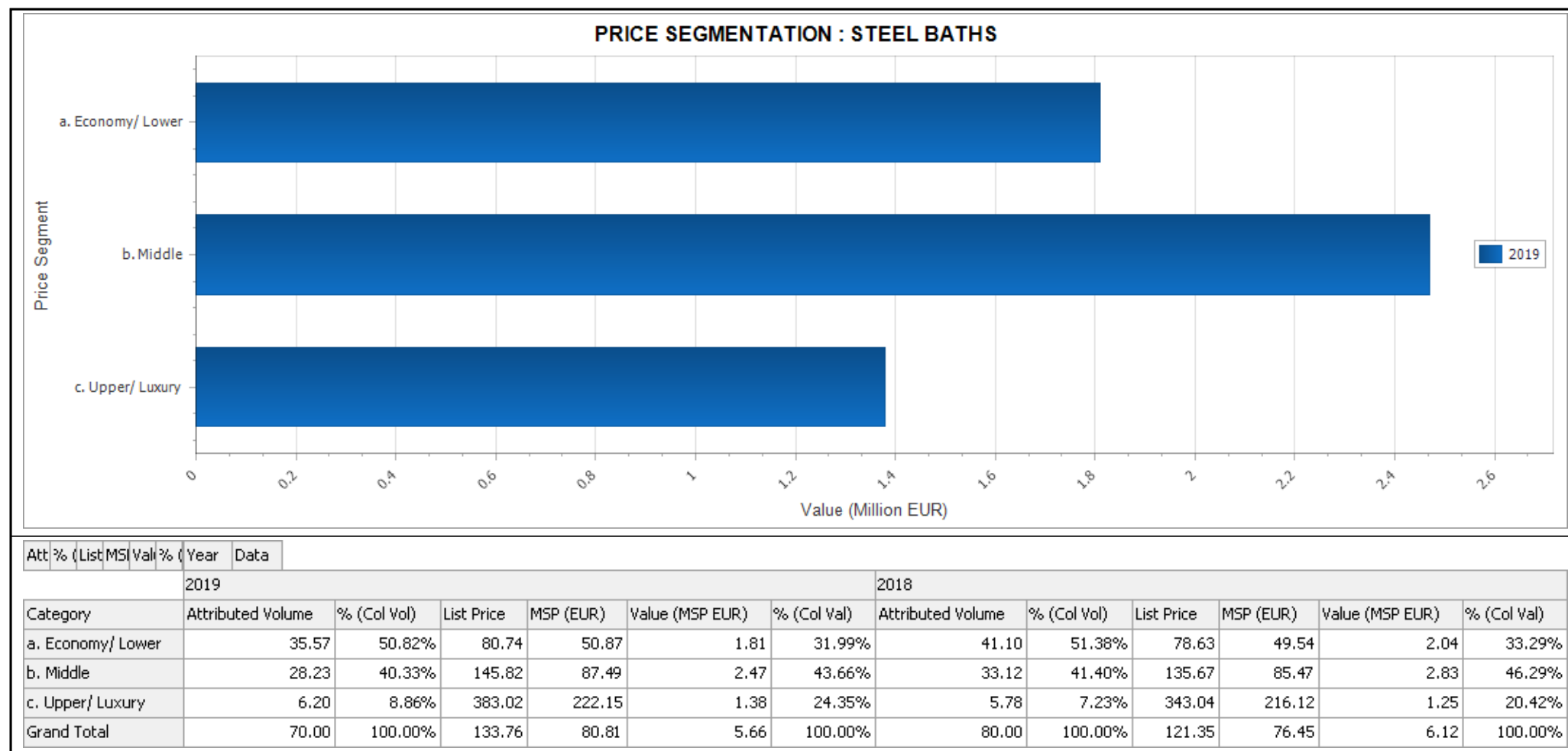


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€250, Upper/ Luxury >€250

1.3.3 Price Segmentation : Steel Baths

UA - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

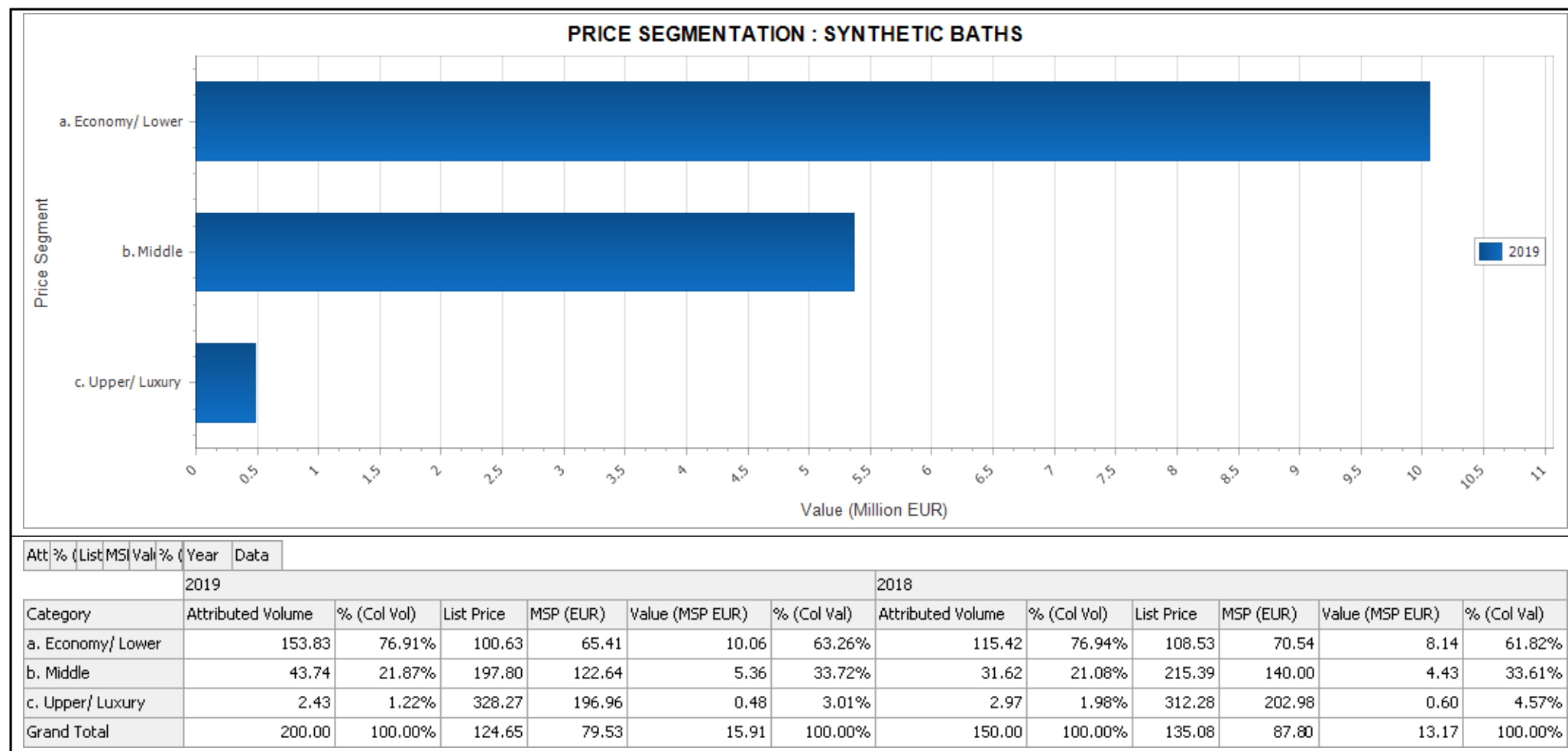


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€150, Upper/ Luxury >€150

1.3.4 Price Segmentation : Synthetic Baths

UA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

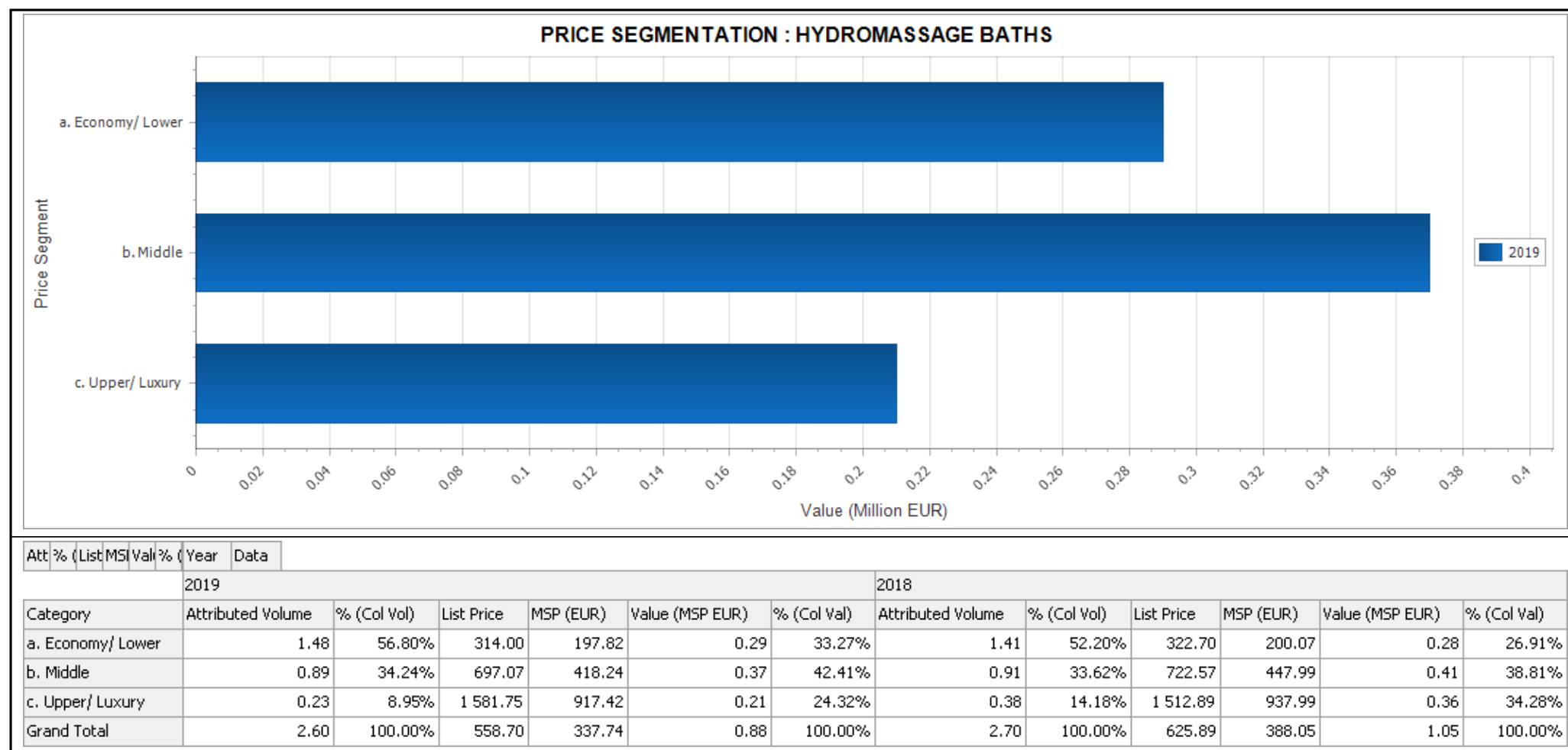


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€190, Upper/ Luxury >€190

1.3.5 Price Segmentation : Hydromassage Baths

UA - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

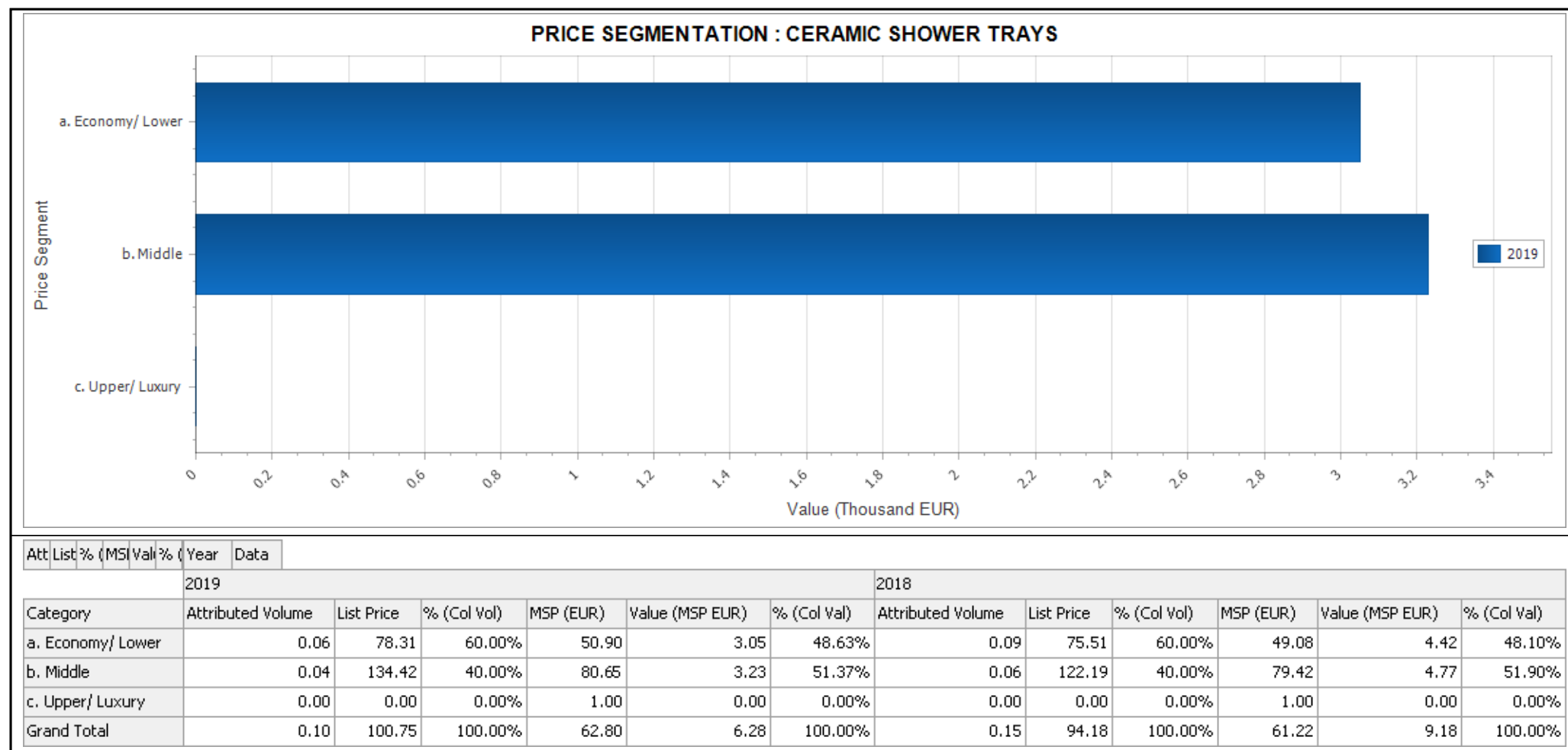


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€800, Upper/ Luxury >€800

1.3.6 Price Segmentation : Ceramic Shower Trays

UA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

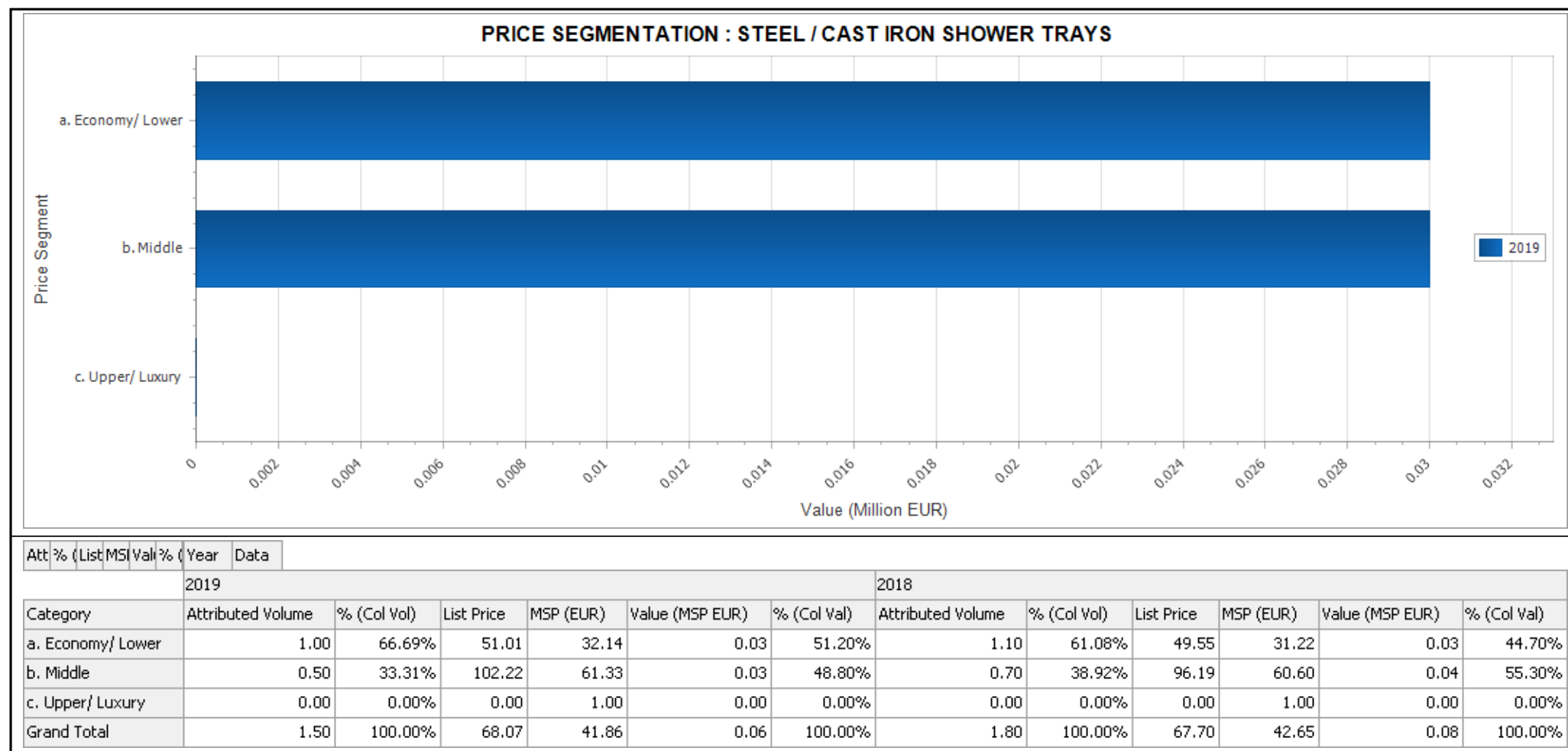


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Thousands (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

UA - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

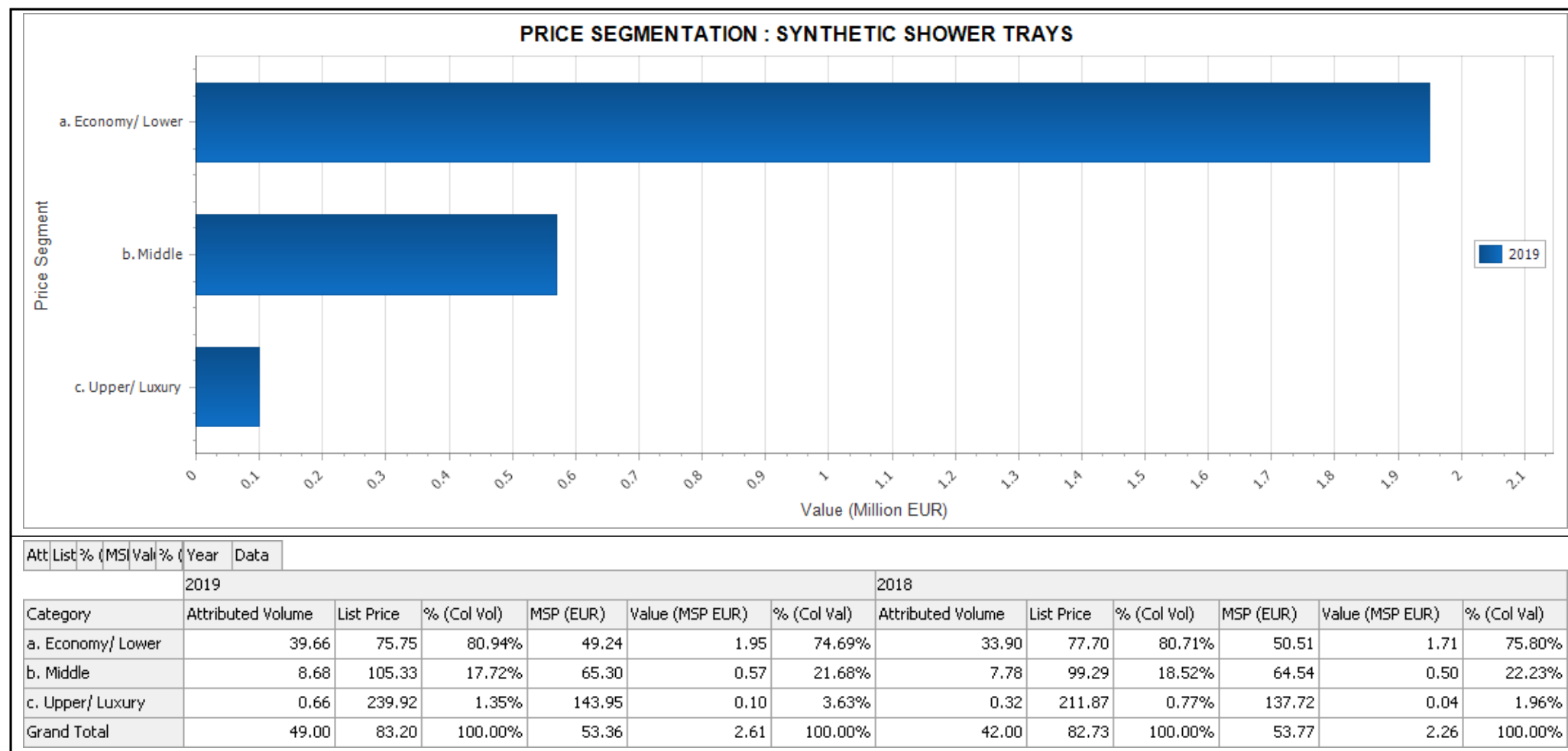


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€100, Upper/ Luxury >€100

1.3.8 Price Segmentation : Synthetic Shower Trays

UA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

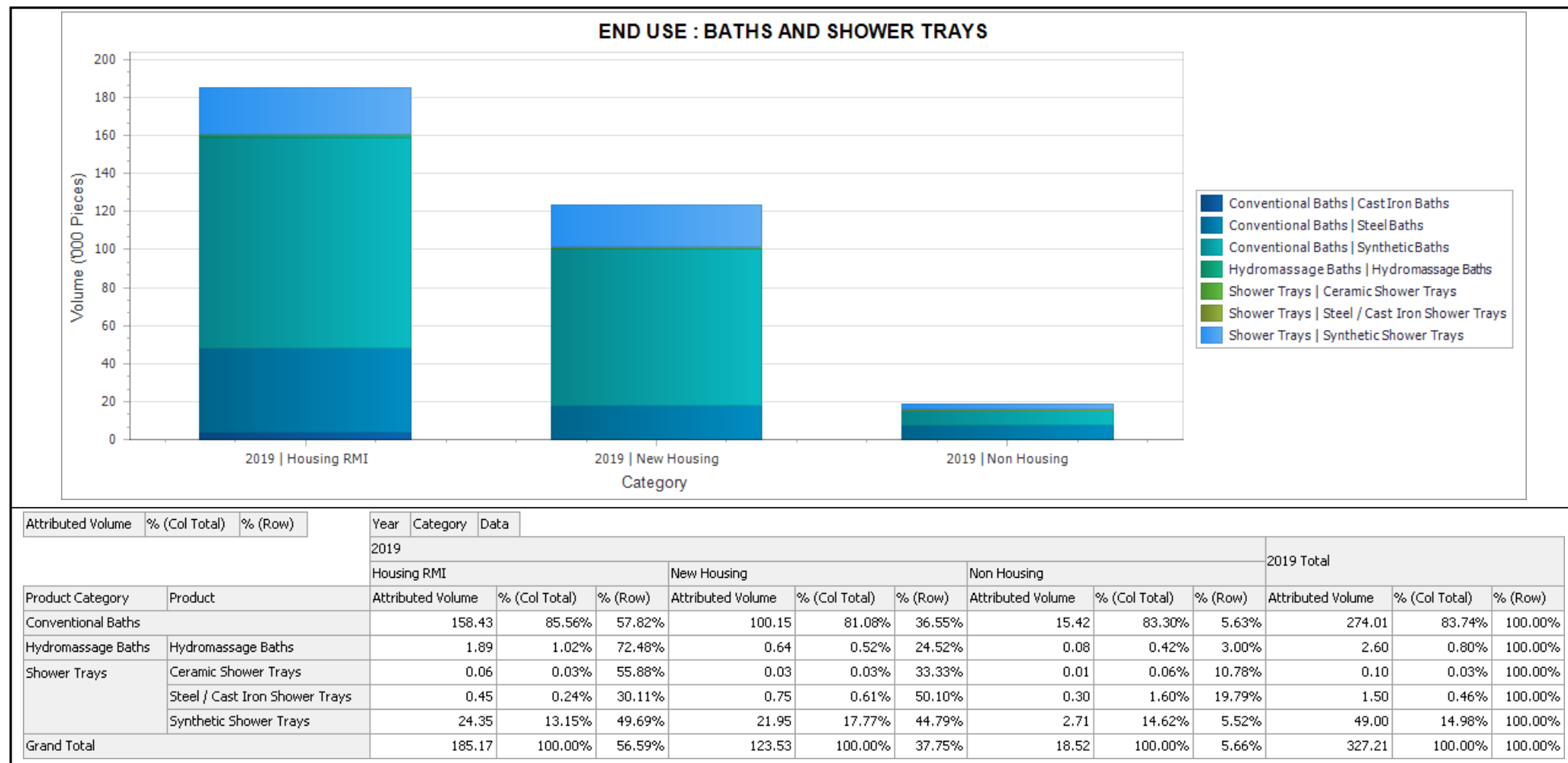


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

1.4.1 End Use : Base Year

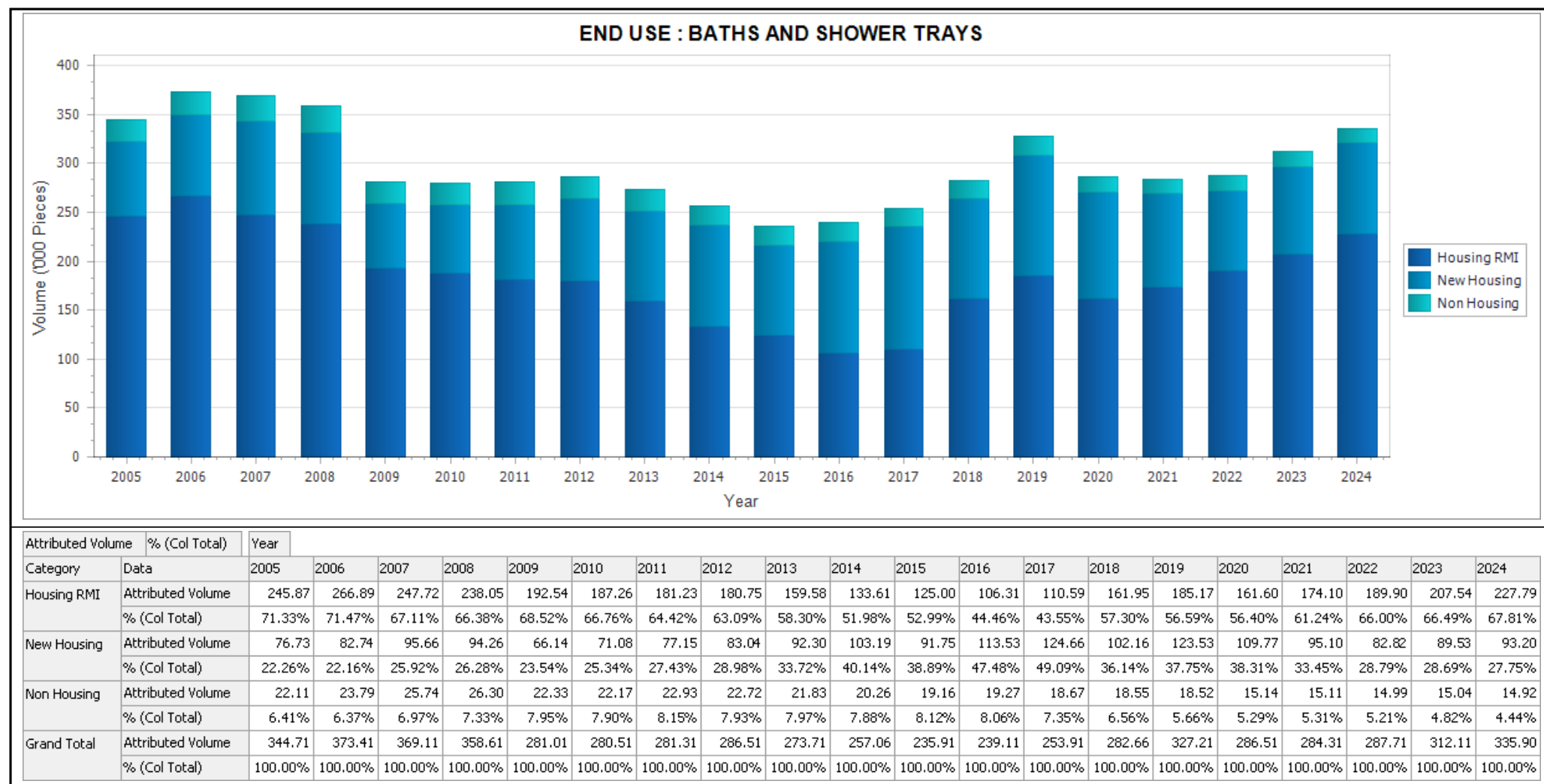
UA - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

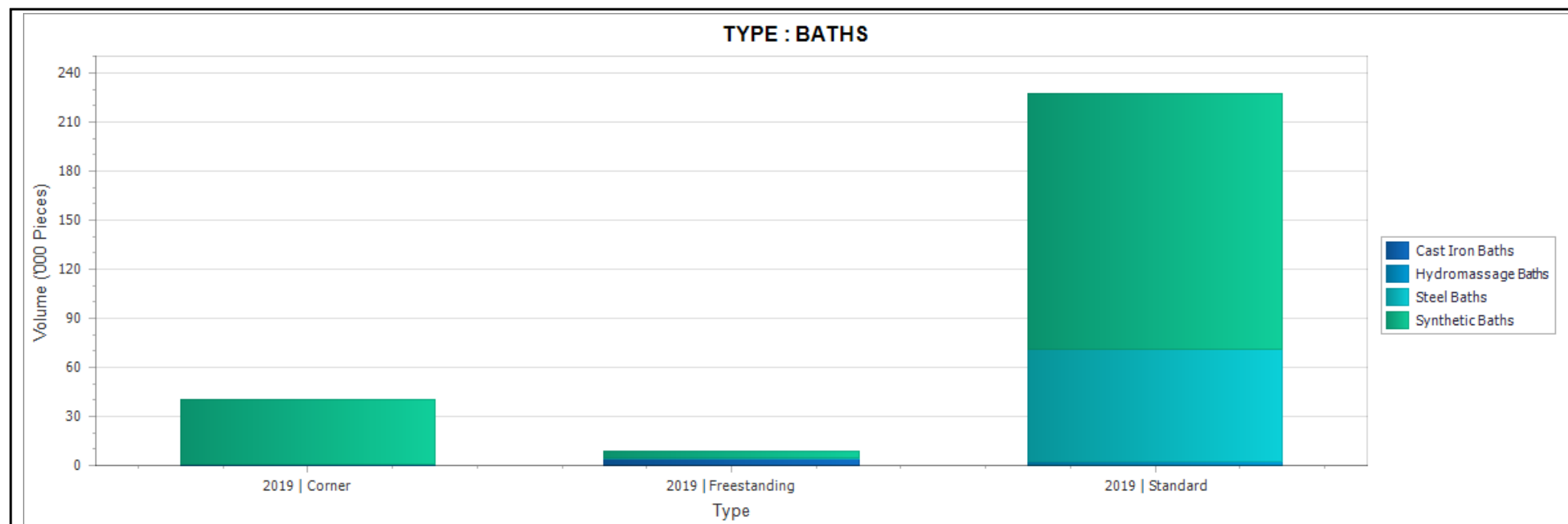
UA - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

UA - BATH SALES BY TYPE ('000 PIECES)

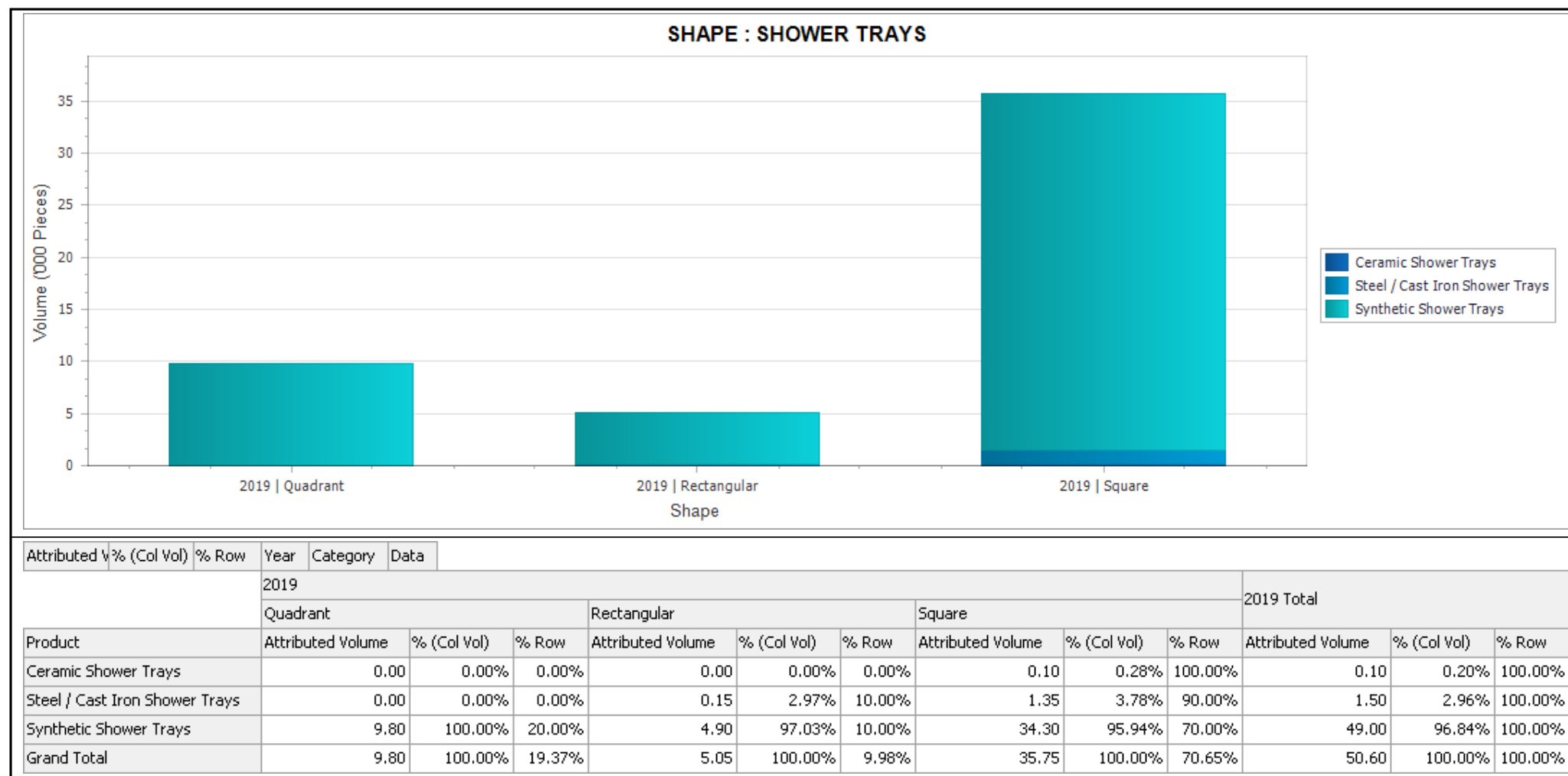


Attribut	% (Col	% Row	Year	Category	Data							
2019												
			Corner			Freestanding			Standard			2019 Total
Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Cast Iron Baths	0.00	0.00%	0.00%	4.00	45.98%	100.00%	0.00	0.00%	0.00%	4.00	1.45%	100.00%
Hydromassage Baths	0.49	1.22%	19.00%		0.00%	0.00%	2.11	0.93%	81.00%	2.60	0.94%	100.00%
Steel Baths	0.00	0.00%	0.00%	0.70	8.05%	1.00%	69.30	30.47%	99.00%	70.00	25.31%	100.00%
Synthetic Baths	40.00	98.78%	20.00%	4.00	45.98%	2.00%	156.00	68.60%	78.00%	200.00	72.31%	100.00%
Grand Total	40.49	100.00%	14.64%	8.70	100.00%	3.15%	227.41	100.00%	82.21%	276.60	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

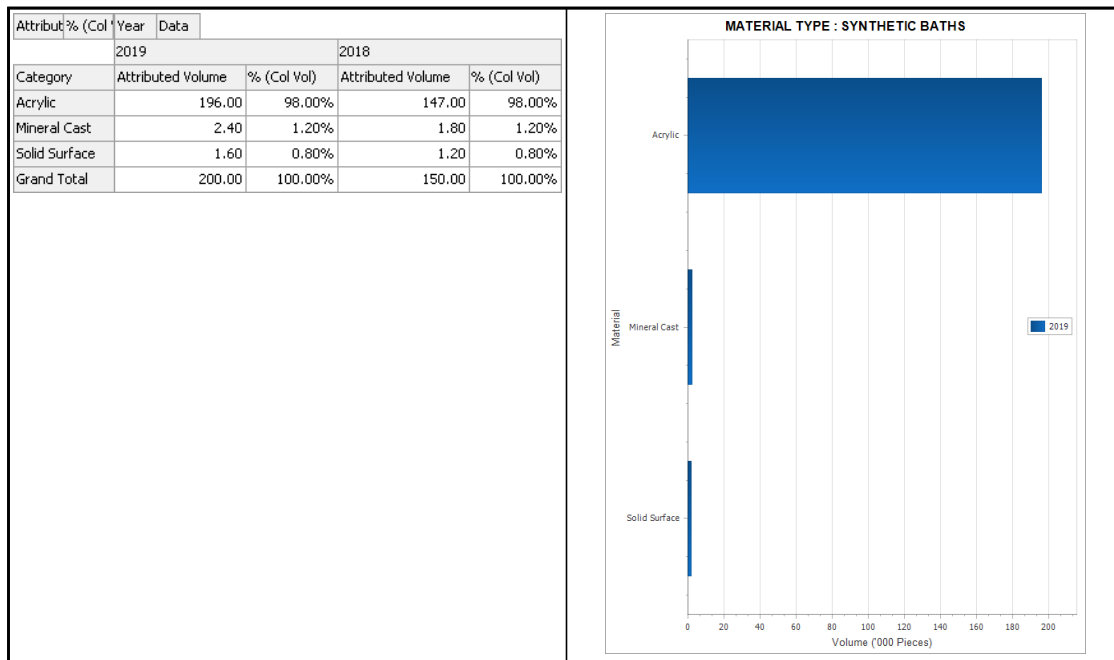
UA - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

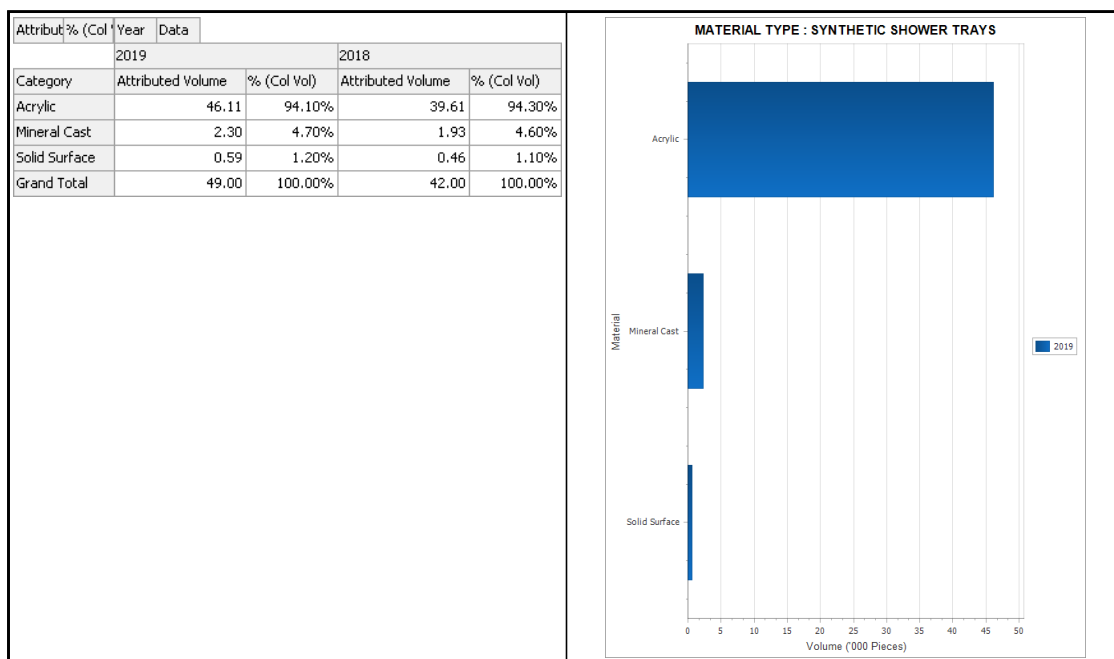
UA - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.6 Sales by Material : Synthetic Shower Trays

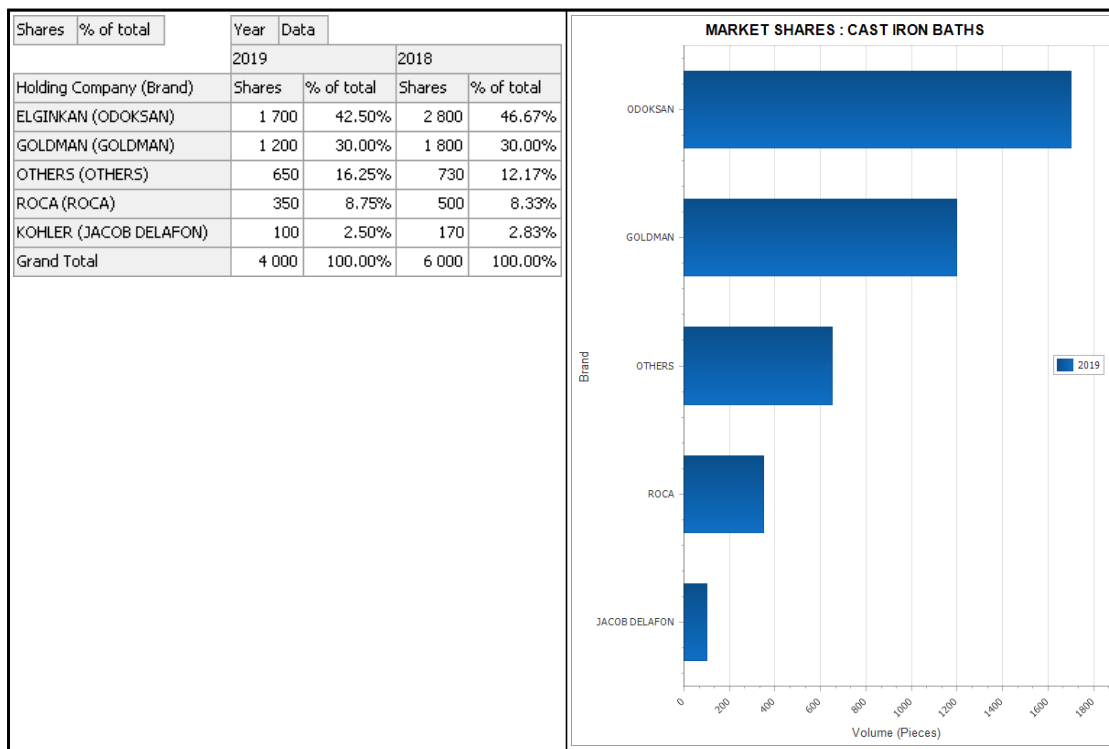
UA - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

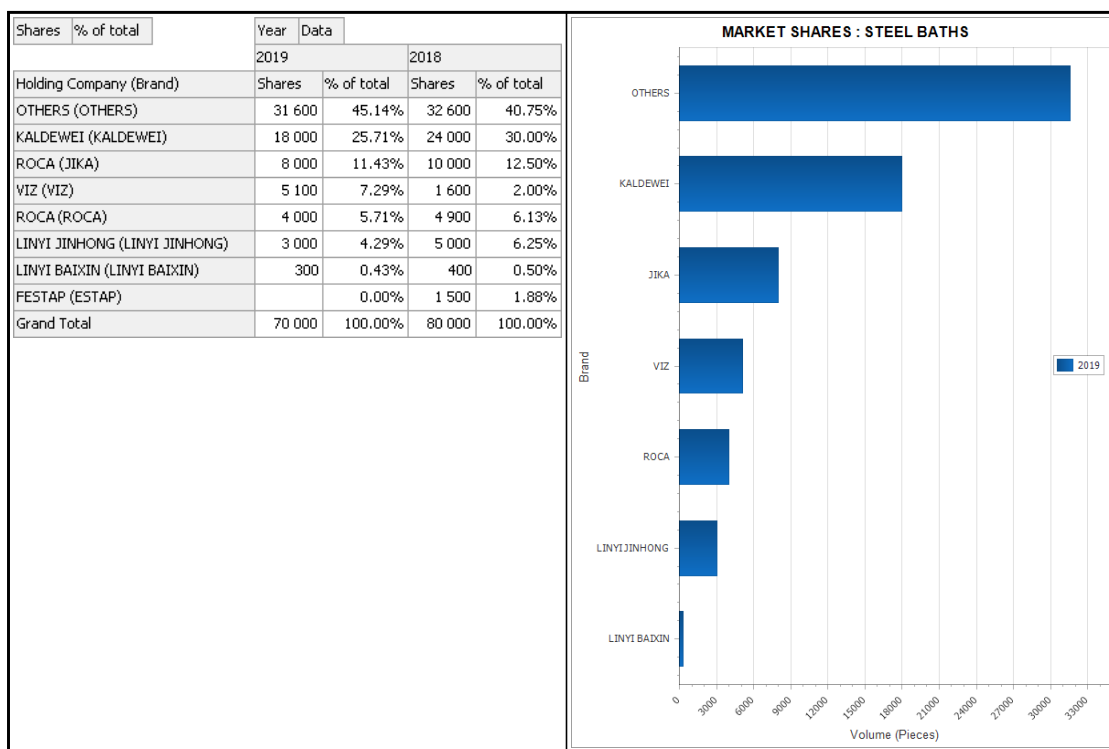
UA - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

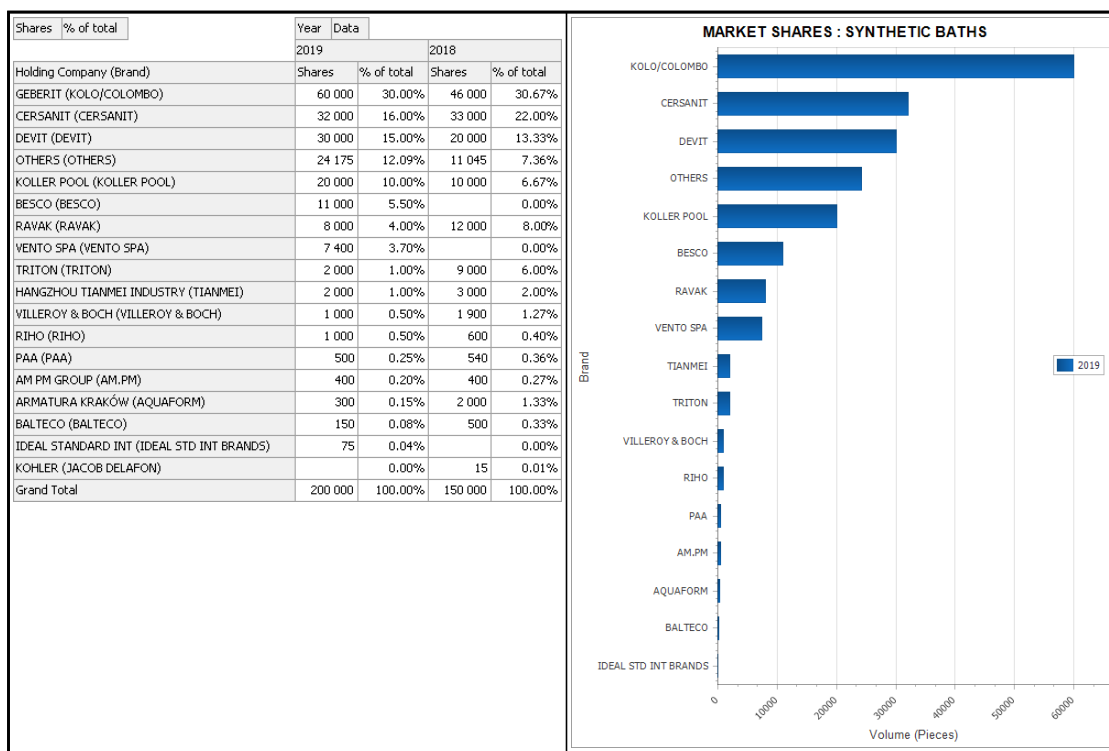
UA - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

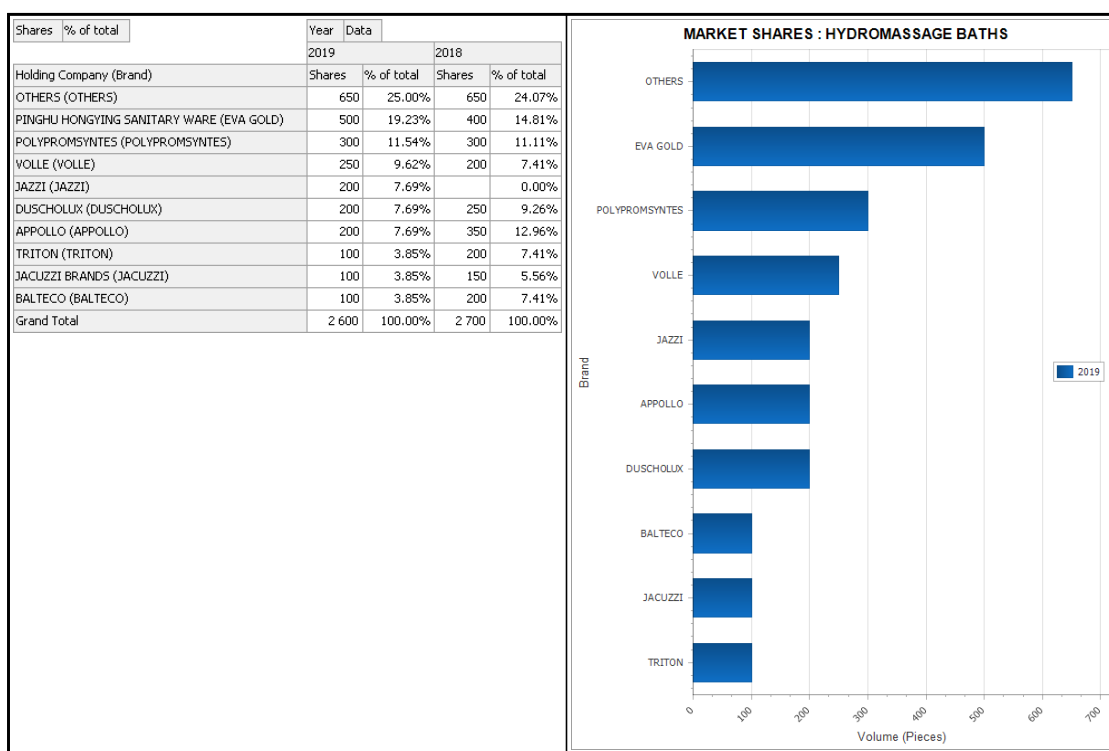
UA - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

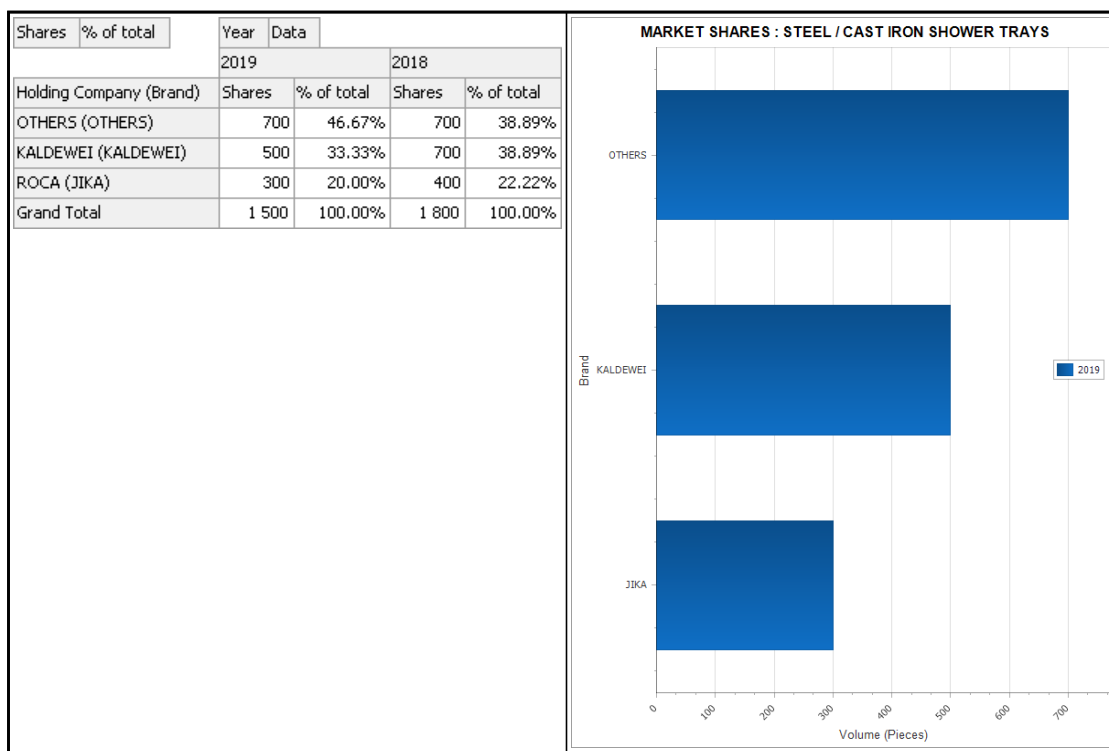
UA - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Steel / Cast Iron Shower Trays

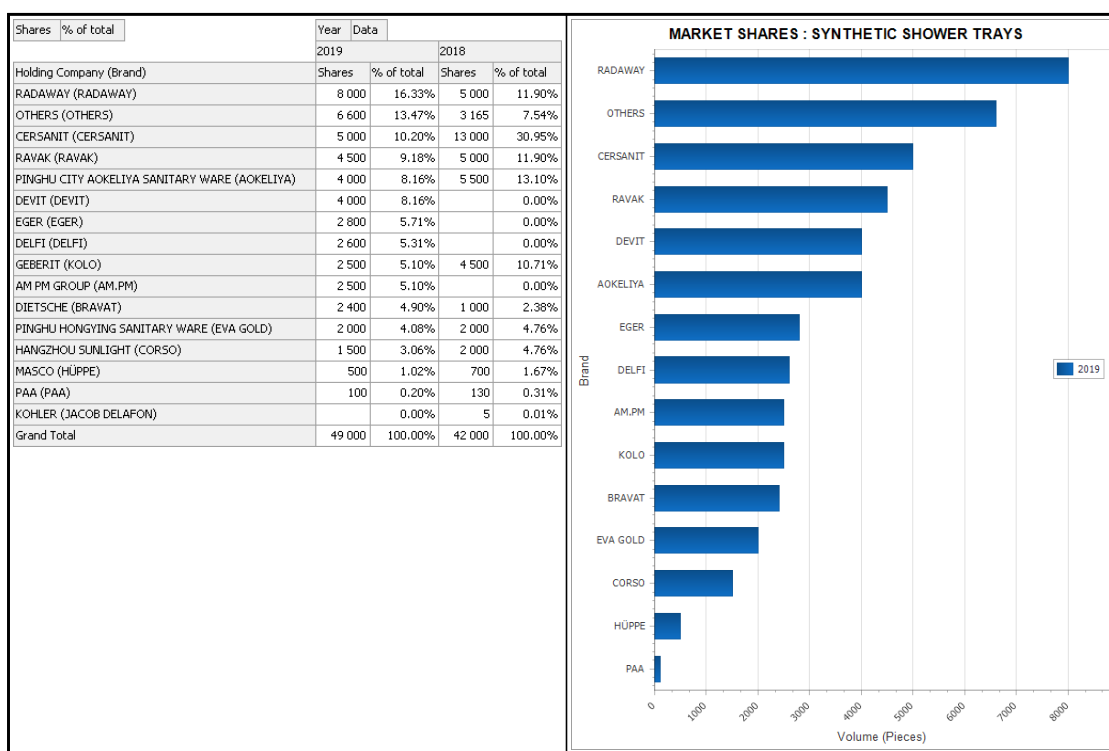
UA - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.6 Market Shares : Synthetic Shower Trays

UA - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1

Route to Market: Baths
UA - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

87.4%
Wholesalers / Merchants
87.4%

Retail Level

Manufacturer	Wholesaler
0.0%	6.0%
Internet Retailers	
6.0%	

Manufacturer	Wholesaler
12.6%	16.0%
DIY Retailers	
28.6%	

Manufacturer	Wholesaler
0.0%	30.0%
Specialist Retailers	
30.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	4.0%	0.0%	3.0%	25.0%
Installers				
32.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	28.4%	6.0%	25.6%	5.0%	29.4%
Residential					
94.4%					
New Build			Residential RMI		
36.4%			58.0%		
Project	Non-Project		Project	Non-Project	
35.0%	1.4%		1.0%	57.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	0.0%	0.0%	0.0%	2.6%
Non-Residential					
5.6%					
New Build			Non-Residential RMI		
1.7%			3.9%		
Project	Non-Project		Project	Non-Project	
1.7%	0.0%		3.7%	0.2%	

1.6.2

Route to Market: Baths
UA - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

85.0%
Wholesalers / Merchants
85.0%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
15.0%	15.0%
DIY Retailers	
30.0%	

Manufacturer	Wholesaler
0.0%	33.0%
Specialist Retailers	
33.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	4.0%	0.0%	4.0%	26.0%
Installers				
34.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	22.0%	8.0%	26.0%	7.0%	32.8%
Residential					
95.8%					
New Build			Residential RMI		
23.3%			72.5%		
Project	Non-Project		Project	Non-Project	
22.0%	1.3%		1.0%	71.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	0.0%	0.0%	0.0%	1.2%
Non-Residential					
4.2%					
New Build			Non-Residential RMI		
1.4%			2.8%		
Project	Non-Project		Project	Non-Project	
1.4%	0.0%		2.6%	0.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.3 Route to Market - Consolidated View : Baths

UA - ESTIMATED DISTRIBUTION FOR BATHS : 2019

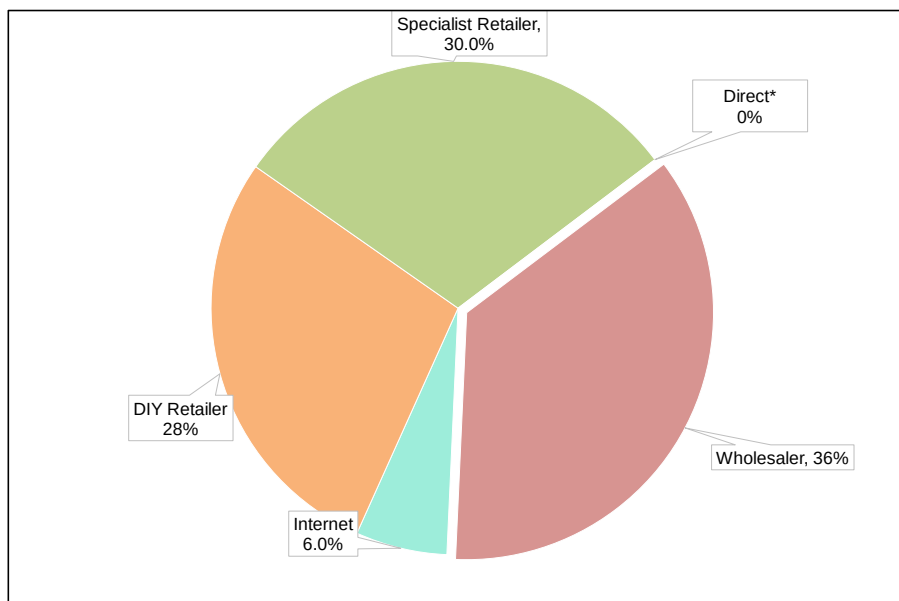
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
36.0%	6.0%	28.0%	30.0%	0.0%	36.0%	5.4%	58.4%	0.2%
100%					41.4%		58.6%	

1.6.4 Route to Market - Consolidated View : Baths

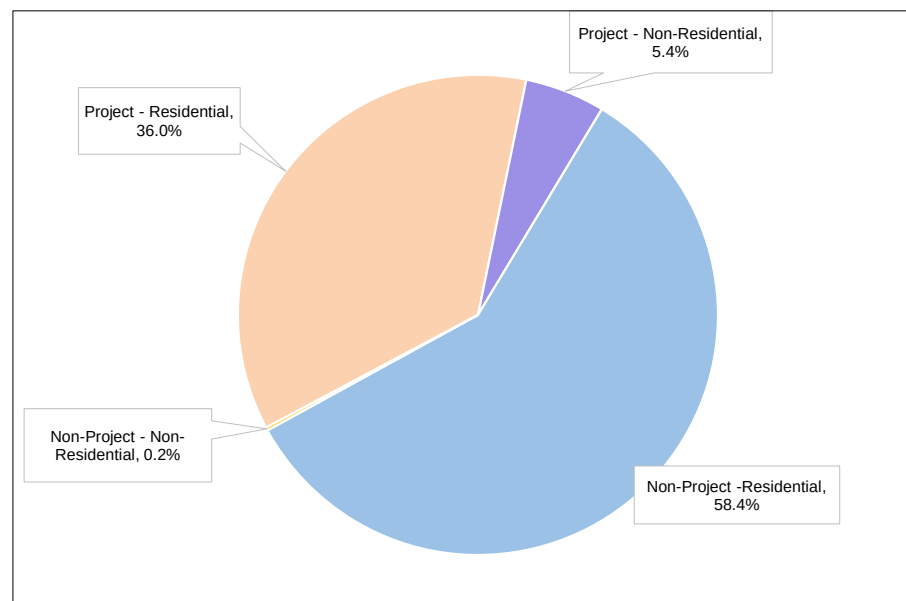
UA - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.0%	8.0%	30.0%	33.0%	0.0%	23.0%	4.0%	72.8%	0.2%
100%					27.0%		73.0%	

UA - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



UA - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.6.5

Route to Market: Shower Trays
UA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

89.4%
Wholesalers / Merchants
89.4%

Retail Level

Manufacturer	Wholesaler
0.0%	7.0%
Internet Retailers	
7.0%	

Manufacturer	Wholesaler
10.6%	21.0%
DIY Retailers	
31.6%	

Manufacturer	Wholesaler
0.0%	32.0%
Specialist Retailers	
32.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	2.0%	0.0%	3.0%	18.0%
Installers				
23.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	24.4%	7.0%	28.6%	14.0%	20.0%
Residential					
94.0%					
New Build			Residential RMI		
44.9%			49.1%		
Project	Non-Project		Project	Non-Project	
43.0%	1.9%		1.0%	48.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	0.0%	0.0%	0.0%	3.0%
Non-Residential					
6.0%					
New Build			Non-Residential RMI		
1.5%			4.5%		
Project	Non-Project		Project	Non-Project	
1.5%	0.0%		4.2%	0.3%	

1.6.6

Route to Market: Shower Trays
UA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

85.0%
Wholesalers / Merchants
85.0%

Retail Level

Manufacturer	Wholesaler
0.0%	9.0%
Internet Retailers	
9.0%	

Manufacturer	Wholesaler
10.0%	22.0%
DIY Retailers	
32.0%	

Manufacturer	Wholesaler
0.0%	33.0%
Specialist Retailers	
33.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	2.0%	0.0%	3.0%	16.0%
Installers				
21.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
5.0%	16.0%	9.0%	29.0%	17.0%	18.2%
Residential					
94.2%					
New Build			Residential RMI		
49.4%			44.8%		
Project	Non-Project		Project	Non-Project	
48.0%	1.4%		1.0%	43.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	0.0%	0.0%	0.0%	2.8%
Non-Residential					
5.8%					
New Build			Non-Residential RMI		
1.5%			4.3%		
Project	Non-Project		Project	Non-Project	
1.5%	0.0%		4.0%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.7 Route to Market - Consolidated View : Shower Trays

UA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

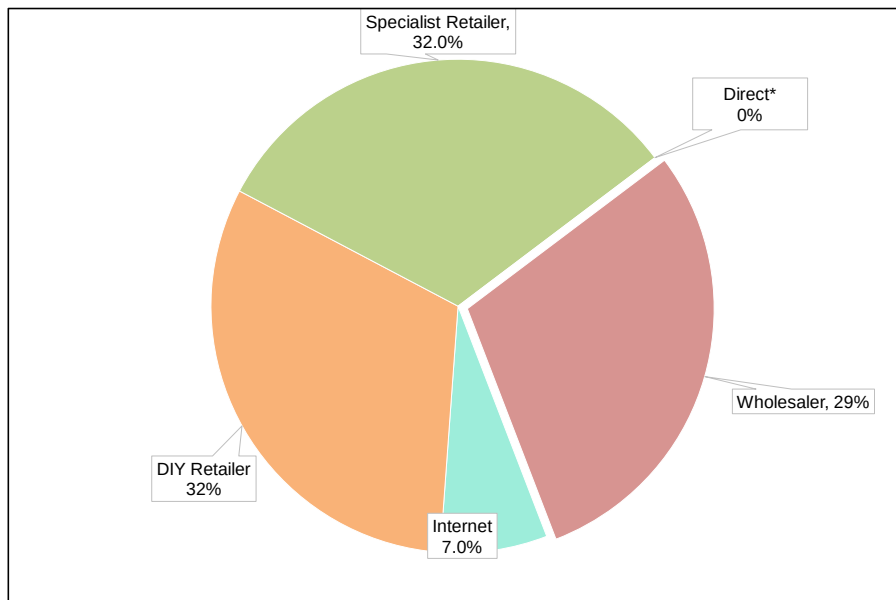
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.4%	7.0%	31.6%	32.0%	0.0%	44.0%	5.7%	50.0%	0.3%
100%					49.7%		50.3%	

1.6.8 Route to Market - Consolidated View : Shower Trays

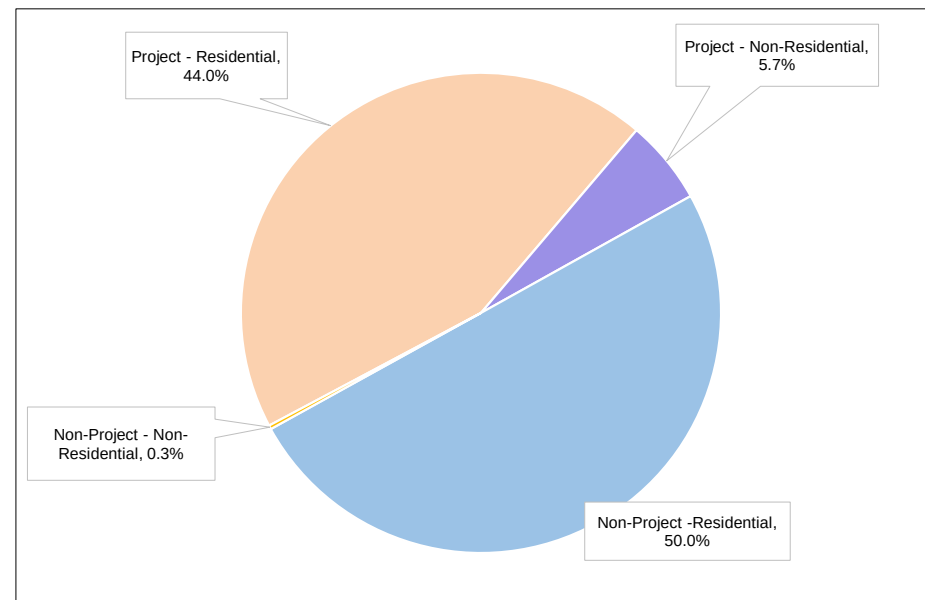
UA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.0%	9.0%	32.0%	33.0%	5.0%	49.0%	5.5%	45.2%	0.3%
100%					54.5%		45.5%	

UA - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



UA - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



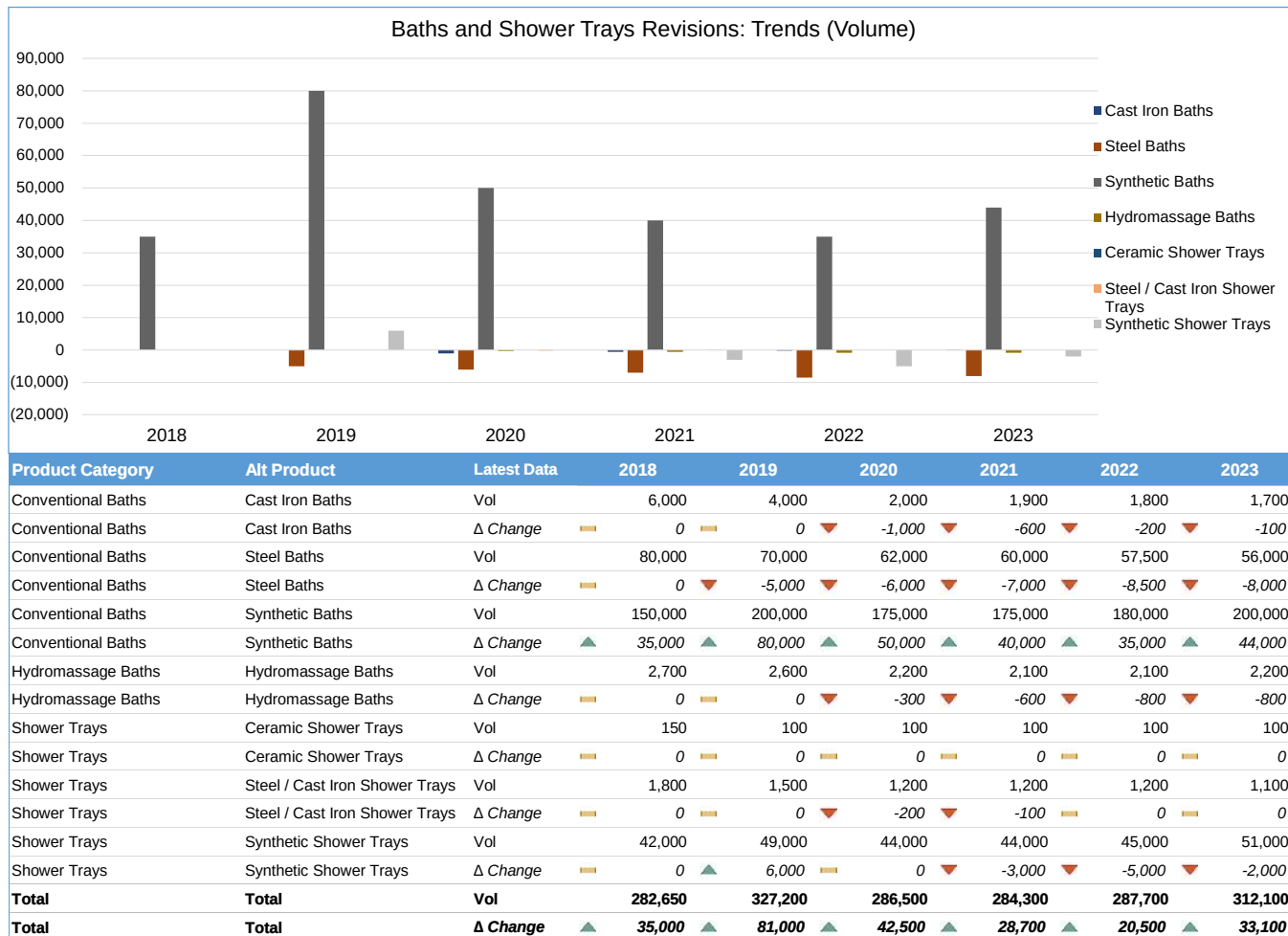
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7 Revisions in the Ukrainian Baths and Shower Trays Market (July 2020)

UA - REVISIONS IN THE UKRAINIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



In light of new data synthetic baths market has been revised upwards for 2018. Due to adjustment to end use segments average prices for synthetic and hydromassage baths have been revised upwards for 2018. Sales of baths have been revised upwards due to higher than expected new housing completions in 2019.

Sales of shower trays (namely synthetic models) have been revised upwards due to higher than expected new housing completions in 2019.

UKRAINE

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Until the late 2000s, overall local production of sanitary ware remained of poor quality, of Soviet design, and with no funds to improve quality levels. Since the end of the Soviet Union, Ukrainian manufacturers have had to contend with a growing import share of the ceramic sanitary ware market, with foreign brands and products of a much higher quality than the existing Ukrainian production. A substantial volume of imports comes from Central Europe (mainly the Czech Republic and Poland) but also from Turkey, Spain and Italy. The majority of imports are low-priced products. However, Ukraine has always been in a favourable position because of its unique resources of valuable clay, which is both used for local production and exported abroad. Another more important advantage of Ukrainian manufacturers is the regulation requiring professional installation of domestic products in all state or state-financed buildings.

Ukrainian sanitary ware production used to have a high proportion of coloured pieces (up to 40%), but there has been a trend towards white products in the past few years. It is estimated that about 10% of domestic production is coloured nowadays. Most CSW purchases and installations take place in pieces rather than suites.

The ceramic sanitary ware by type of product is characterised as follows: instead of being bowls and wall hung cisterns, the majority of WCs produced and sold in Ukraine are compact WCs counted as two pieces (one WC and one cistern); and the demand for small washbasins has increased in recent years, due to the increase in construction of small economy dwellings. They are used for renovation in standard small apartments. In almost all renovation cases only certain pieces are replaced, while in the new build housing sector households more often acquire suites.

There have traditionally been three manufacturers of ceramic sanitary ware in Ukraine, namely SLAVUTA, SLAVYINSK and LVIV, with a combined annual capacity of three million pieces. SLAVUTA, with a capacity of two million pieces, used to be the largest ceramic sanitary ware factory in the former Soviet Union. Until 2000, SLAVUTA enjoyed production levels that were almost the same as during the Soviet era and was working at full capacity, supplying the Ukrainian and other former Soviet Union markets. SLAVYINSK struggled to stay afloat and finally stopped production in 2001. Investments in local production have been low. The Ukrainian suppliers had to survive with old technology and equipment; however, SLAVUTA (UKRBUDFARFOR) refurbished one of its factory ovens in 2005 and in 2006 new production lines were installed. The former SANITEC, now GEBERIT and UKRBUDFARFOR, jointly built a completely new plant with an estimated capacity of 800,000 pieces. GEBERIT later acquired the majority of shares. It was exporting over half of its output to Russia until the military conflict.

The concealed models are expensive, occupy more space, and are installed in public places and high-end new housing. The exposed models are cheaper and usually installed in rural areas, where people are poor. In addition, they are made in different shapes and sizes and can offer solutions if ceramic cisterns cannot be fitted. Ceramic cisterns are the most popular material and their sales are included in 'other' CSW.

Recent Market Trends

Increasing replacement levels helped the market to pick up in 2019. All product groups except exposed plastic cisterns recorded growth.

The concealed plastic cisterns market has increased. This market is small compared to the size of the country, but the products are increasingly used in new housing installations.

Wholesale channels have had difficulties in several aspects due to the unstable political and economic situation in the country. They have struggled importing goods from Russia and have switched to Asia due to the political and logistical problems. The decreasing population and purchasing power in the country has added a hampering effect to the market sales. All local CSW producers were operating in 2019; however, there is expectation on the market that GEBERIT may sell its assets in Ukraine.

Ukrainian companies have lost a significant market share in the Donbass region to Russian companies, and even more so in Crimea. They still partially supply breakaway regions, but this is a difficult task when considered case by case and logistics are fragile. Sometimes they cannot access the market directly and are forced to export to Russia and deliver goods from there.

Due to a difficult relationship between the two countries, imports of CSW to Russia stopped in 2019.

Prices and Market Values

Manufacturers kept low prices and margins in order to maintain sales and remain competitive during the 2014-2015 turmoil. After the economic situation began to stabilise, they started gradual price rises. The average manufacturer selling price of most CSW products increased in EUR in 2019 (except WC), but still remains one of the lowest in Europe due to extensive local supply and low labour, clay, and energy costs. Local manufacturers increased prices in order to compensate for increases in these areas, particularly, energy costs. Some raw materials are imported and prices are often fixed in euro. List prices fluctuated significantly due to the unstable national currency. Wholesalers and retailers raised their prices as well.

The Ukrainian ceramic sanitary ware market is price-driven, dominated by the economy and lower segments. European manufacturers increased prices by up to 3% in euros. Most CSW is produced locally, and the segment is less influenced by

exchange rate fluctuations. Consumers mostly switched to lower and economy priced models, due to high inflation and decreased purchasing power. Another factor that affected the trend was the increasing number of economy dwellings in construction, whereby households gave preference to economy and lower rather than middle-price products.

New Housing

Sales of sanitary ware to new housing increased in 2019 following the housing completion trend. There were minimal sales of exposed plastic cisterns in new housing, as they are cheap products installed in rural areas. The segment can only grow as long as there is demand, and financing capabilities from refugees or appropriate economic growth in the country translated into more housing completions. However, it seems that the sector is saturated at the moment and likely to decline in the near future. There are many variables affecting the market, which makes it difficult to have a long-term forecast. Concealed plastic cisterns are relatively expensive and occupy more space than exposed cisterns. Therefore, they are mainly installed in the high-end apartments and individual houses.

Housing RMI

The housing RMI sector decreased in 2019. In the replacement and home improvement segments, the end users tend to buy the products themselves, motivated by the threat of being cheated by the installer in many cases. Most ceramic sanitary ware and alternatives are sold to the renovation segment. The vast majority of exposed plastic cisterns are sold to this sector. The housing RMI segment is expected to fall in 2020. Usually dwellings have one bathroom in Ukraine, and they are equipped with washbasins, WCs, ceramic cisterns and often pedestals.

Non-Housing

Sales of sanitary ware to the non-housing sector remain low but improved in 2019. Most of the sales of concealed plastic cisterns, however, belonged to this segment. In terms of ceramic sanitary ware, predominantly washbasins, WCs, and ceramic cisterns are sold in the sector. Demand comes from the commercial sector as well as state contracts; however, due to the poor condition of the economy, state contracts are likely to decline. The non-housing segment is expected to closely follow general market developments and grow slowly.

Supply Structure

GEBERIT brands have been successfully promoted through their extensive network of dealers. The company has a factory in Slavuta that has an annual CSW production capacity of around five million pieces. It has managed to establish its locally-produced brand COLOMBO, almost placed in the middle price segment.

CERSANIT has a factory in Ukraine, with an annual capacity of seven million square metres of tile and up to five million pieces of ceramic sanitary ware. CERSANIT, due to its strong and successful marketing, has kept the status of being the second-largest company in terms of capacity and one of the leaders in the overall ceramic sanitary ware market.

Local manufacturer DNIPROKERAMIKA remains the third-largest market player.

Ukrainians are used to the DIY culture of repairing bathroom equipment themselves and, therefore, like to have access to the cistern; thus, concealed WC cisterns are still a rarity in Ukraine and often installed in non-residential premises. Other factors influencing the sales of concealed plastic cisterns are the complex installation and high price. Some ceramic sanitary ware distributors also believe that the Ukrainian public likes to see and show what they pay for; thus, the hidden cisterns lack popularity.

There are a few domestic producers of plastic WC cisterns, with VINOGRADOVSKII ZAVOD PLASTMASSOVYHK SANITARNOTEHKNICHESKIIH IZDELII from the Zakarpacie region being the largest. The rest of the market (mainly consisting of the very basic plastic cisterns) is occupied by a large number of small producers that are enabled by the relatively simple manufacturing process (requiring only an injection moulding machine and the appropriate mould form).

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3 and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Ukraine in March 2020 which led to lockdown. Factories were operating with various capacities depending on the region. Similarly construction was frozen temporarily depending on the region. Each Ukrainian region has managed the crisis differently based on the local extent of the spread of the virus. Some bathroom product manufacturers decreased outputs in April and similar to the rest of the Europe, offices switched to remote operations.

Block dwelling construction activity also significantly declined in April 2020. Individual housing construction was not affected much and was predominantly ongoing. Installation activities also declined significantly in some regions. Even though installers did not have shortage of bathroom products, homeowners were cautious to allow installers in. Lockdown lasted for about two months and the country started gradually reopening by the end of May. However, lockdown measures were made stricter in three (Western Ukraine) regions due to deterioration of situation in June. The government decided to keep 'adaptive

lockdown' until 31 July.

Ukraine is a relatively poor country with limited resources. Most Ukrainians do not have savings. The government was unable to properly support small businesses and low-income families. The lockdown process was mismanaged to a certain degree and did not lead to a significant fall in COVID-19 cases. The number of cases rapidly increased in some regions after lockdown was eased. Unless the death toll and infections increase significantly, the government would not introduce another lockdown as both state and private household savings are depleted. Most likely these lockdowns would be local rather than covering whole country.

Other factors to reshape the bath and shower tray markets are the construction and replacement segments. Some projects were put on hold due to lockdown measures. Some developers have realised that they would not be able to sell dwellings profitably and they might decide to freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of sanitary ware or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and try to fix broken appliances instead of replacing them. Only necessary replacements will take place on the market and most consumers will be largely influenced by price rather than quality. Some households may opt to purchase the lowest-priced appliances as a temporary solution. However, it should be noted that some consumers with sufficient savings and a stable financial situation decided to use the lockdown period to start renovations. Devaluation of local currency prompted people to spend money and purchase goods (including bathroom products) before UAH devaluated further.

BRG's forecast assumes that there will not be a full scale military conflict in Ukraine and political instability should be localised in only three eastern regions, with the central government losing (at least) legal control over them; the COVID-19 pressure would remain stable and limited to local lockdowns.

The overall sanitary ware market is forecast to decline in 2020 due to the lockdown, decreased purchasing power of general population, devaluation of local currency, and an expected fall in construction. Unemployment is likely to increase and real wages of the population are likely to decline. The overall bathroom products market is forecast to remain under significant pressure and expected to start recovering only in the second half of 2021 (unless it is hit by other shocks or a significantly worse spread of COVID-19). There is a high degree of certainty that some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022. The overall market is set to grow in the long term, as the replacement level has remained low over the last decade and the market is far

from saturation.

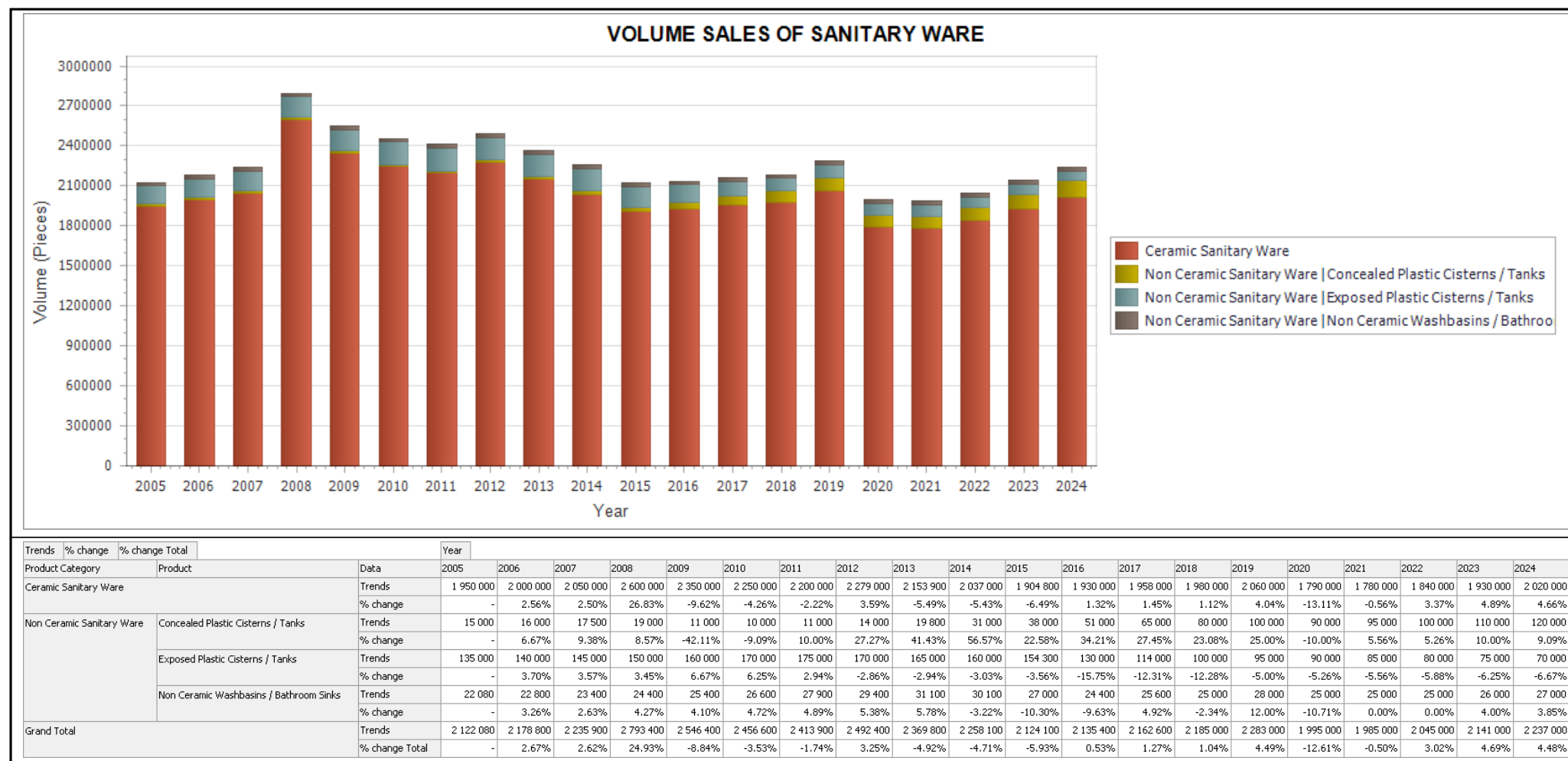
If the current situation does not deteriorate further, it is estimated that the overall market should grow in 2022 – supported by the replacement segment. It should be noted also that Ukrainian companies have lost significant share of the breakaway regions, which are predominantly supplied via Russia. In some cases, Ukrainian companies are forced to export goods to Russia, and from Russia ship goods to the Donbass region.

It is very difficult to produce a reliable forecast due to the changing economic and political situation. The market should be driven by an increase in replacement demand. The expansion of two strong players (GEBERIT and CERSANIT) is likely to change the shape of the market. CERSANIT is expected to successfully compete in the low-price segment. The share of domestic production is likely to increase further, due to major local production. Despite the fact that the market is still far from saturation, the new housing market, which is forecast to be depressed for the next couple of years, will prevent sales of sanitary ware from growing considerably. The end-use structure is expected to change in the near future, due to the forecasted decrease in housing completions. Housing RMI is forecast to increase over the forecast period for CSW and concealed plastic cisterns, while it is expected to shrink moderately for exposed plastic cisterns. The overall CSW market is predicted to move towards higher quality models in the long run (after consequences of the current crisis evaporate), which in turn should increase the average MSP.

The market is very sensitive to the political and economic situations and state funding. Taking into account the current budget deficit, it is expected that the government will start to reduce funding for social housing and state projects. Also, due to the current instability, the construction industry should remain under pressure and people will delay replacements. This is anticipated to have an effect on the sales mix as well as overall sales. Considering that most ceramic sanitary ware is produced locally, inflation will not affect this market as severely as other bathroom sectors.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

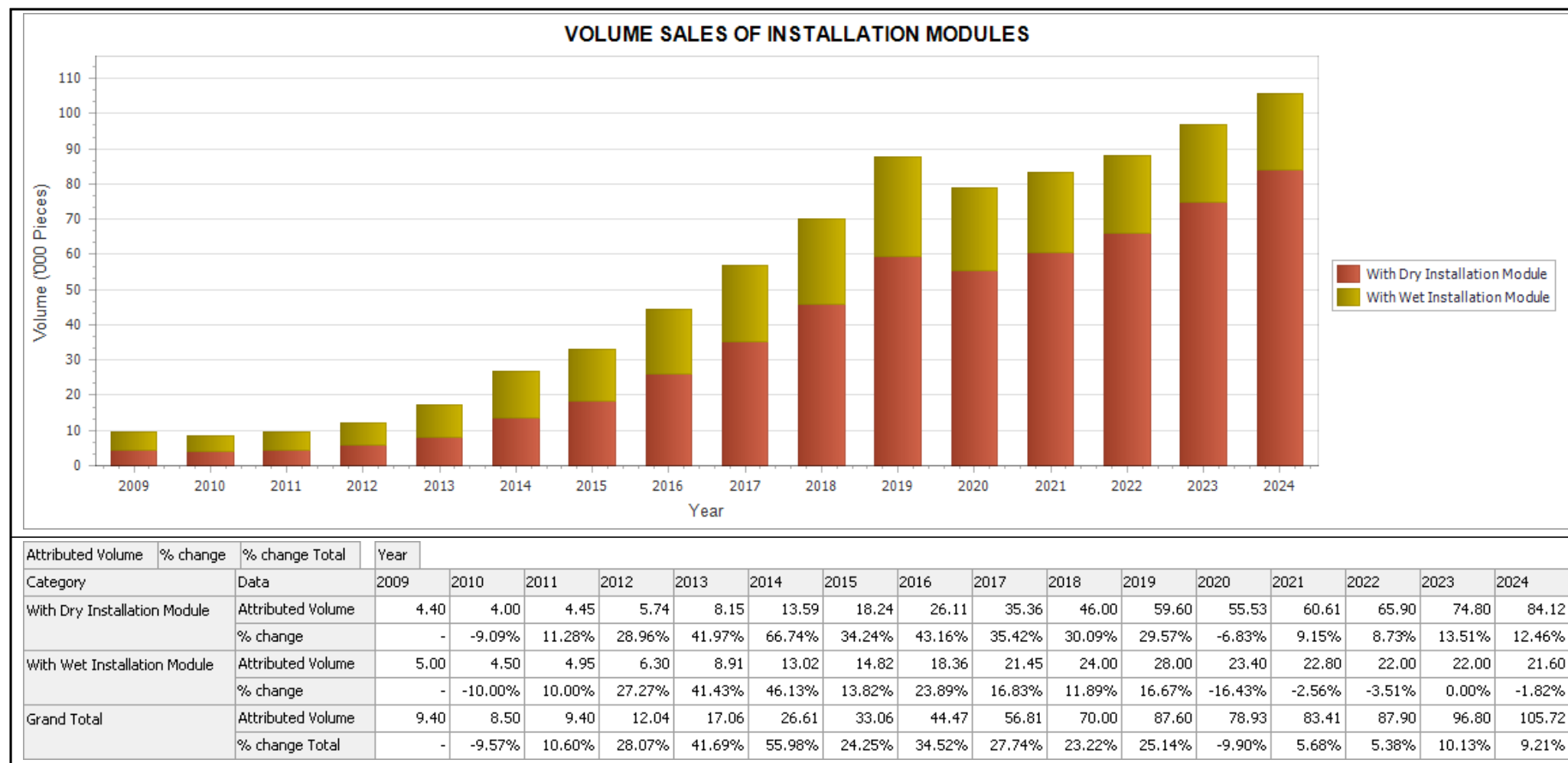
UA - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

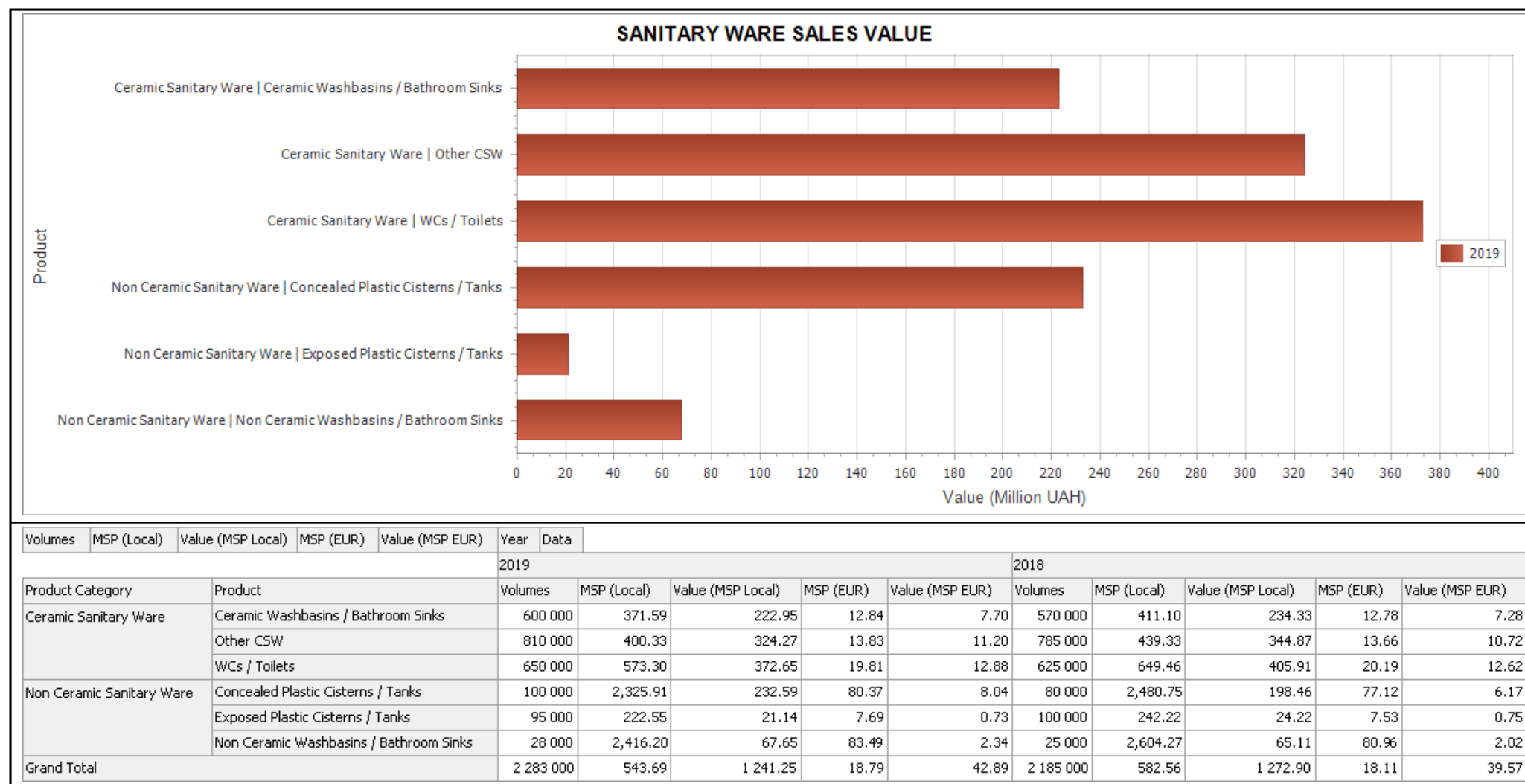
UA - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

UA - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in UAH. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

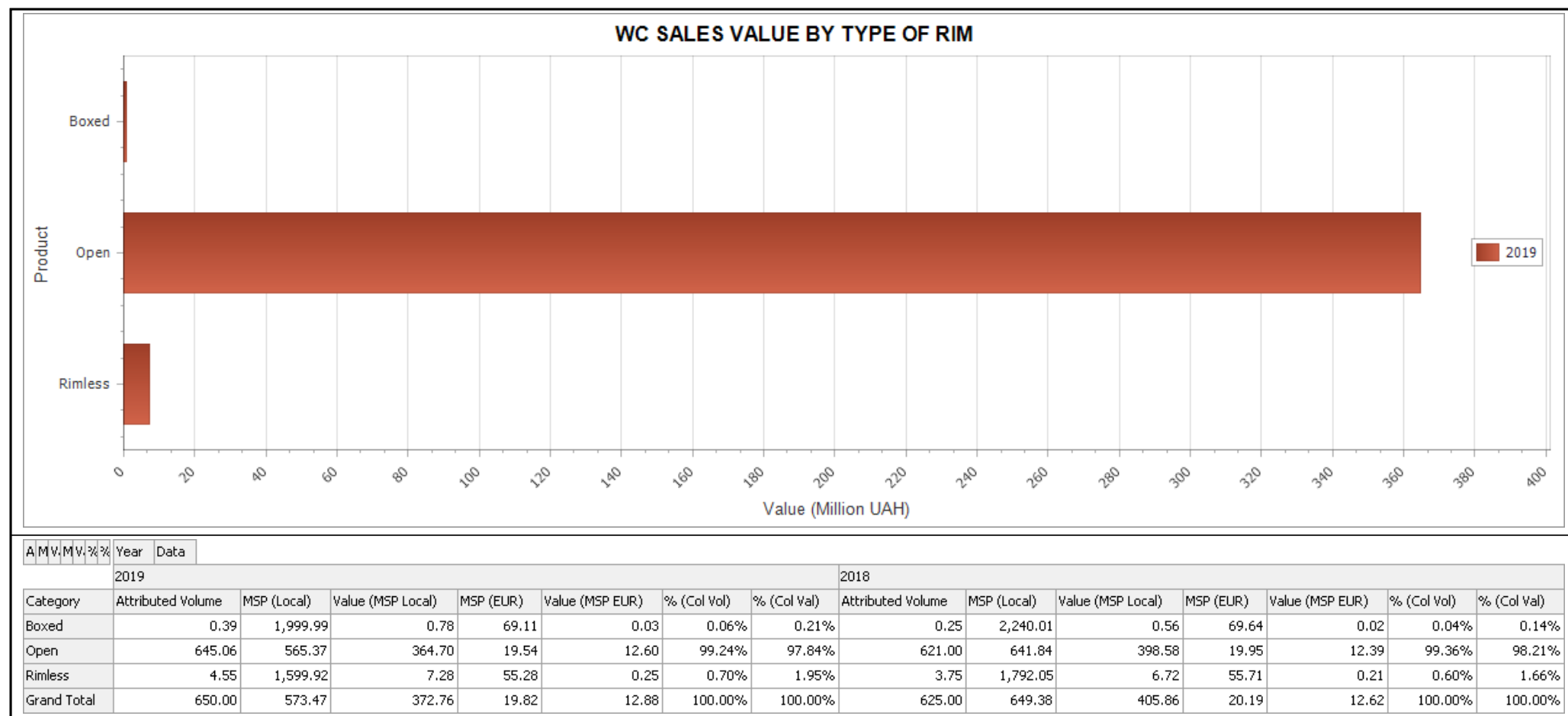
UA - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	168.00	28.00%	399.92	67.19	13.82	2.32	30.13%	158.46	27.80%	439.92	69.71	13.68	2.17	29.74%	
	Hand Washbasins	91.20	15.20%	217.08	19.80	7.50	0.68	8.88%	86.64	15.20%	241.08	20.89	7.49	0.65	8.91%	
	Inset Washbasins	3.00	0.50%	546.54	1.64	18.89	0.06	0.74%	2.85	0.50%	606.77	1.73	18.86	0.05	0.74%	
	Pedestal Washbasins	228.00	38.00%	375.09	85.52	12.96	2.96	38.35%	218.88	38.40%	416.29	91.12	12.94	2.83	38.88%	
	Semi-Recessed Washbasins	18.00	3.00%	480.15	8.64	16.59	0.30	3.88%	17.10	3.00%	532.97	9.11	16.57	0.28	3.89%	
	Undermount Washbasins	1.80	0.30%	468.49	0.84	16.19	0.03	0.38%	1.71	0.30%	520.00	0.89	16.17	0.03	0.38%	
	Wall Hung Washbasins	90.00	15.00%	437.17	39.35	15.11	1.36	17.65%	84.36	14.80%	485.29	40.94	15.09	1.27	17.47%	
Other CSW	Bidets	4.86	0.60%	875.09	4.25	30.24	0.15	1.31%	4.71	0.60%	863.74	4.07	26.85	0.13	1.18%	
	Close-Coupled Cisterns	552.32	68.20%	429.08	236.99	14.83	8.19	73.08%	535.22	68.19%	475.26	254.37	14.77	7.91	73.82%	
	Others	0.81	0.10%	439.99	0.36	15.20	0.01	0.11%	0.79	0.10%	478.39	0.38	14.87	0.01	0.11%	
	Pedestals & Half Pedestals	243.00	30.00%	329.94	80.18	11.40	2.77	24.73%	235.50	30.01%	353.15	83.17	10.98	2.59	24.14%	
	Urinals	8.91	1.10%	279.91	2.49	9.67	0.09	0.77%	8.64	1.10%	301.30	2.60	9.37	0.08	0.76%	
WCs / Toilets	Close-Coupled WC Bowls	458.90	70.60%	389.95	178.95	13.47	6.18	48.02%	441.25	70.60%	467.94	206.48	14.55	6.42	50.87%	
	Floor Standing WC Bowls	92.95	14.30%	377.91	35.13	13.06	1.21	9.43%	105.63	16.90%	453.51	47.90	14.10	1.49	11.80%	
	Wall Hung WC Bowls	98.15	15.10%	1,616.05	158.62	55.84	5.48	42.56%	78.13	12.50%	1,939.29	151.51	60.29	4.71	37.33%	
Grand Total		2 059.90	100.00%	446.59	919.94	15.43	31.79	100.00%	1 979.85	100.00%	497.44	984.86	15.46	30.62	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in UAH. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

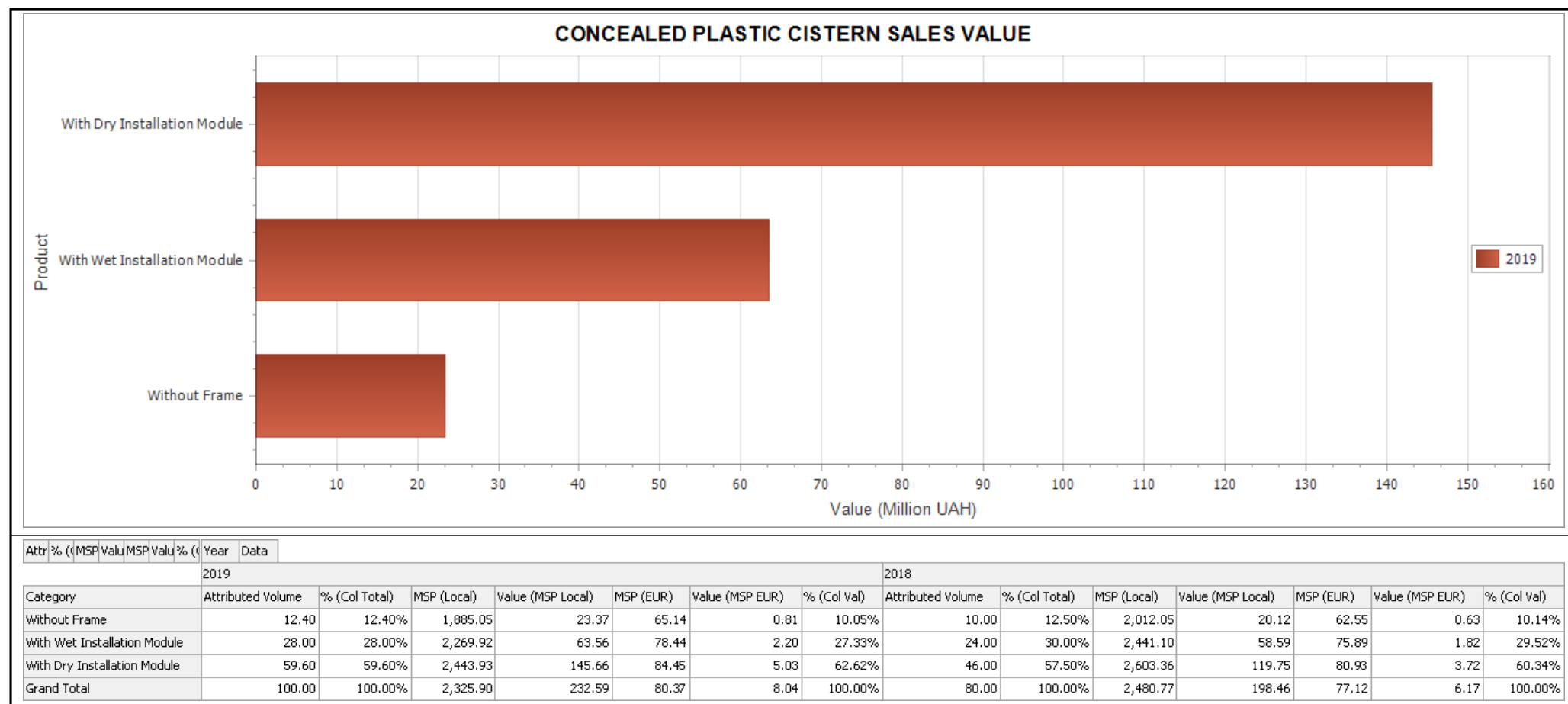
UA - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in UAH. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

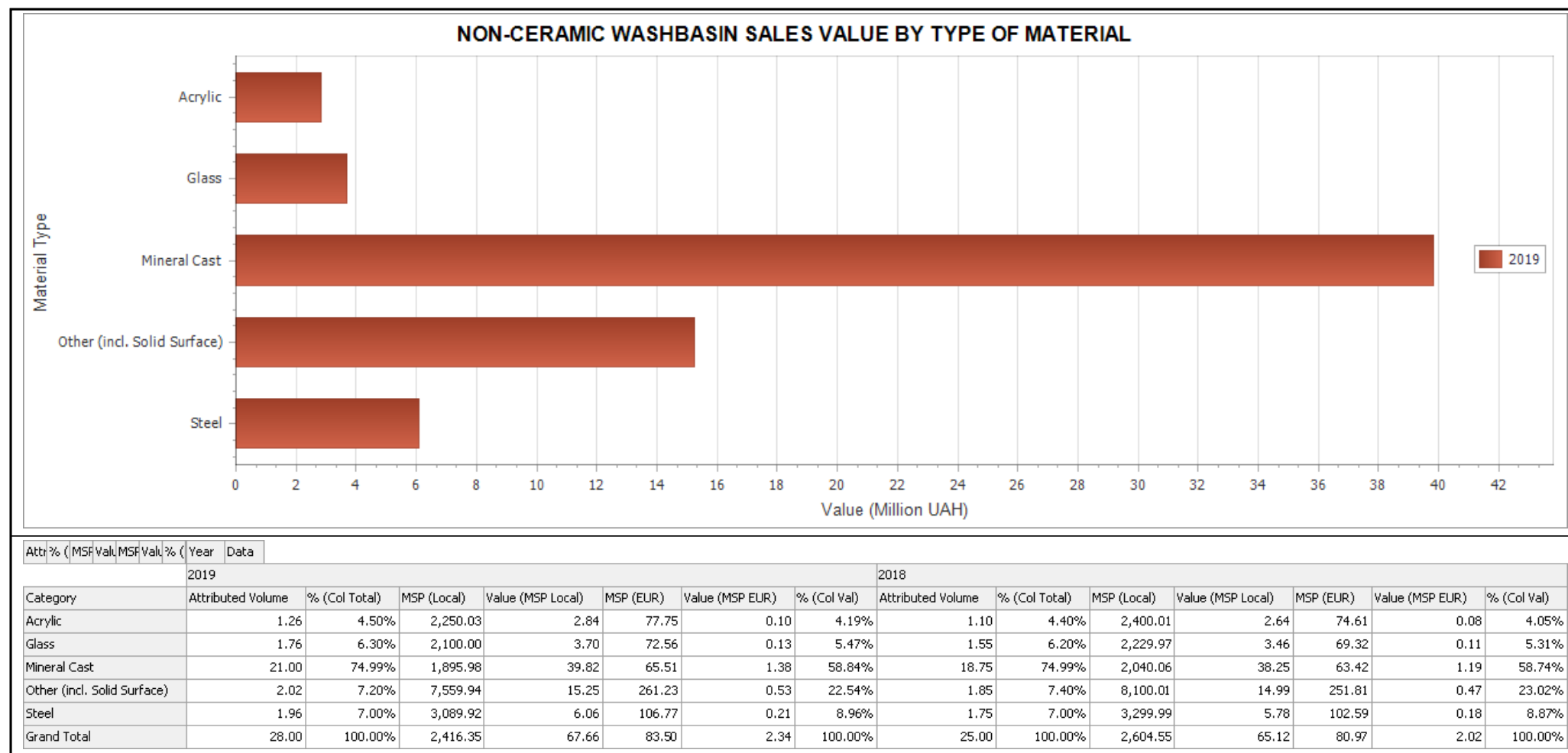
UA - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in UAH. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

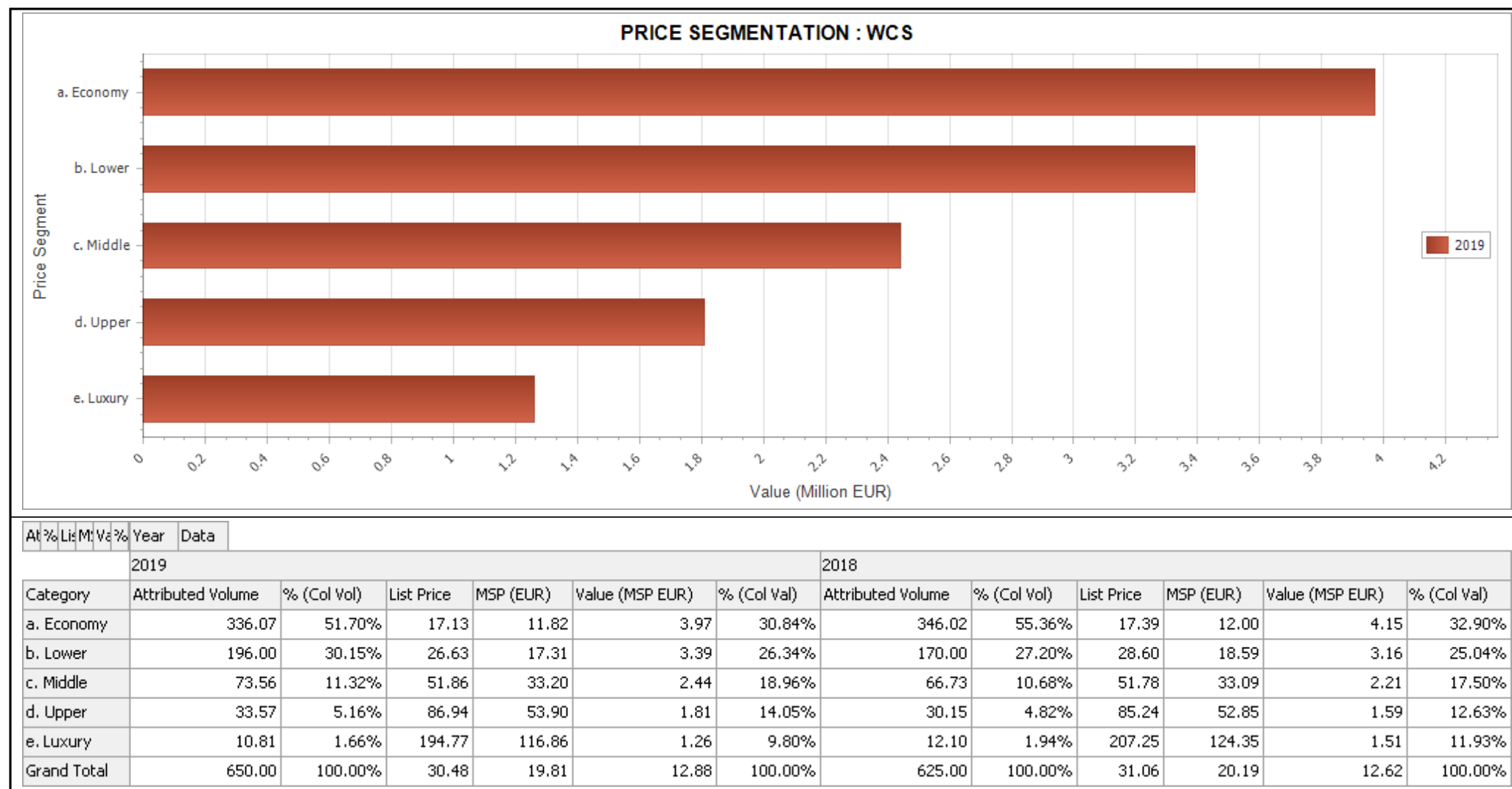
UA - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in UAH. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

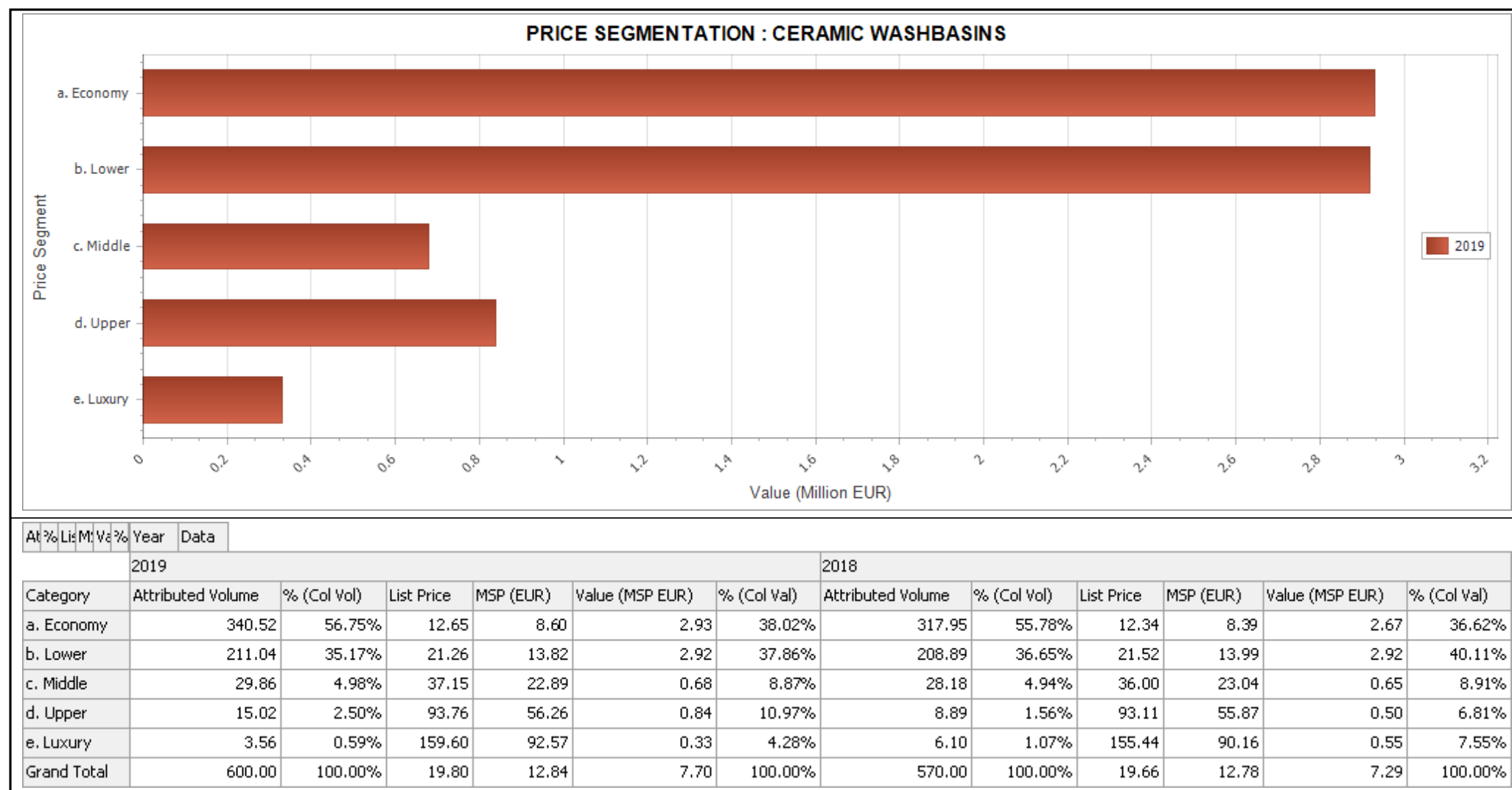
UA - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€25, Middle €25-€45, Upper >€45-€90, Luxury >€90

2.3.7 Price Segmentation : Ceramic Washbasins

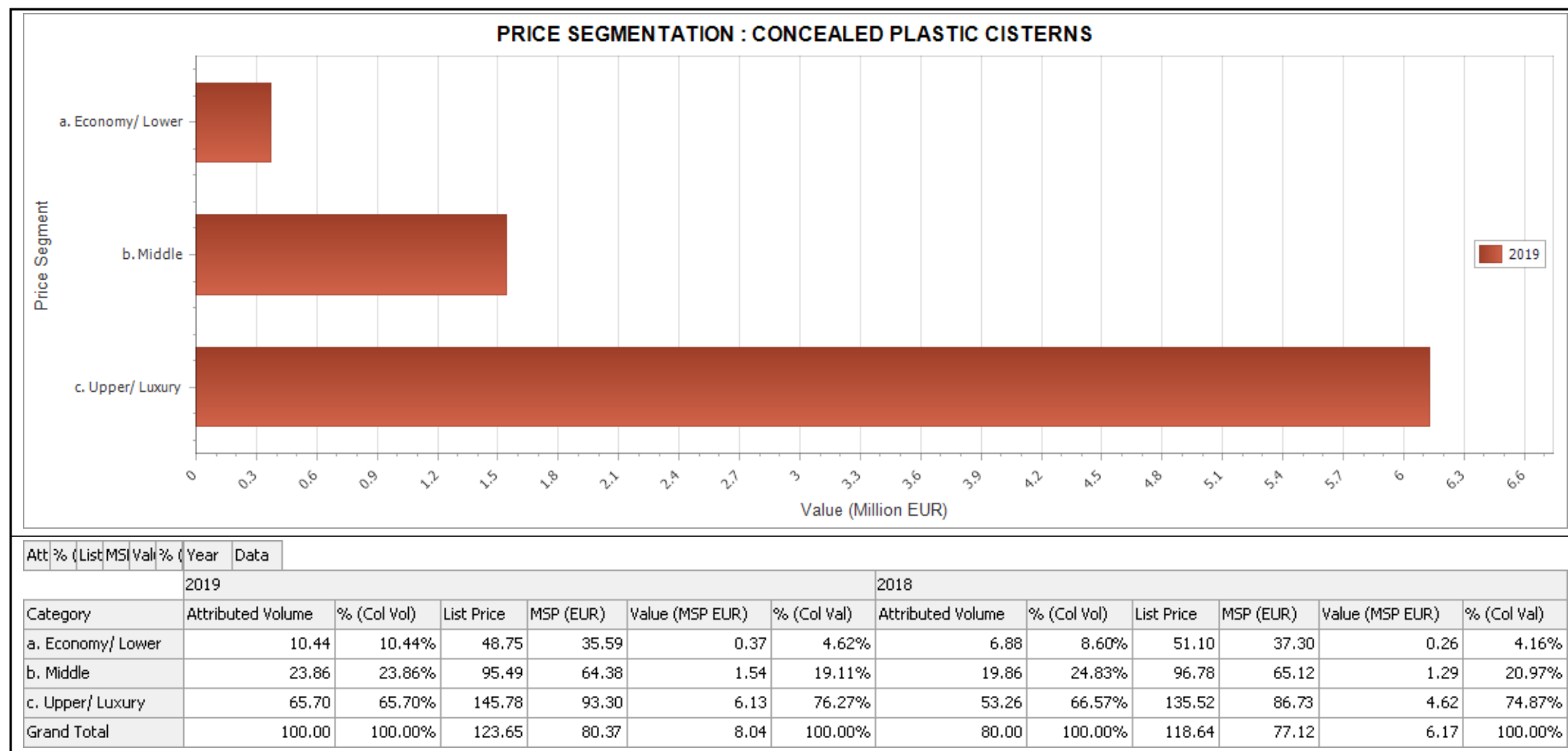
UA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€10, Lower €10-€15, Middle €15-€25, Upper >€25-€70, Luxury >€70

2.3.8 Price Segmentation : Concealed Plastic Cisterns

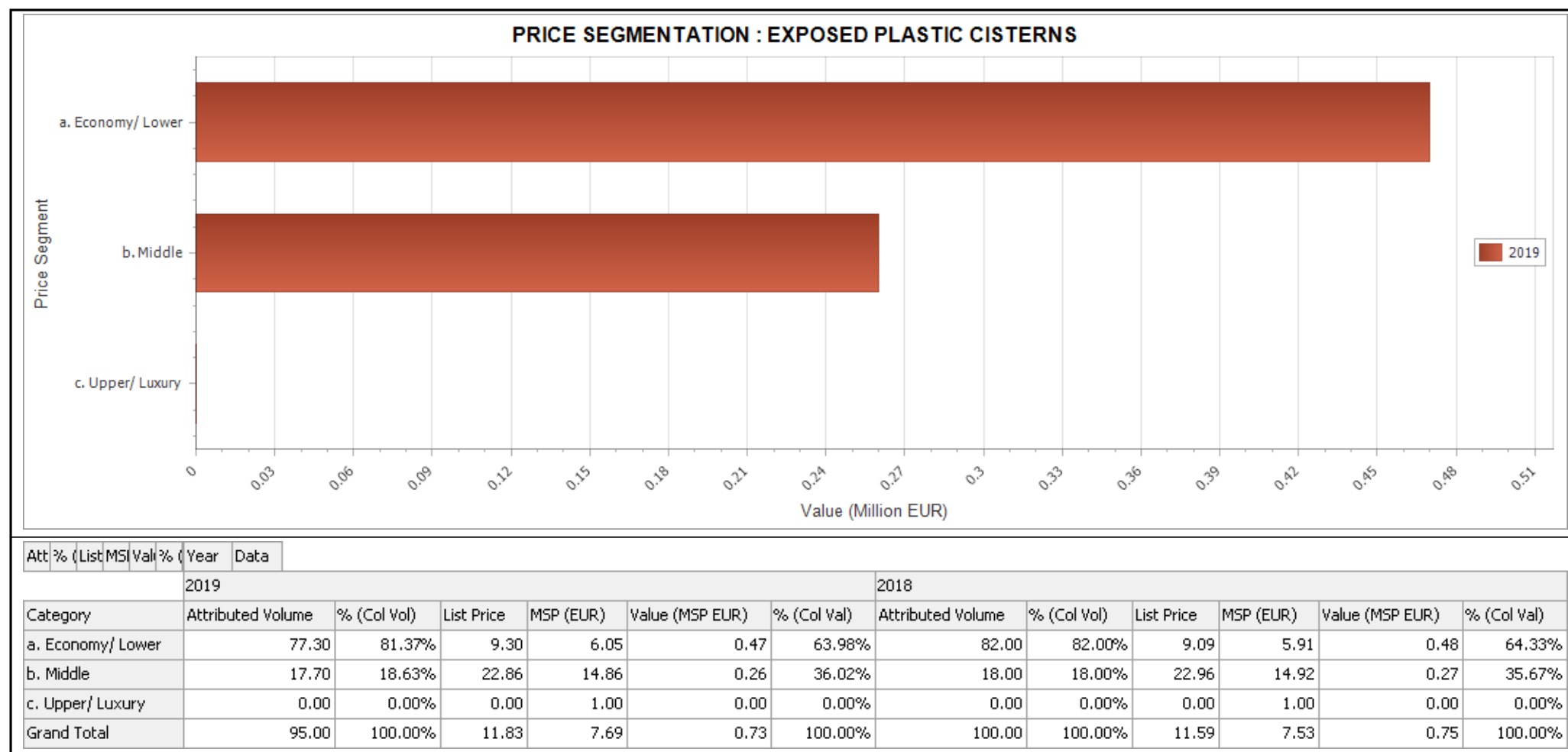
UA - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

2.3.9 Price Segmentation : Exposed Plastic Cisterns

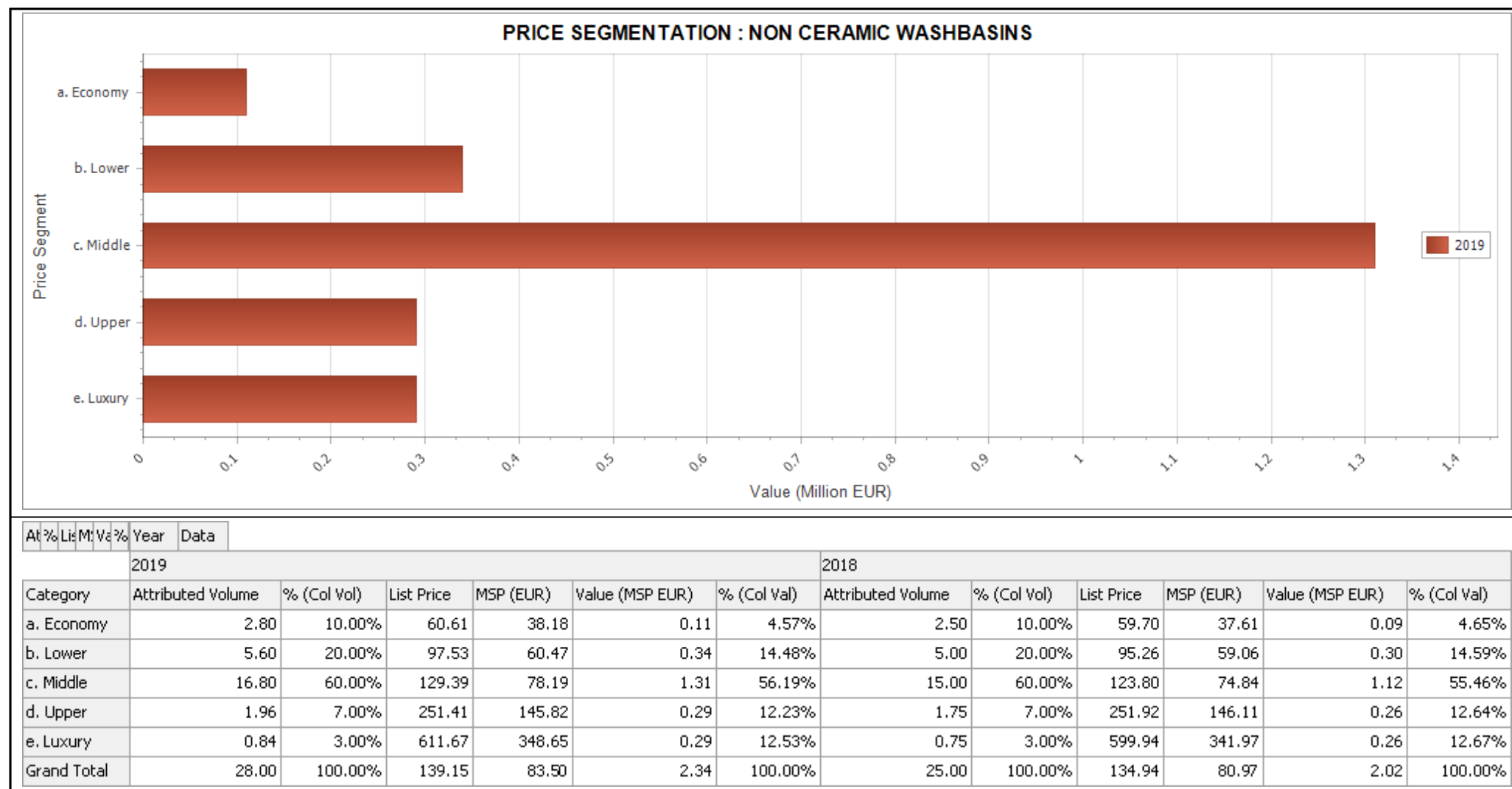
UA - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

2.3.10 Price Segmentation : Non Ceramic Washbasins

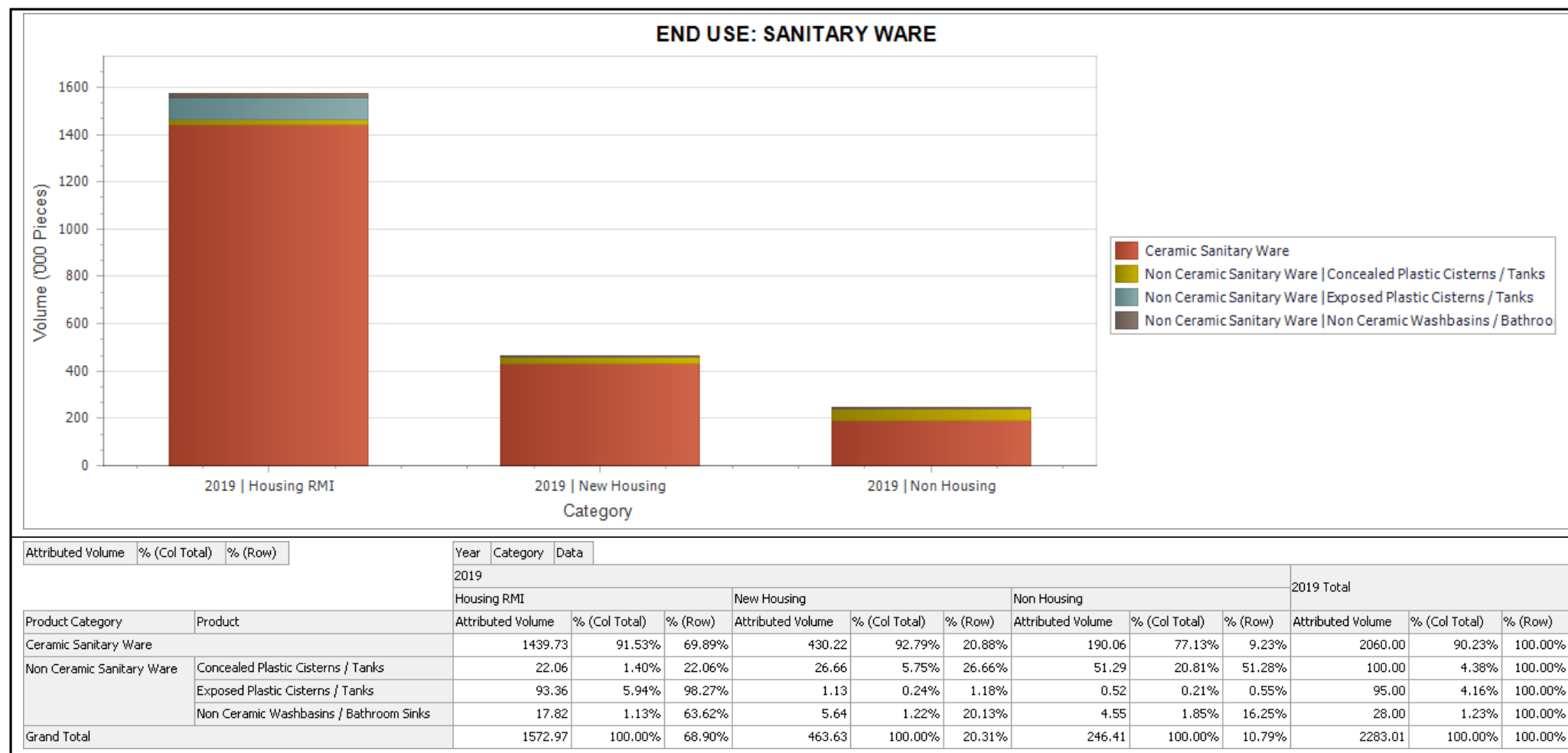
UA - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€70, Middle €70-€100, Upper >€100-€200, Luxury >€200

2.4.1 End Use : Base Year

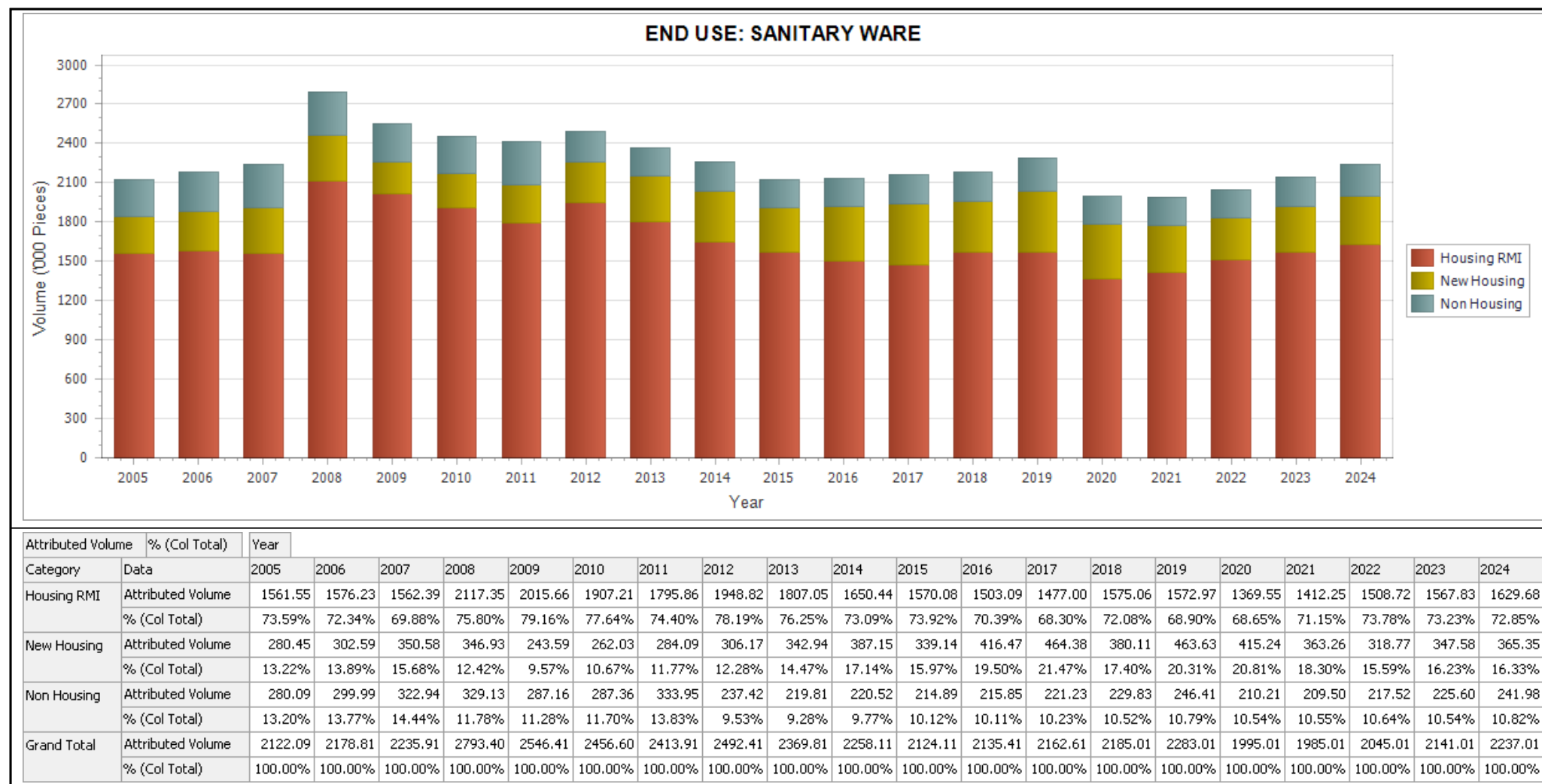
UA - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

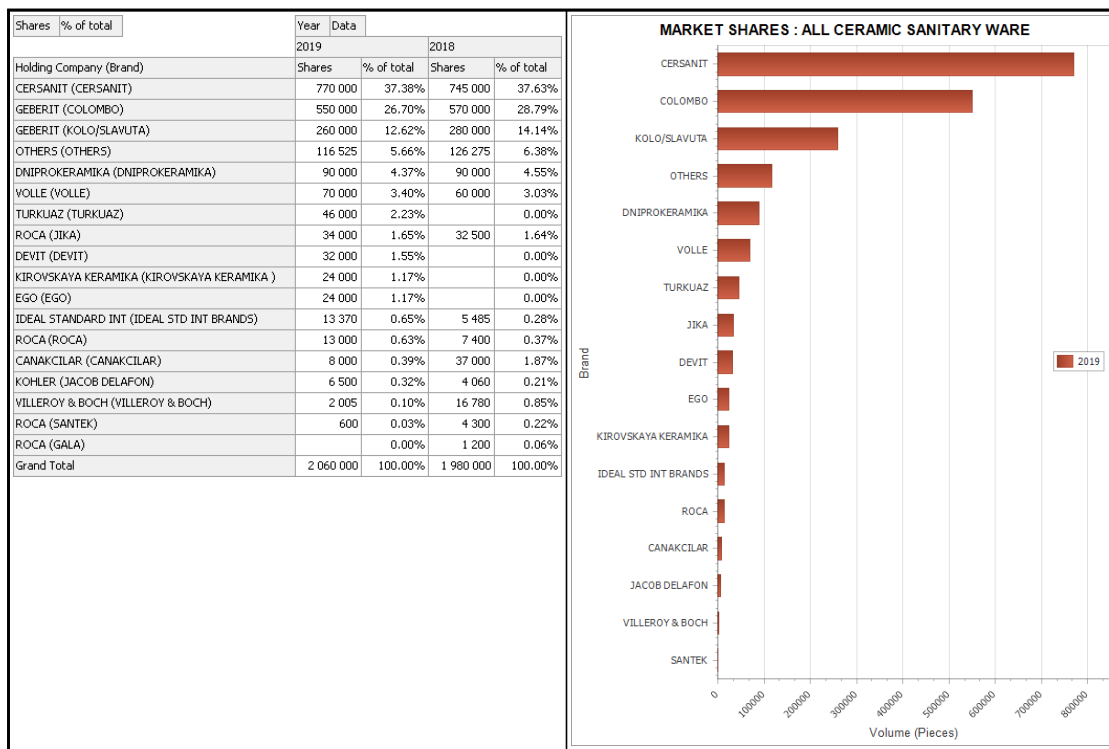
UA - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

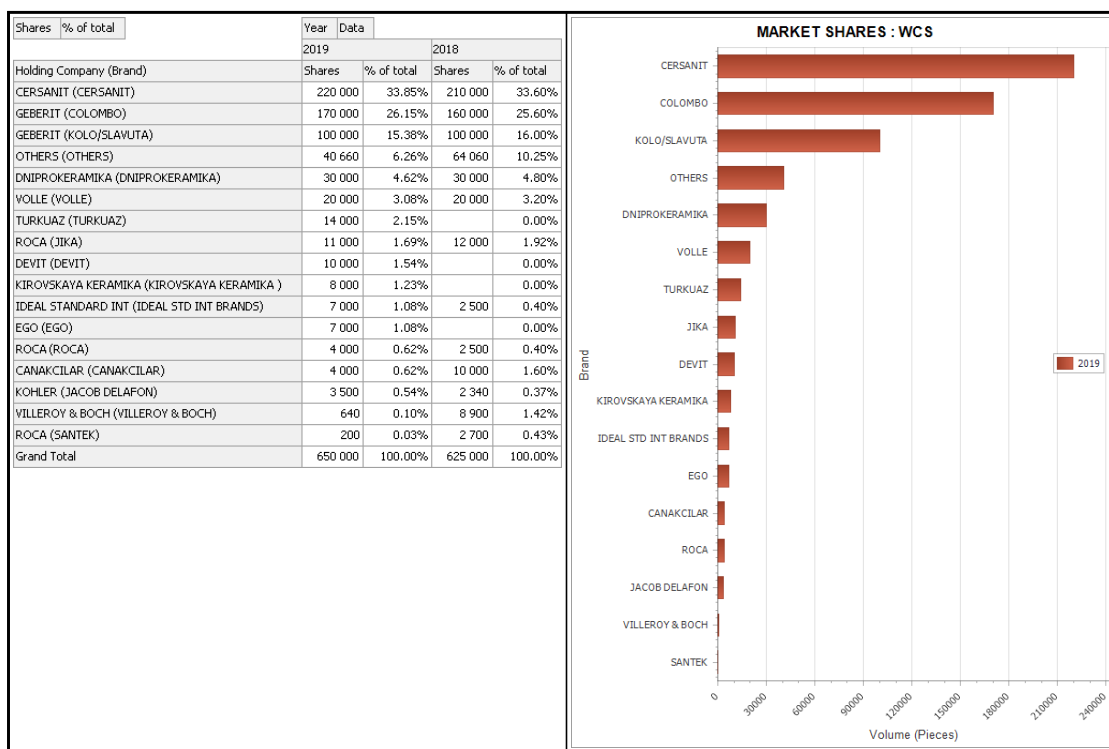
UA - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

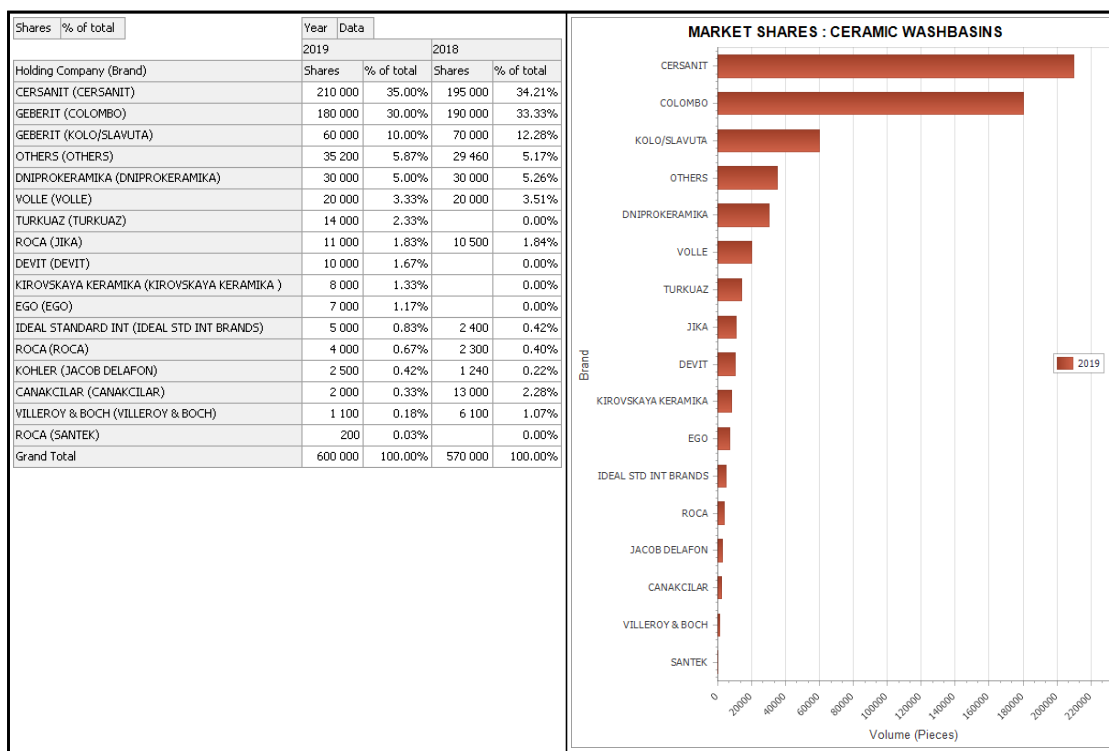
UA - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

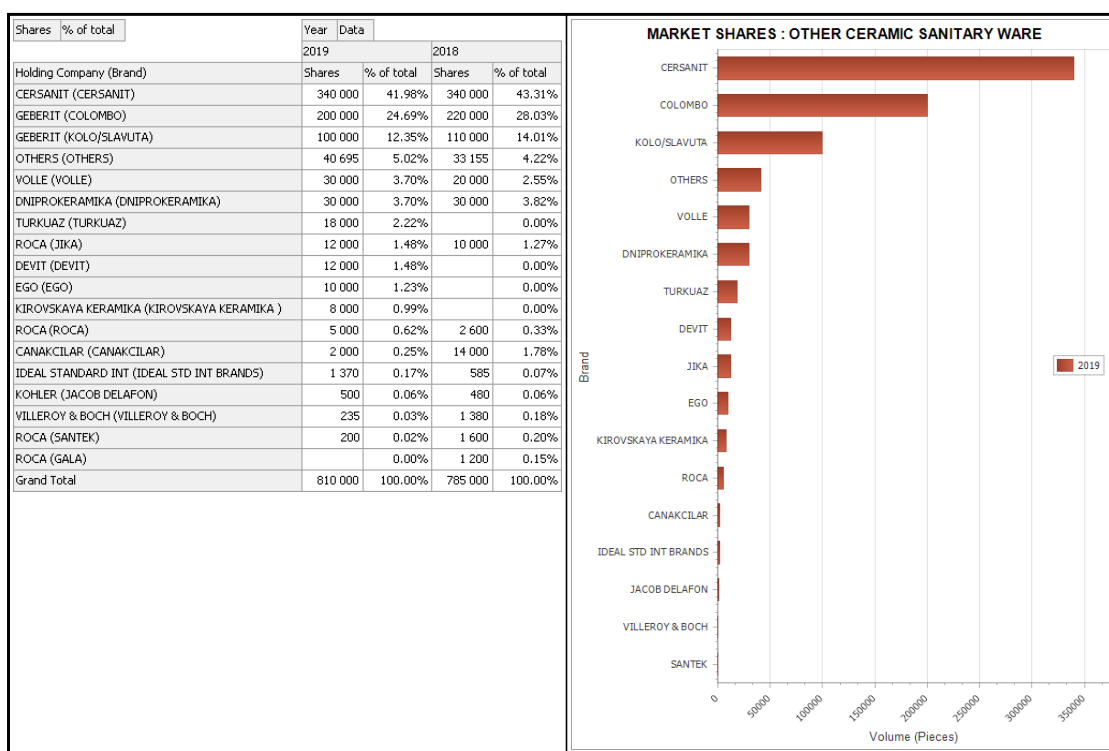
UA - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

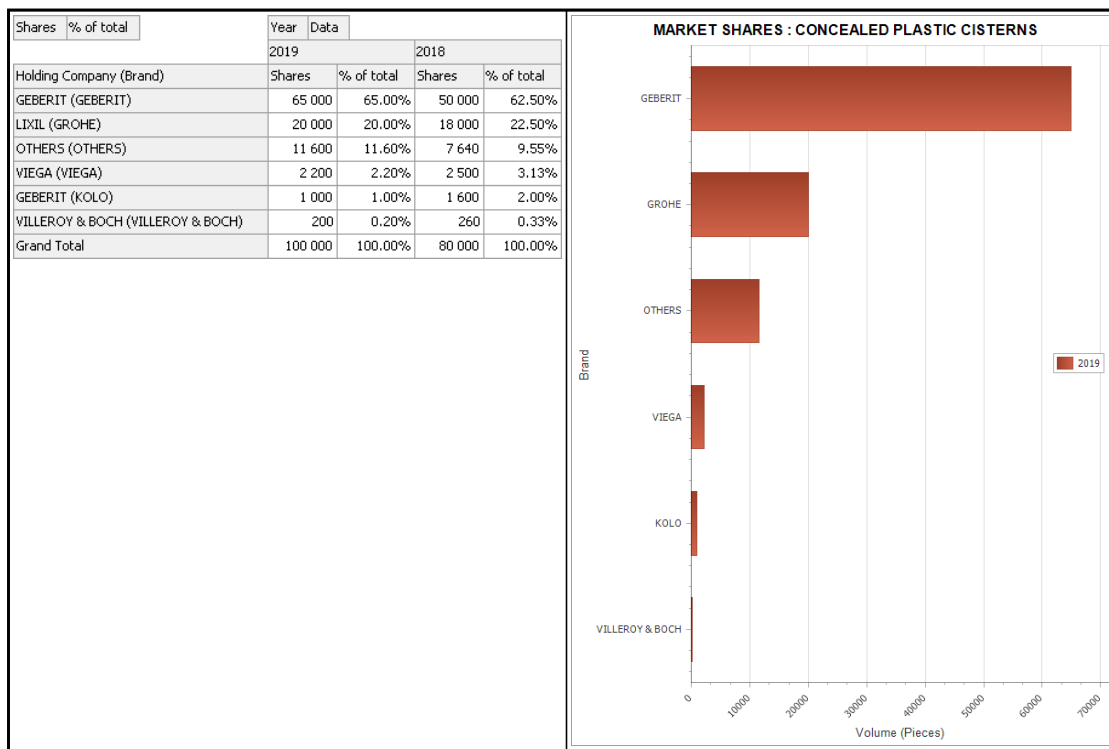
UA - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

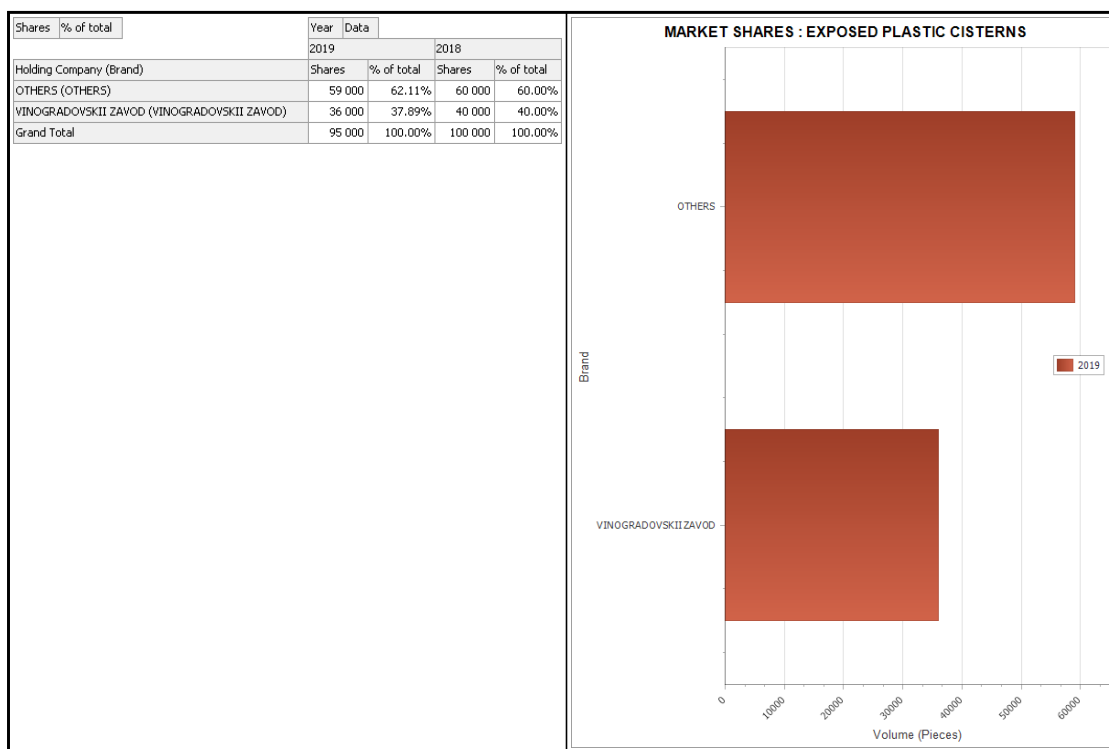
UA - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

UA - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1

Route to Market: Ceramic Sanitary Ware
UA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	85.5%
	Wholesalers / Merchants
	85.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	6.0%	14.5%	15.0%	0.0%	39.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.0%		29.5%		39.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	0.0%	1.0%	9.0%
Installers				
13.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	19.5%	6.0%	28.5%	30.0%	6.8%	0.0%	3.0%	0.0%	0.0%	0.0%	6.2%
	Residential						Non-Residential					
	90.8%						9.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	20.9%			69.9%			2.0%			7.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	19.0%		1.9%	2.0%		67.9%	2.0%		0.0%	6.0%		1.2%

2.6.2

Route to Market: Ceramic Sanitary Ware
UA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.0%
	Wholesalers / Merchants
	77.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	7.0%	23.0%	11.0%	0.0%	38.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.0%		34.0%		38.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	0.0%	0.0%	11.0%
Installers				
14.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	15.0%	7.0%	34.0%	27.0%	7.9%	0.0%	3.0%	0.0%	0.0%	0.0%	6.1%
	Residential						Non-Residential					
	90.9%						9.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.7%			75.2%			2.0%			7.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	14.0%		1.7%	2.0%		73.2%	2.0%		0.0%	6.0%		1.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.6.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

UA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

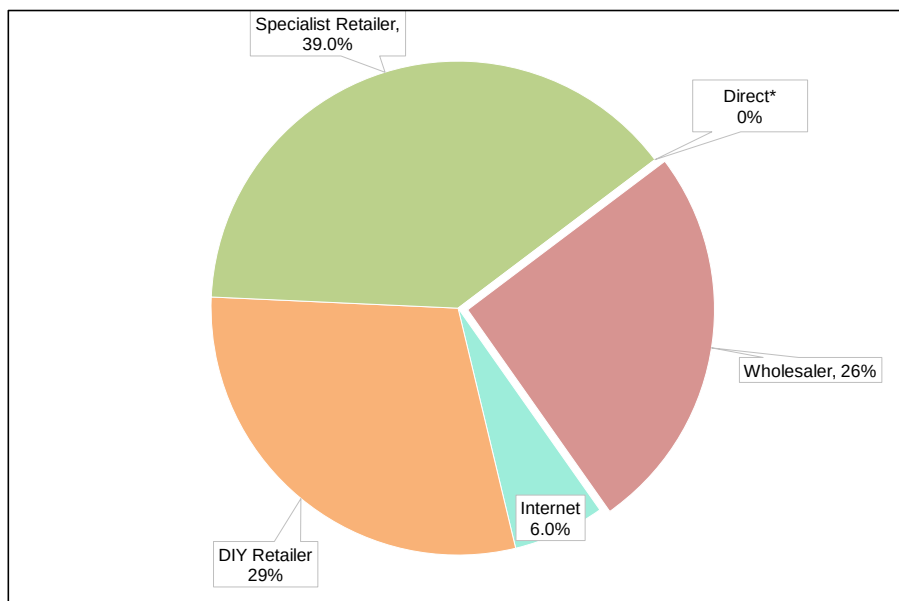
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.5%	6.0%	29.5%	39.0%	0.0%	21.0%	8.0%	69.8%	1.2%
100%					29.0%		71.0%	

2.6.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

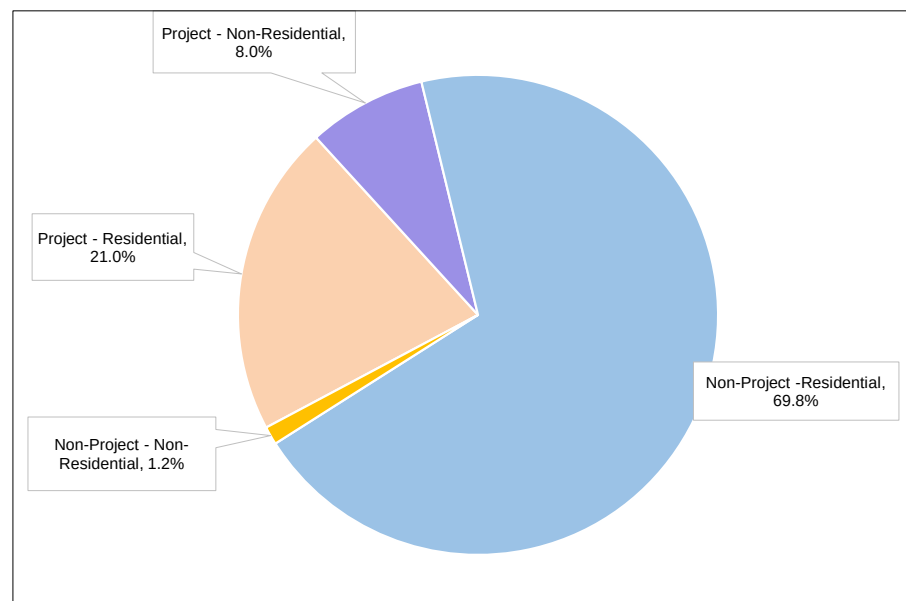
UA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.0%	7.0%	34.0%	38.0%	0.0%	16.0%	8.0%	74.9%	1.1%
100%					24.0%		76.0%	

UA - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



UA - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.6.5

Route to Market: Plastic Cisterns
UA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

92.8%
Wholesalers / Merchants
92.8%

Retail Level

Manufacturer	Wholesaler
0.0%	4.0%
Internet Retailers	
4.0%	

Manufacturer	Wholesaler
7.2%	27.0%
DIY Retailers	
34.2%	

Manufacturer	Wholesaler
0.0%	42.0%
Specialist Retailers	
42.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	7.0%	0.0%	2.0%	12.0%
Installers				
21.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.8%	4.0%	32.2%	20.0%	14.4%
Residential					
73.4%					
New Build			Residential RMI		
14.2%			59.2%		
Project	Non-Project	Project	Non-Project		
13.0%	1.2%	2.0%	57.2%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	10.0%	0.0%	0.0%	10.0%	6.6%
Non-Residential					
26.6%					
New Build			Non-Residential RMI		
7.0%			19.6%		
Project	Non-Project	Project	Non-Project		
7.0%	0.0%	18.0%	1.6%		

2.6.6

Route to Market: Plastic Cisterns
UA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

95.0%
Wholesalers / Merchants
95.0%

Retail Level

Manufacturer	Wholesaler
0.0%	6.0%
Internet Retailers	
6.0%	

Manufacturer	Wholesaler
5.0%	22.0%
DIY Retailers	
27.0%	

Manufacturer	Wholesaler
0.0%	44.0%
Specialist Retailers	
44.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.0%	0.0%	2.0%	22.0%
Installers				
29.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.0%	6.0%	25.0%	12.0%	25.7%
Residential					
72.7%					
New Build			Residential RMI		
22.7%			50.0%		
Project	Non-Project	Project	Non-Project		
21.0%	1.7%	2.0%	48.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	14.0%	0.0%	0.0%	10.0%	3.3%
Non-Residential					
27.3%					
New Build			Non-Residential RMI		
7.0%			20.3%		
Project	Non-Project	Project	Non-Project		
7.0%	0.0%	19.0%	1.3%		

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.6.7 Route to Market - Consolidated View : Plastic Cisterns

UA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

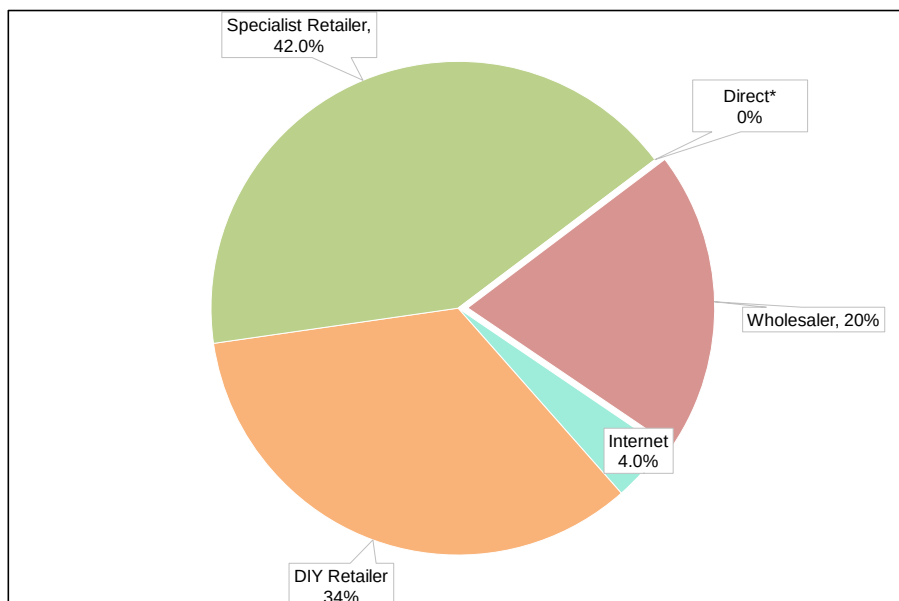
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.8%	4.0%	34.2%	42.0%	0.0%	15.0%	25.0%	58.4%	1.6%
100%					40.0%		60.0%	

2.6.8 Route to Market - Consolidated View : Plastic Cisterns

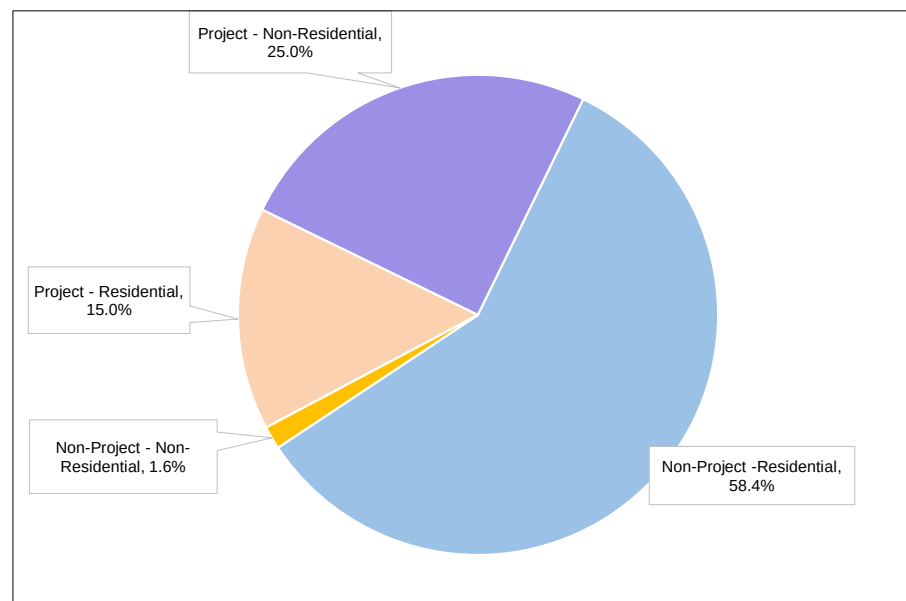
UA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.0%	6.0%	27.0%	44.0%	0.0%	23.0%	26.0%	49.7%	1.3%
100%					49.0%		51.0%	

UA - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



UA - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



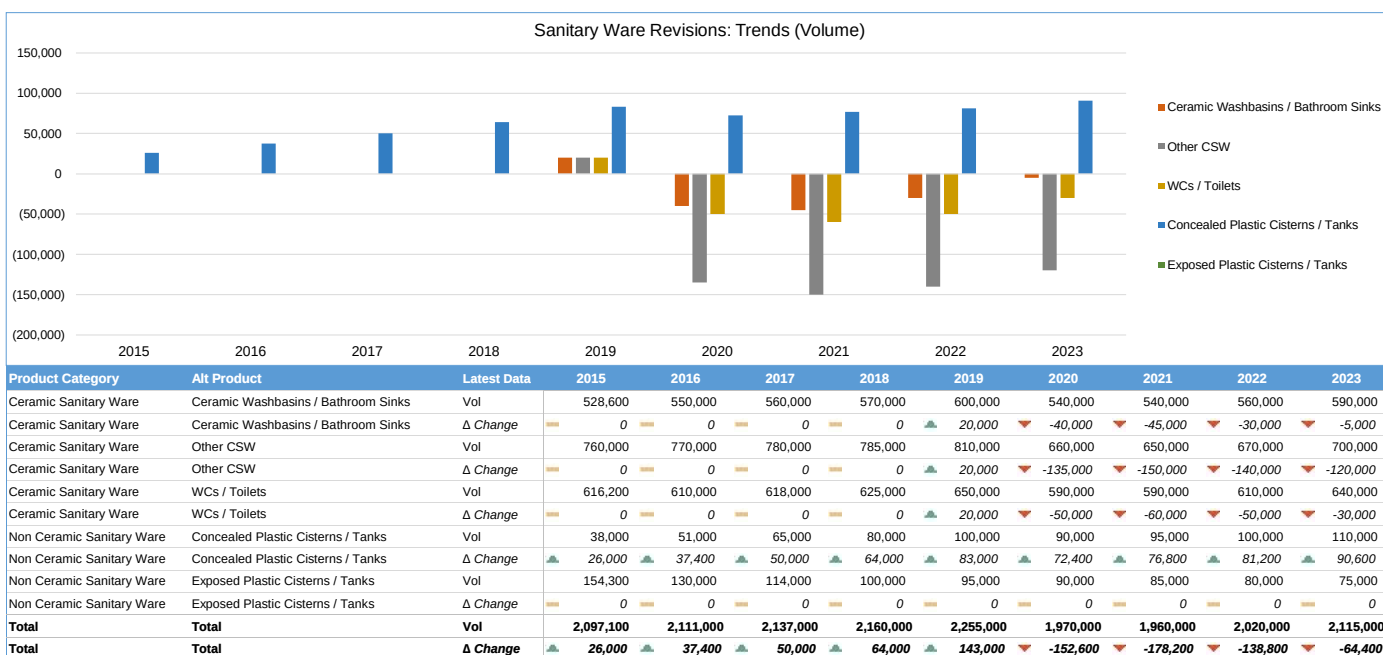
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7 Revisions in the Ukrainian Sanitary Ware Market (July 2020)

UA - REVISIONS IN THE UKRAINIAN SANITARY WARE MARKET

Data Comparison: July 2019



In light of new data from manufacturers, sales of concealed plastic cisterns have been revised upwards for 2012-2019. This affected to change in the end use and caused increase in average prices.

Sales of ceramic sanitary ware and non ceramic washbasins have been revised upwards for 2019 due to higher than expected new housing completions.

UKRAINE

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

There are two general groups of tap and mixer products recognised in the Ukrainian market, namely imports from Europe and imports from the Far East, mainly China. Most European imported taps and mixers tend to be installed in new individual housing, commercial developments, and for renovation. Asian mixers go into municipal projects in either new construction or renovation or bought directly by private consumers for replacement.

The major characteristics of the Ukrainian market, in general, are as follows:

Inherited from Soviet times, wall mounted mixers are still popular among the senior population. Although the trend is towards appliance mounted mixers, wall mounted mixers remain popular as their replacement involves changing ceramic sanitary ware and wall piping. Some Asian importers have realised the potential of the segment and adjusted their product lines;

The two head mixer is losing its share and is the second-most popular model, with many of the wall mounted mixers having a long swivel spout, serving both the bath and the washbasin;

Electronic and self-closing taps and mixers are installed in the non-housing segment. Due to the pandemic, sales of electronic mixers significantly increased in 2020;

Single lever, or one head, mixers are the most popular model. They are represented mainly by imported products. Importers and distributors highly recommend using a filter if single lever mixers are installed, given the poor quality of Ukrainian water. Due to the size of the Ukrainian bathroom market, some importers have started to offer specially-designed (long swivel) adapted mixers for the Ukrainian market;

The share of pillar taps is very low. They are used only occasionally, mainly for summer houses where only one source of water is available;

Sales of thermostatic mixers remain marginal. Further development is hampered due to the low quality of Ukrainian water, the high retail price of the mixer, and the low awareness of the Ukrainian public. As in the rest of Eastern Europe, this type of mixer is mainly purchased for luxury homes;

Sales of wall mounted mixers (apart from the traditional Soviet-type wall hung mixers) remain minimal.

Recent Market Trends

Similar to most bathroom products, sales of taps and mixers increased in 2019. The main segment driving the market has been the replacement sector. Considering mixers are relatively cheap compared to other products, most of the population can afford to buy and replace them. Their demand in the replacement sector has continued to increase, as it is still very far from saturation. Construction completions increased in 2019, driving the overall market further up.

The market is still very price-sensitive in nature, with low-priced products from the Far East dominating the market. European-branded products account for a fraction of the market. Due to flooding with low price Asian products, the lifespan and quality of the products is declining. Some of them even require replacement after one year. Therefore, the replacement rate of mixers is increasing. In addition, due to the poor economic situation, the population gives preference to lower priced products.

Similar to previous years, some new brands have been introduced to the market and some old brands have been divested. The market is moving from unbranded to OEM products, with some Ukrainian companies introducing OEM brands. Asian companies have successfully introduced 'elochki' mixers, and they are mainly selling these products in the regions. Internet sales have increased further. Predominantly, branded products in the middle and upper segments are sold online. Share of coloured and particularly black taps and mixers increased in 2019.

Prices and Market Values

There are no local tap and mixer manufacturers; all of these products are imported. The value of the Ukrainian sanitary tap and mixer market increased in 2019 in EUR, due to the increase in MSPs and sales. Manufacturers also tried to keep prices as low as possible in order to maintain a presence in Ukraine. Ukraine is a price-driven market, with about 85% of the sales volume being in the economy and low-price segments. In terms of logistics, the prices have not been affected significantly, as all products are entering Ukraine from the south and west.

New Housing

Due to increased residential completions, the end-use share of this segment increased in 2019. Over the forecast period, the share of this sector is estimated to decline in favour of replacement. New housing construction is expected to dip after 2019 in the short term. Sales are likely to follow a similar trend. One-lever mixers are most popular in the new construction sector. Usually, three mixers are installed per flat. More mixers are installed in luxury housing and villas with several bathrooms. In new private housing, the average size of dwellings is now larger and, consequently, so is the number of mixers per dwelling. The long swivel Ukrainian wall mounted mixer is on the way out, now mainly used in low cost municipal housing (either new or renovation). The trend in new private construction is to

install one mixer per appliance.

Predominantly Asian products are installed in social housing, while in commercial and residential housing preference is given to European-branded production. Usually, established European brands manage to win commercial projects in large cities.

Housing RMI

The replacement segment has grown, as did the overall market in 2019. The mixers remain one of the cheapest options among bathroom products, and almost all layers of the population can afford to buy one. One of the important market drivers is the decreasing lifespan of mixers. The share of cheap and short-lifespan products has been increasing in recent years. Consequently, the products require more frequent replacement. The trend is forecast to continue beyond 2020. The Ukrainian market is driven to a significant extent by home replacement, either by the replacement of old taps or the addition of new ones. The typical Ukrainian bathroom built in Soviet times had a cast iron bath, a washbasin with a wall mounted mixer with a long spout that swivelled over the bath, and a WC. The replacement levels are relatively low compared to the size of the market, and the market is still far from maturity. Therefore, it will have very good growth potential when the economy starts to grow again.

Non-Housing

BRG estimates that sales to the non-housing sector should remain small. Main end users for mixers are hotels and state authorities; however, demand also comes from business offices, trade centres, etc. Similar to residential construction, this sector is set to be affected negatively as completions are set to be depressed, and most of the sales are likely to go to replacement.

The non-housing market is far from saturation, but there is only marginal growth potential in the current economic environment. Almost all electronic and self-closing valves are installed in the non-housing segment, such as public toilets and hospitals. Sales of electronic valves sharply increased in the first half of 2020 due to the COVID-19 pandemic.

Supply Structure

The Ukrainian taps and mixers market is difficult to quantify due to the large scale of unofficial imports of mixers, mainly in the west and south of Ukraine and coming from Italy, Poland, Bulgaria, Spain, Turkey, and directly from the Far East (mainly China). Some Asian products are imported from Poland rather than directly from China.

The taps and mixers market is very fragmented. The leading companies on the Ukrainian market are Asian manufacturers, which offer the lowest prices. GROHE, HANSGROHE, and KLUDI remain clear market leaders among European

manufacturers. In terms of private labels, EGO, BRAVAT, KRAFT, SALONE, TROYA, and DEVIT are believed to be the largest brands.

Italian manufacturers enjoy a high-quality image among Ukrainian consumers. Supply from Italy is varied and there are around ten brands, sourced by different companies in small quantities. This extends to all bathroom products, including mixers.

In addition to the known brands mentioned above, there are substantial volumes of unbranded, anonymous imports coming from Italy and China and some imports from the rest of Asia. Chinese imports are usually unbranded or branded on demand, coming in designs that are popular or requested and several times cheaper than the copied originals.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3 and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Ukraine in March 2020 which led to lockdown. Each Ukrainian region has managed the crisis differently based on the local extent of the spread of the virus. Some bathroom product manufacturers decreased outputs in April and similar to the rest of the Europe, offices switched to remote operations.

Construction was frozen temporarily depending on the region. Block dwelling construction activity significantly declined in April 2020. Individual housing construction was not affected much and was predominantly ongoing. Installation activities also declined significantly in some regions. Even though installers did not have shortage of mixers homeowners were cautious to allow installers in. Lockdown lasted for about two months and the country started gradually reopening by the end of May. However, lockdown measures were made stricter in three (Western Ukraine) regions due to deterioration of situation in June. The government decided to keep 'adaptive lockdown' until 31 July.

Ukraine is a relatively poor country with limited resources. Most Ukrainians do not have savings. The government was unable to properly support small businesses and low-income families. The lockdown process was mismanaged to a certain degree and did not lead to a significant fall in COVID-19 cases. The number of cases rapidly increased in some regions after lockdown was eased. Unless the death toll and infections increase significantly, the government would not introduce another lockdown as both state and private household savings are depleted. Most likely these lockdowns would be local rather than covering whole country.

Other factors to reshape the taps and mixers market are the construction and replacement segments. Some projects were put on hold due to lockdown measures. Some developers have realised that they would not be able to sell dwellings profitably and they might decide to freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of bathroom products or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone purchases and try to fix broken mixers instead of replacing them. Only necessary replacements will take place on the market and most consumers will be largely influenced by price rather than quality. Some households may opt to purchase the lowest-priced appliances as a temporary solution. However, it should be noted that some consumers with sufficient savings and a stable financial situation decided to use the lockdown period to start renovations. Devaluation of local currency prompted people to spend money and purchase goods (including mixers) before UAH devaluated further in 2020.

BRG's forecast assumes that there will not be a full scale military conflict in Ukraine and political instability should be localised in only three eastern regions, with the central government losing (at least) legal control over them; the COVID-19 pressure would remain stable and limited to local lockdowns.

The overall mixers market is forecast to decline in 2020 due to the lockdown, decreased purchasing power of general population, devaluation of local currency, and an expected fall in construction. Unemployment is likely to increase and real wages of the population are likely to decline. The overall bathroom products market is forecast to remain under significant pressure and expected to start recovering in 2021 (unless it is hit by other shocks or a significantly worse spread of COVID-19). There is a high degree of certainty that some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022. The overall market is set to grow in the long term, as the replacement level has remained low over the last decade and the market is far from saturation.

The taps and mixers market is estimated to perform better than other segments of the bathroom market. Mixers are relatively cheap when compared to other bathroom products, and most people can afford to replace a broken mixer. The market is still far from saturation and has a good potential to grow. The lifespans of products are gradually declining due to low quality and will thus require more frequent replacement.

For the size of the country, Ukraine's tap and mixer market is considered to be small yet with a lot of potential for growth. It is expected that the market will continue to grow mainly driven by increasing sales in replacement. Even though

the replacement segment is expected to grow noticeably, the new housing segment is forecast to decline as new housing completions are hitting low levels.

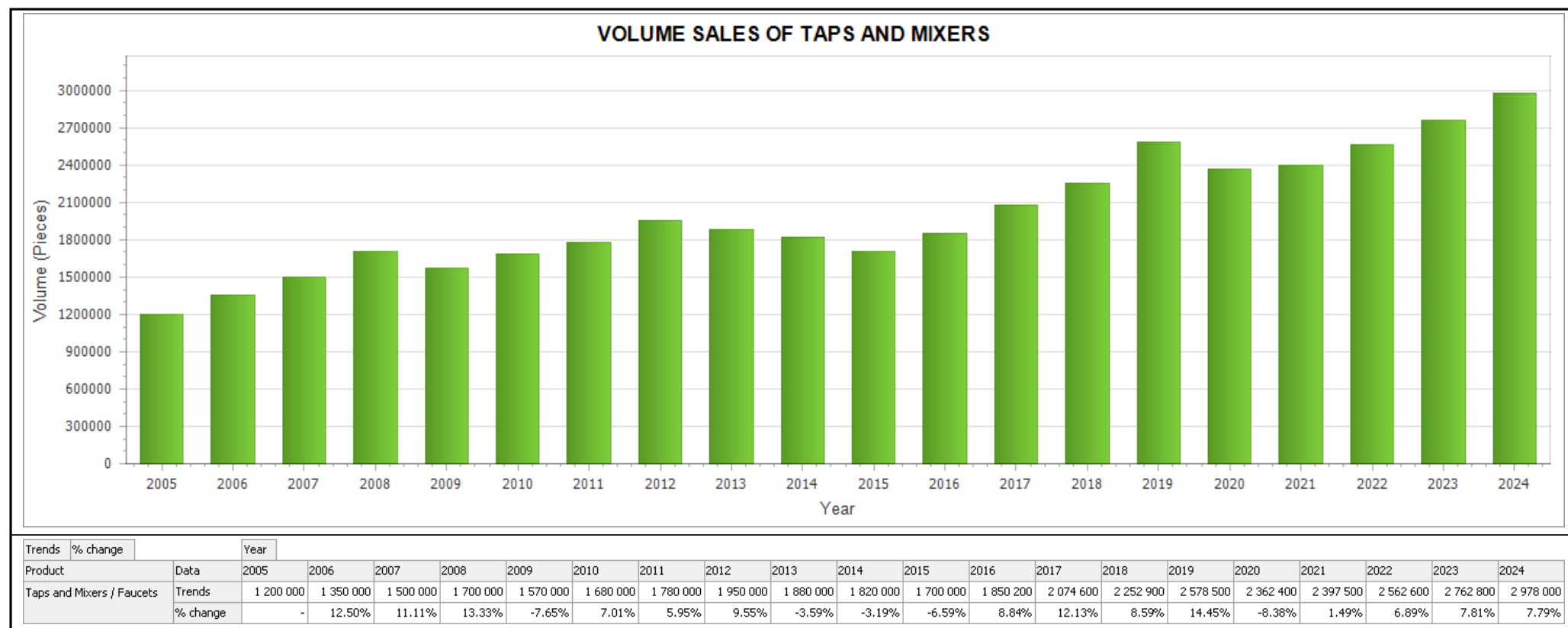
The share of one-head mixers is estimated to continue to increase at the expense of two-head ones. The share of thermostatic mixers will grow as well, but at a much slower pace due to the poor quality of Ukrainian water, the high retail price of mixers, and the low awareness of the Ukrainian public.

One important factor to drive replacement is the low quality of taps and mixers. The lifespan of some Chinese mixers is only one year and, as a result, consumers will be forced to replace their broken taps and mixers more frequently.

The market is very sensitive to the political and economic situations and state funding. Due to the current instability, the construction industry should remain under pressure and people may delay replacements or go after cheaper options. This is estimated to have an effect on the sales mix, as well as overall sales. There are no signs of foreign manufacturers establishing production in Ukraine. Therefore, fluctuations in exchange rates could affect the overall sales.

3.2 Historical Trends and Forecasts : Taps and Mixers

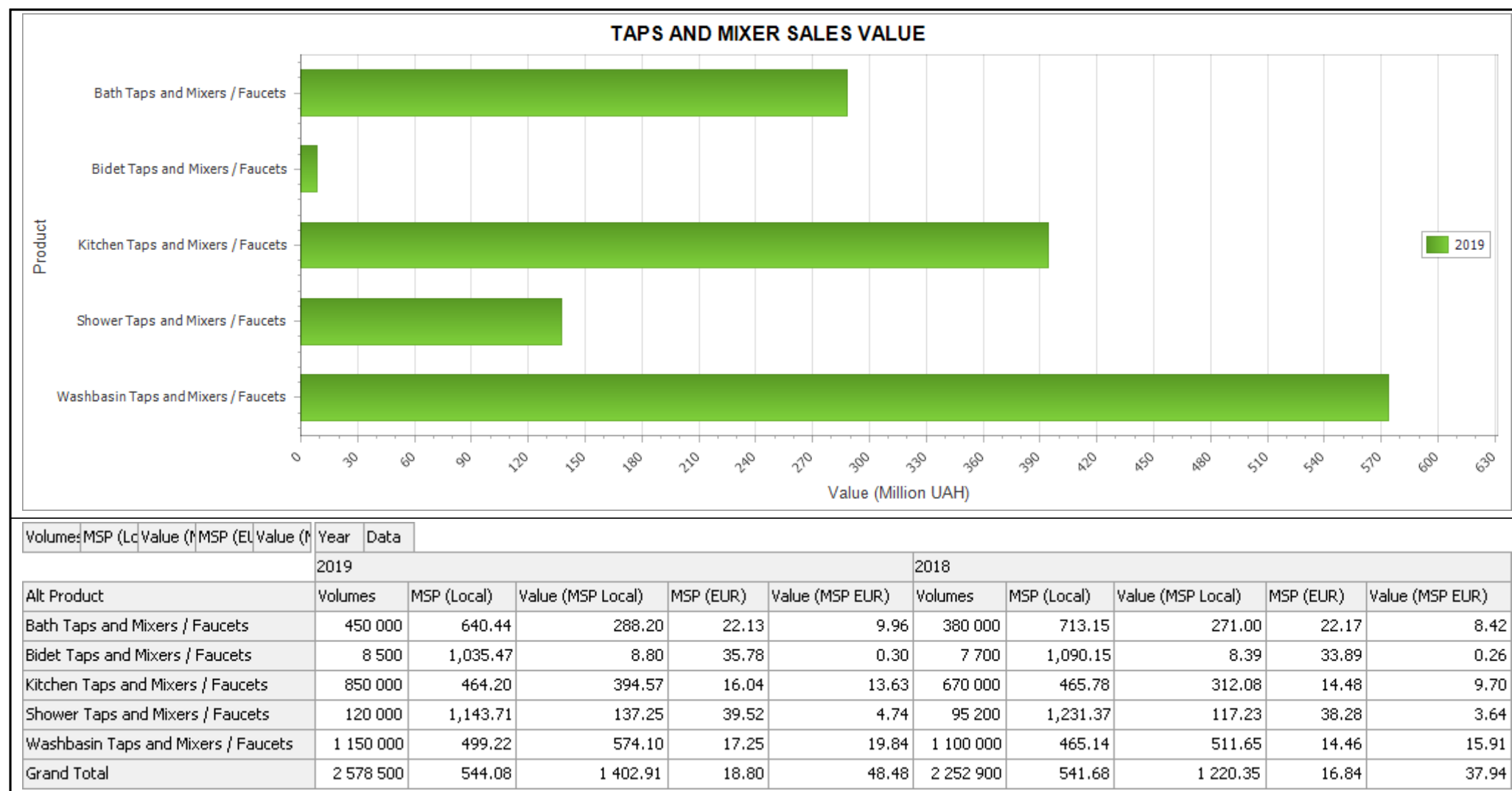
UA - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

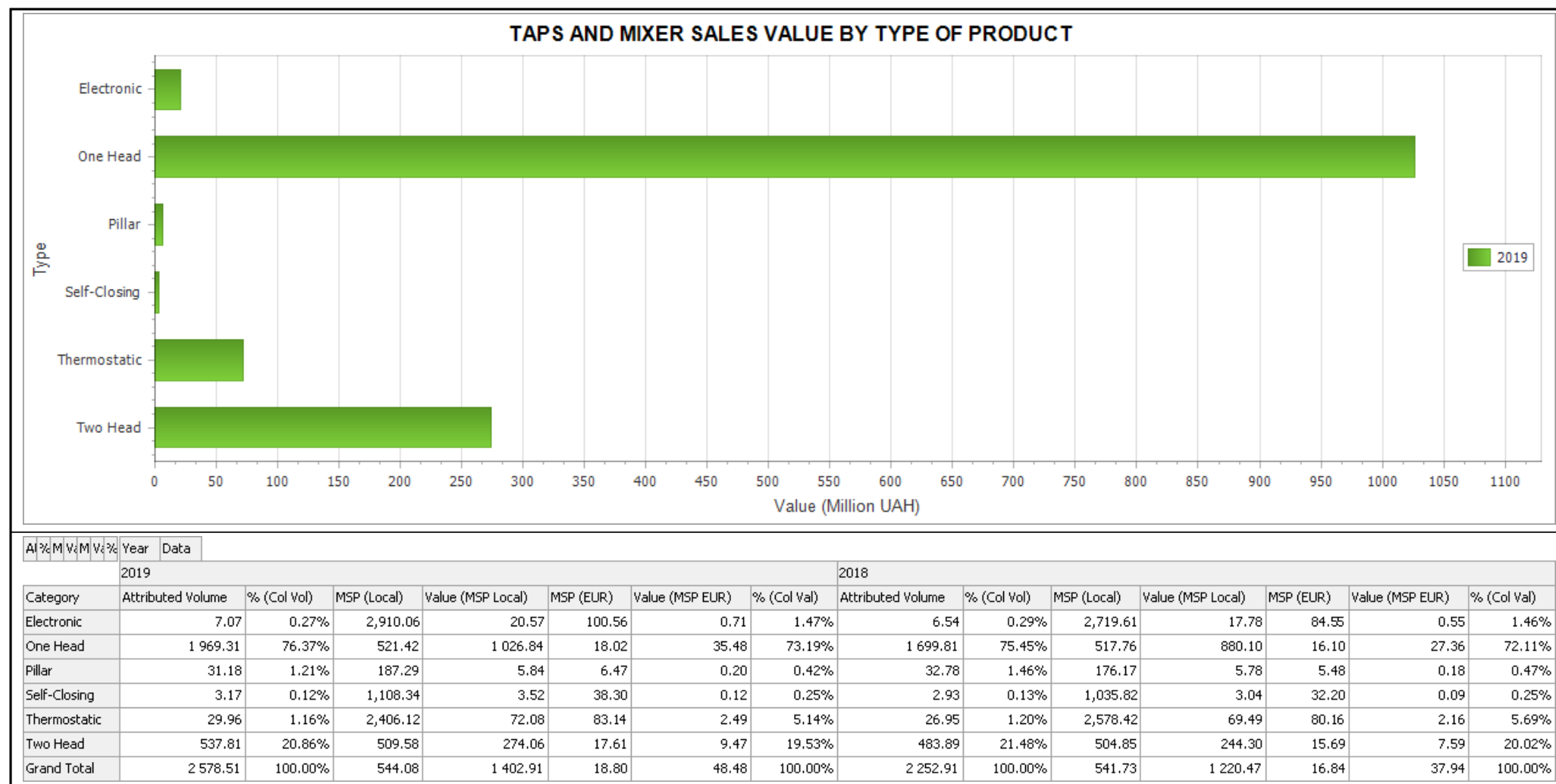
UA - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in UAH. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

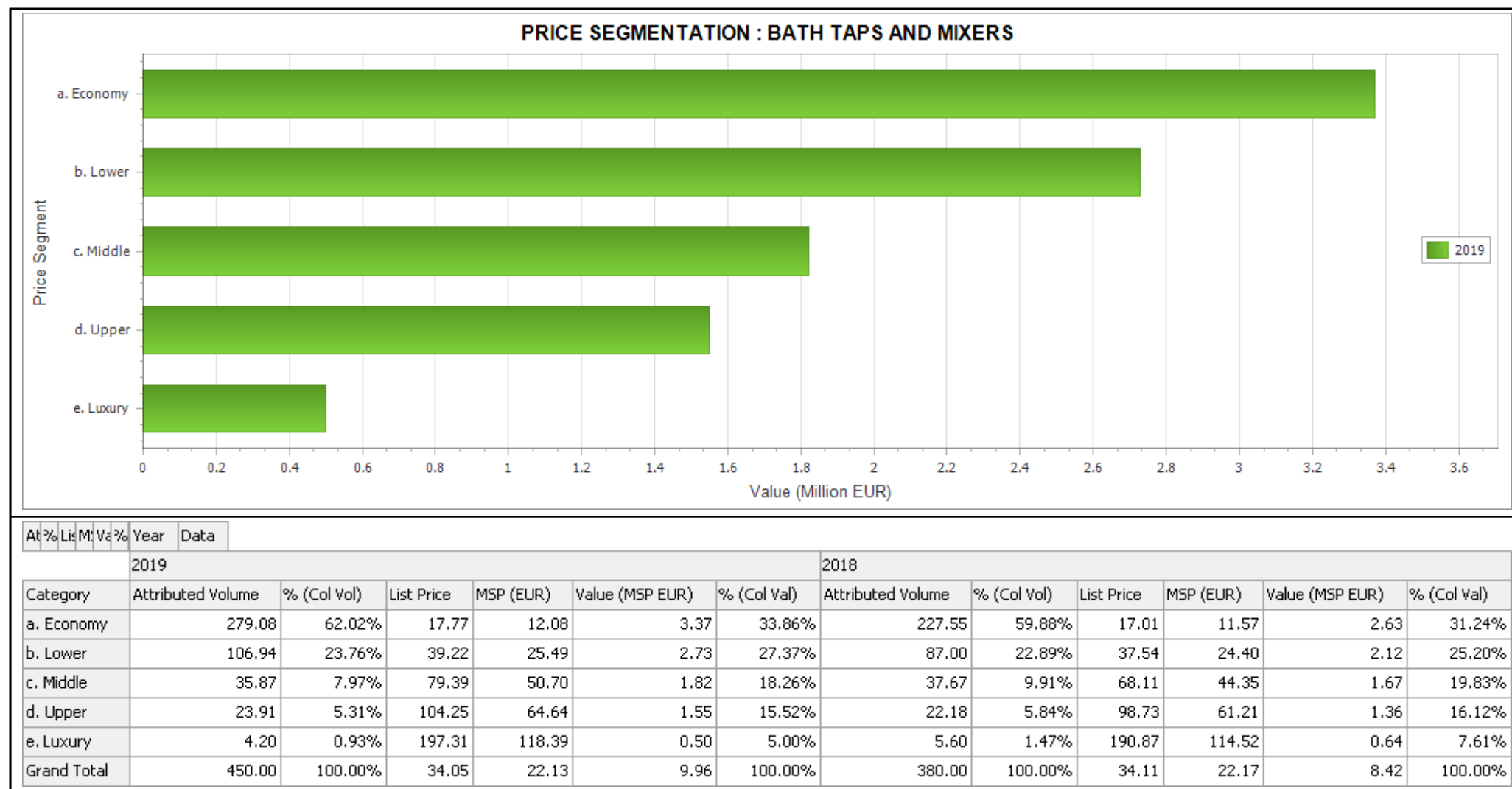
UA - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in UAH. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

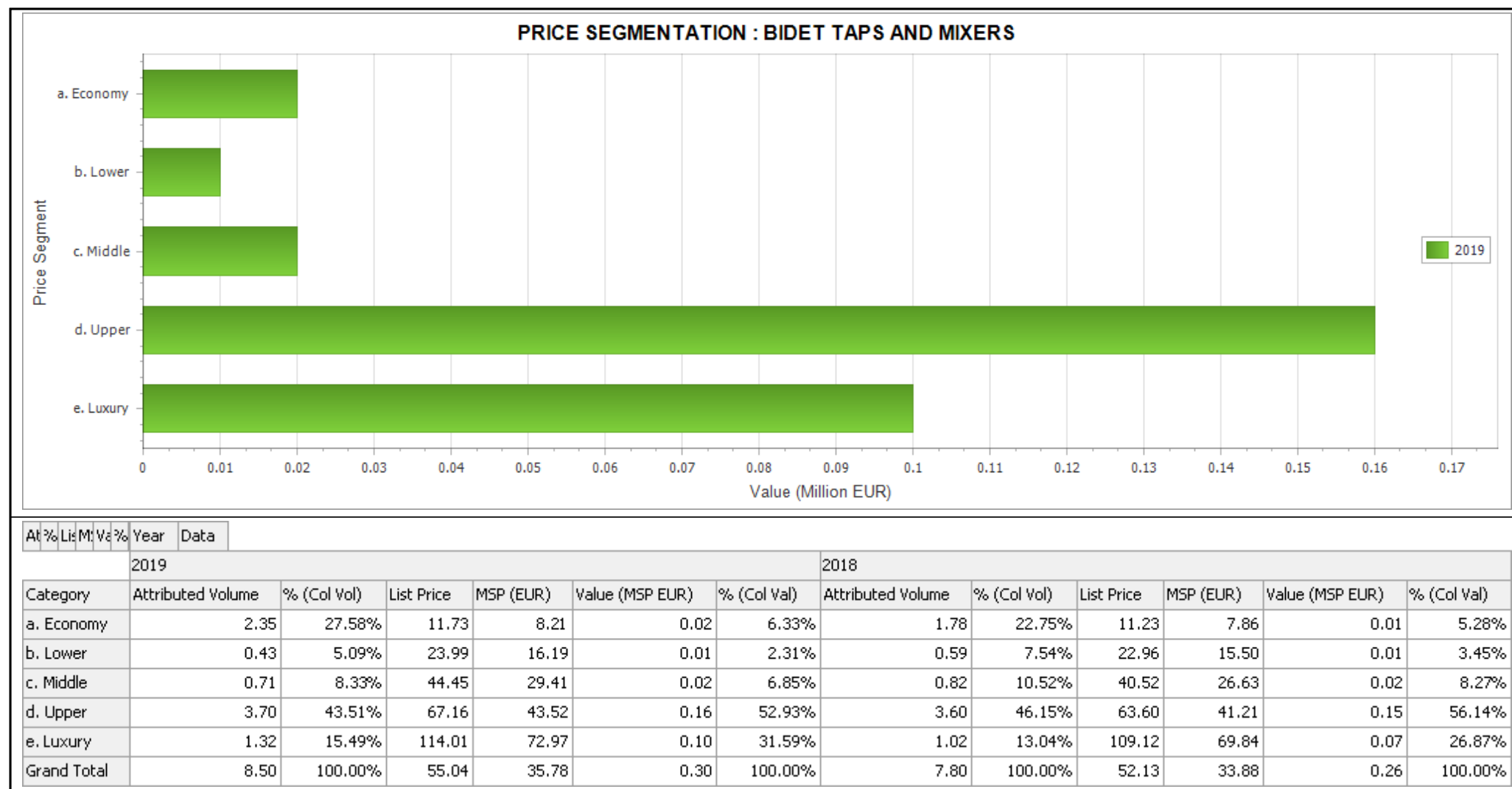
UA - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.4 Price Segmentation : Bidet Taps and Mixers

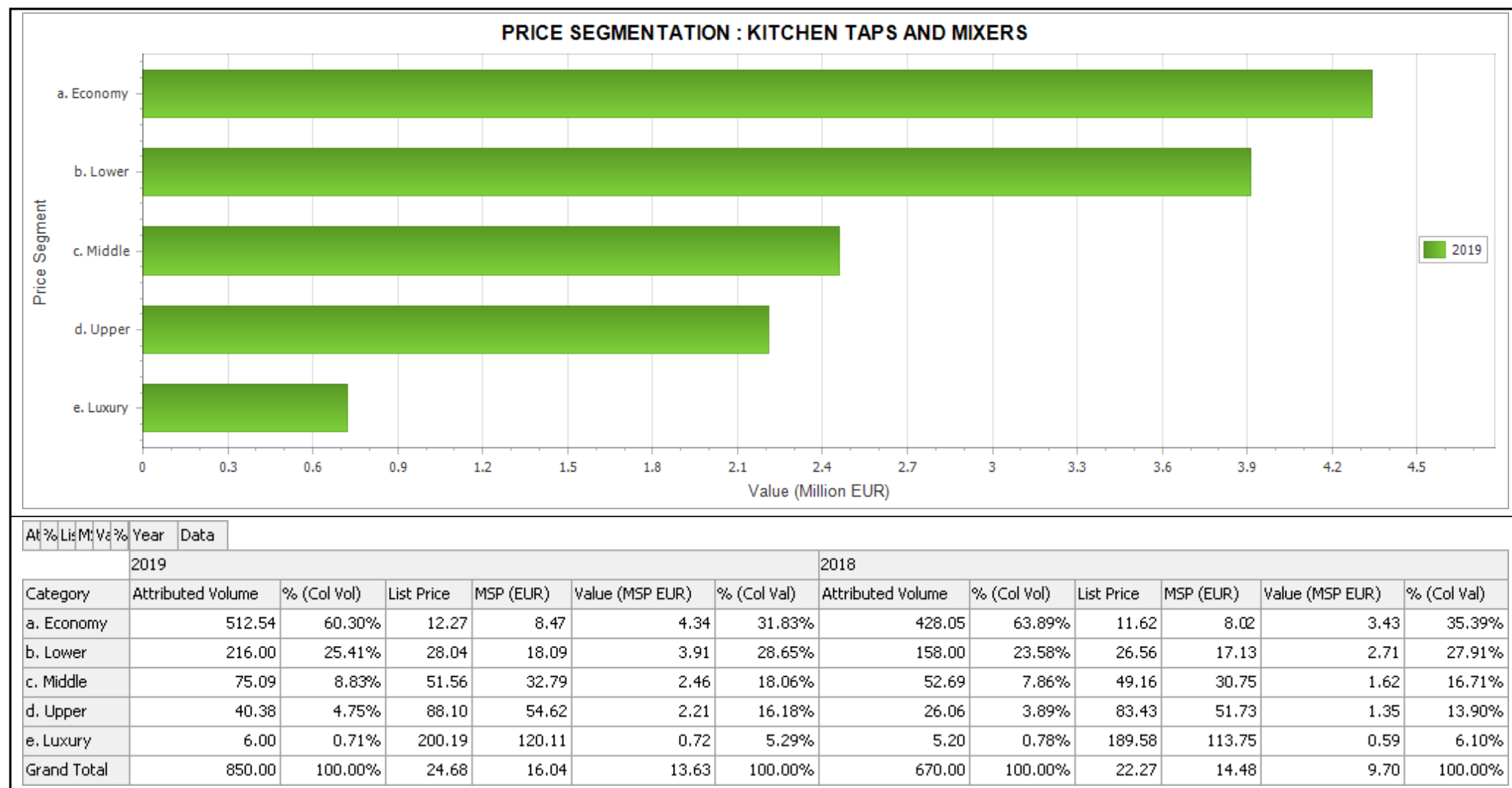
UA - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.3.5 Price Segmentation : Kitchen Taps and Mixers

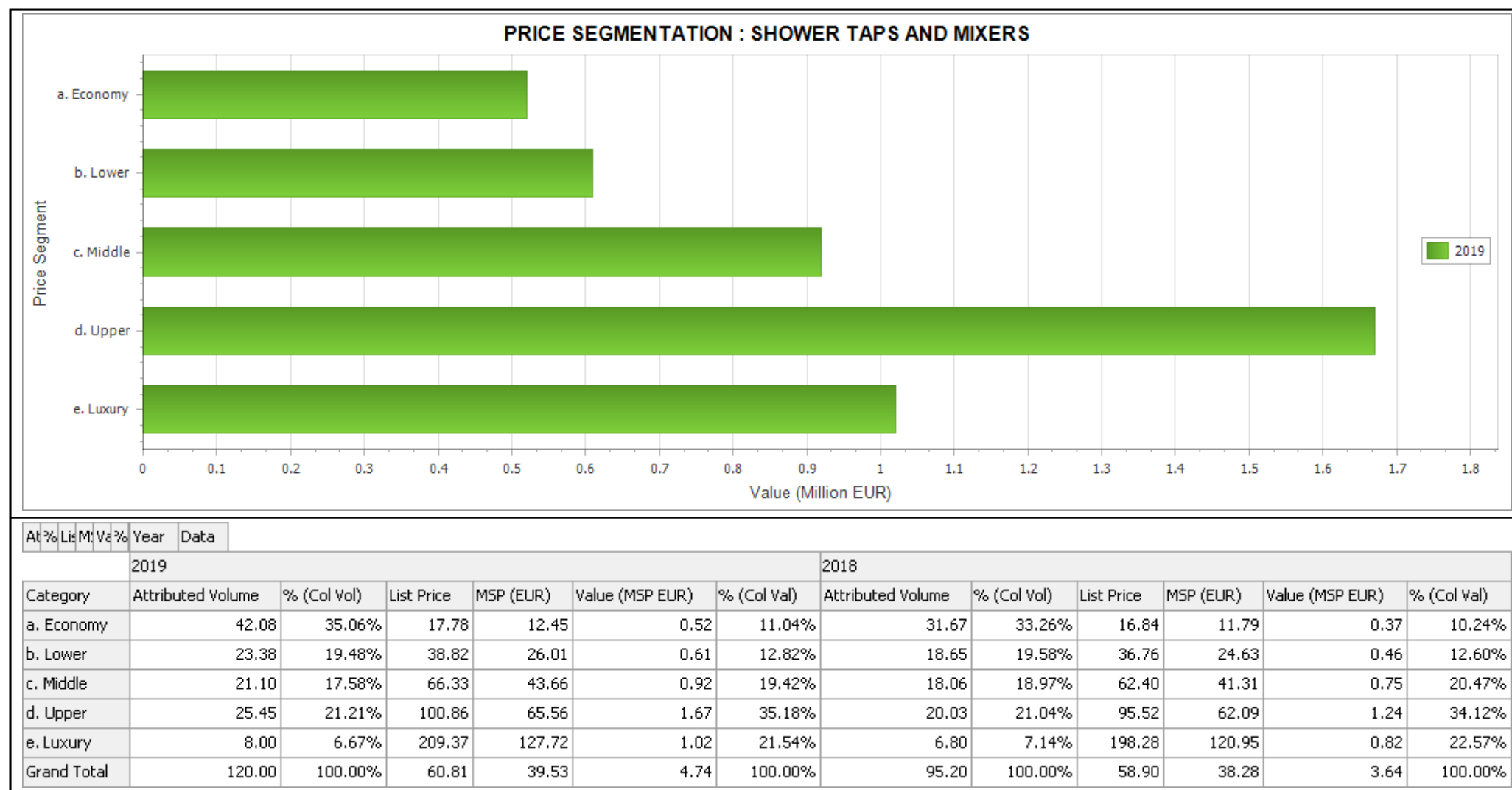
UA - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

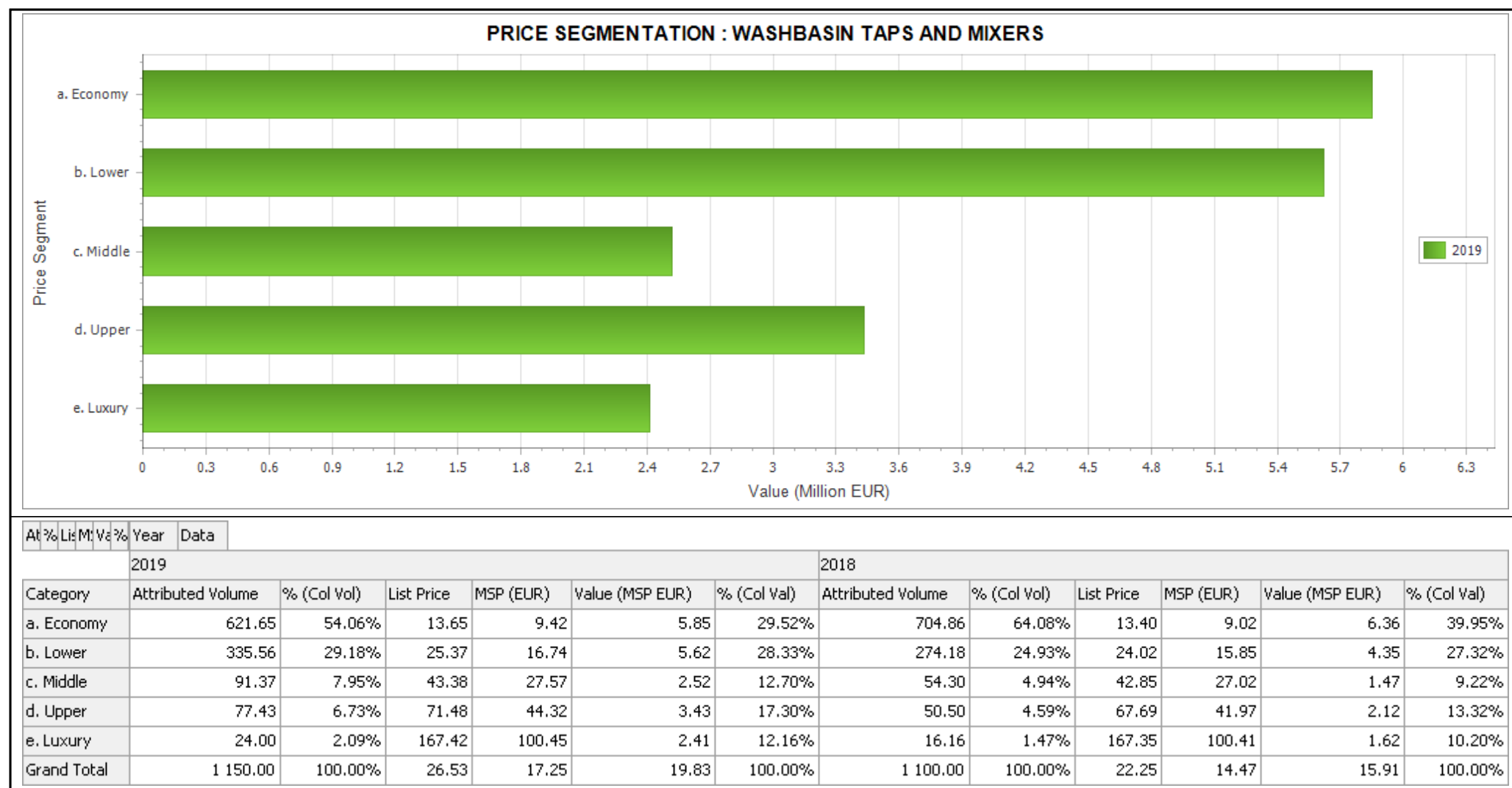
UA - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.7 Price Segmentation : Washbasin Taps and Mixers

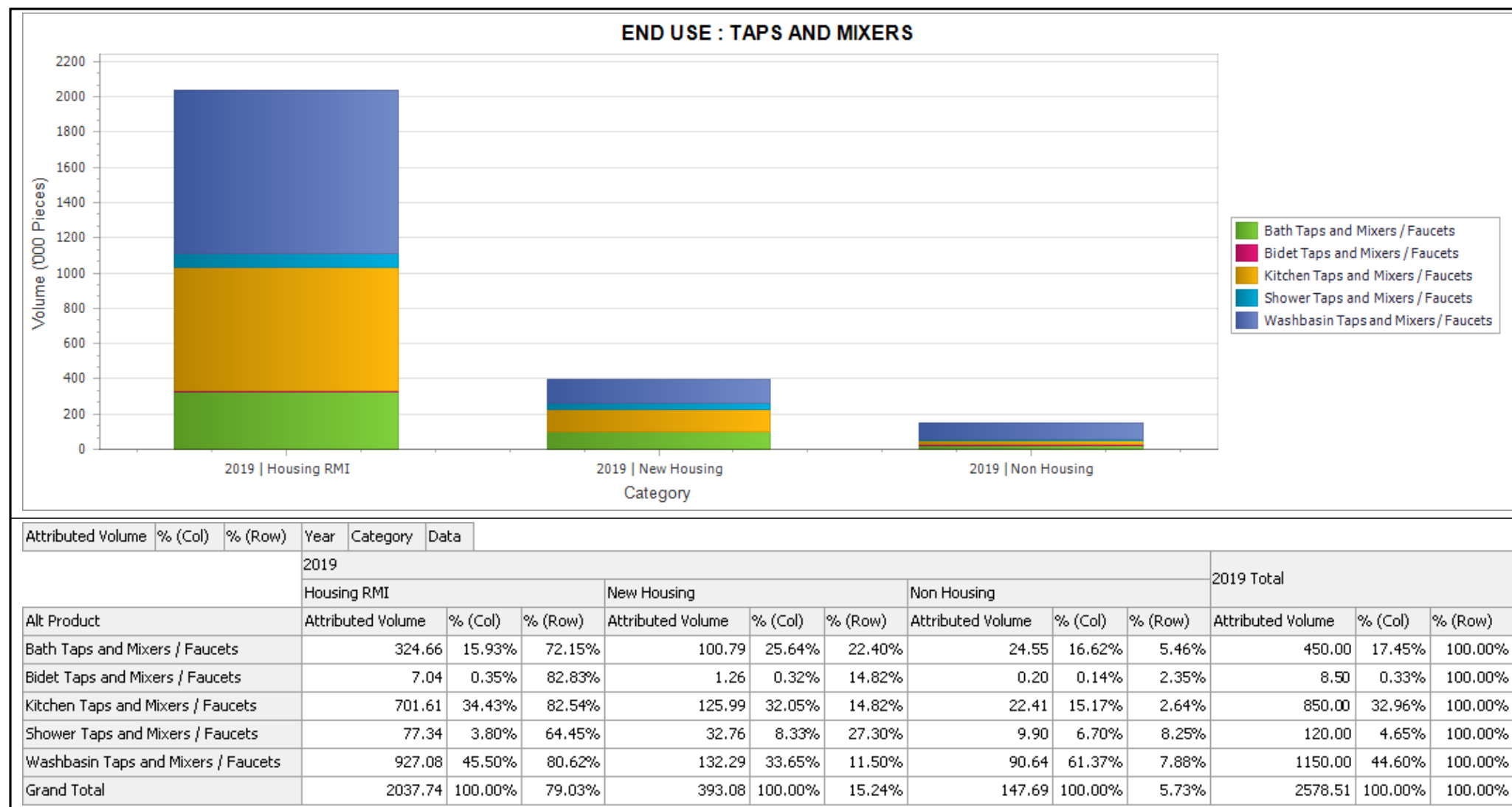
UA - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.4.1 End Use : Base Year

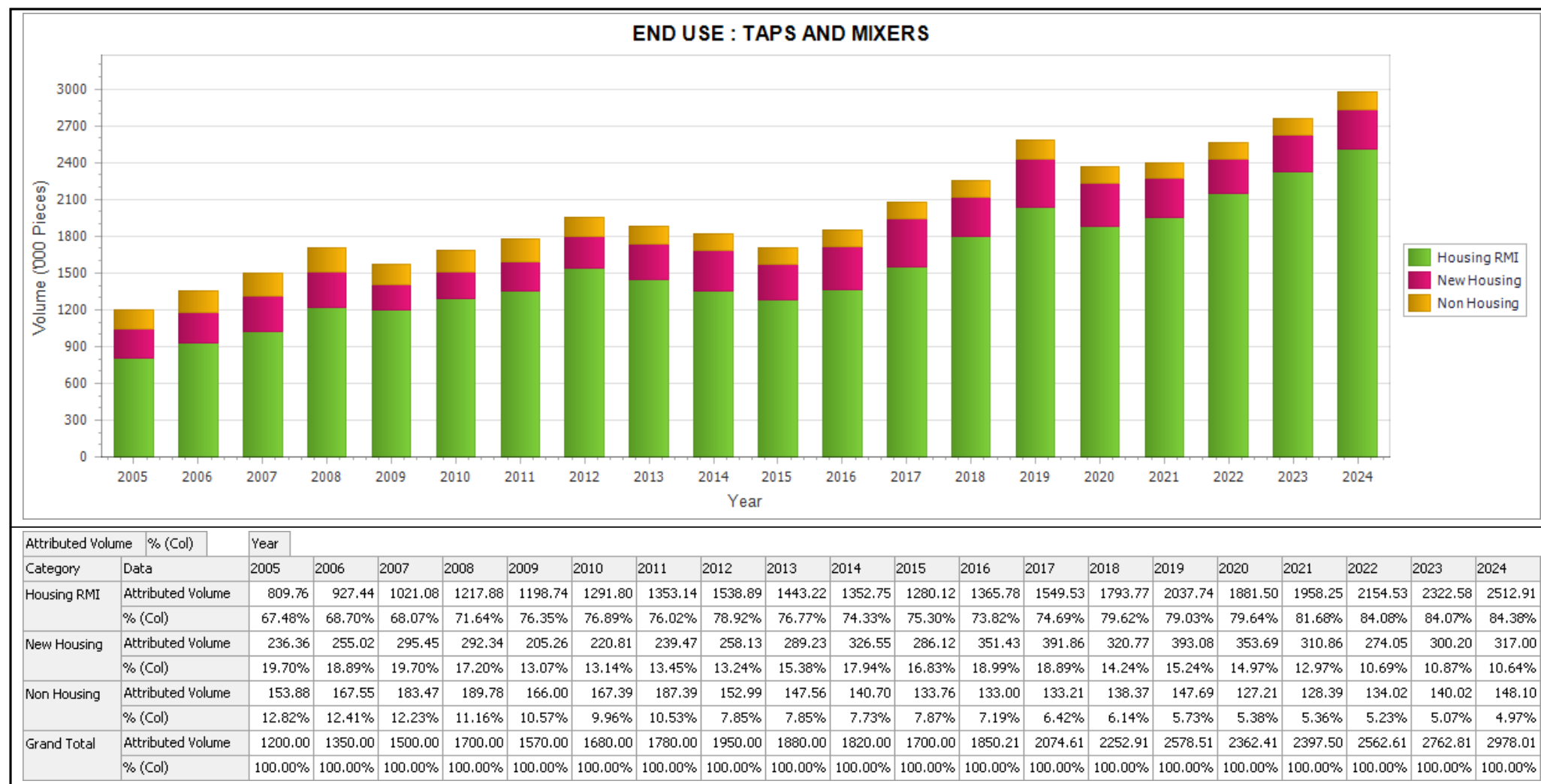
UA - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

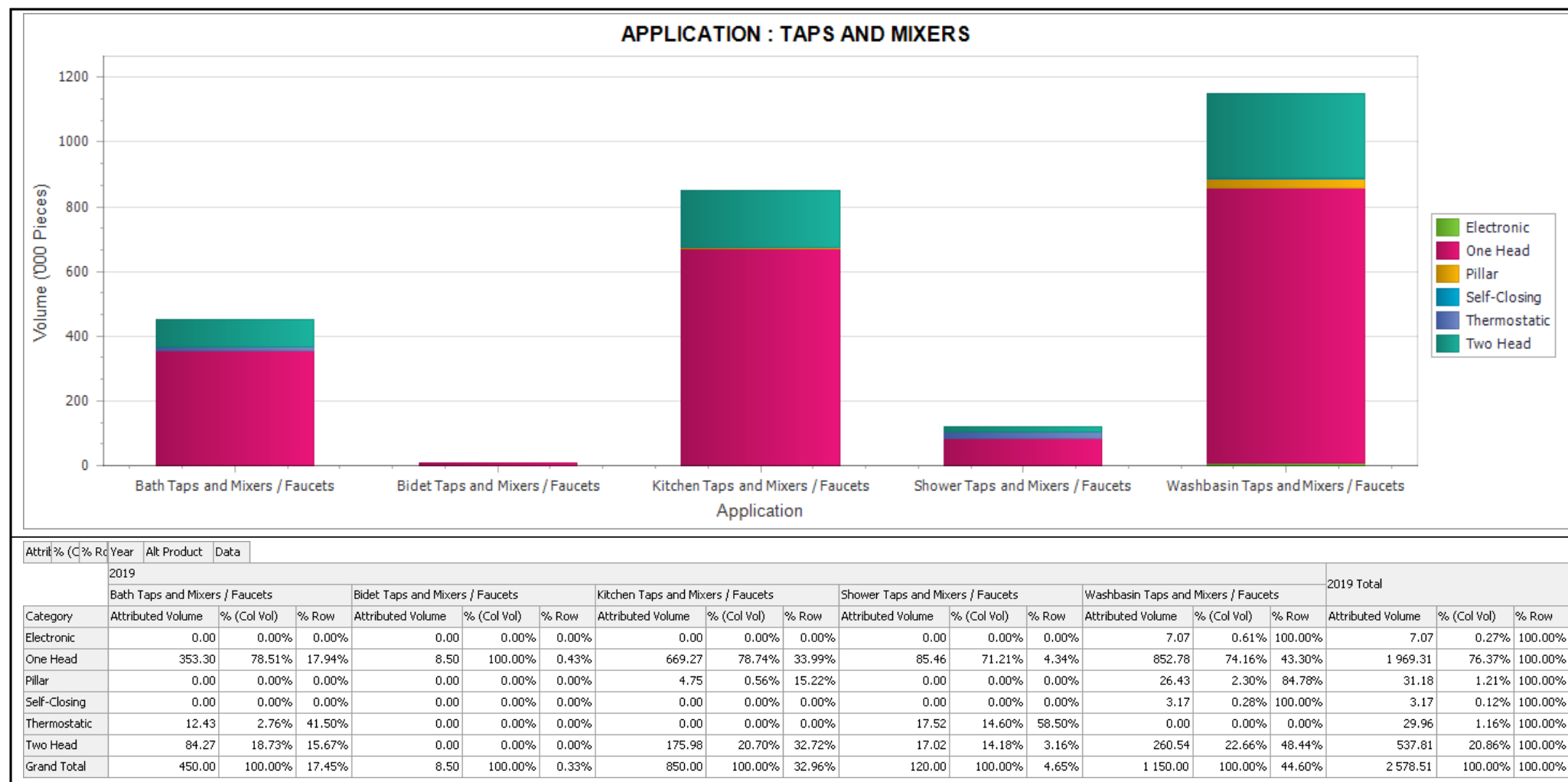
UA - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

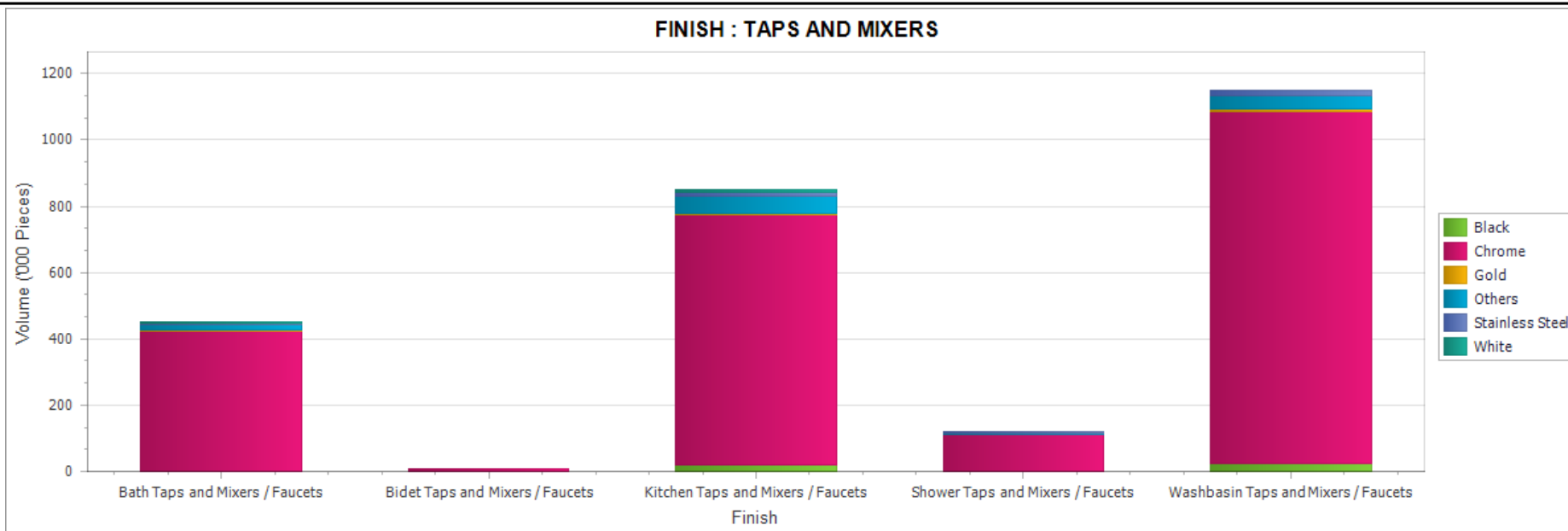
UA - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

UA - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

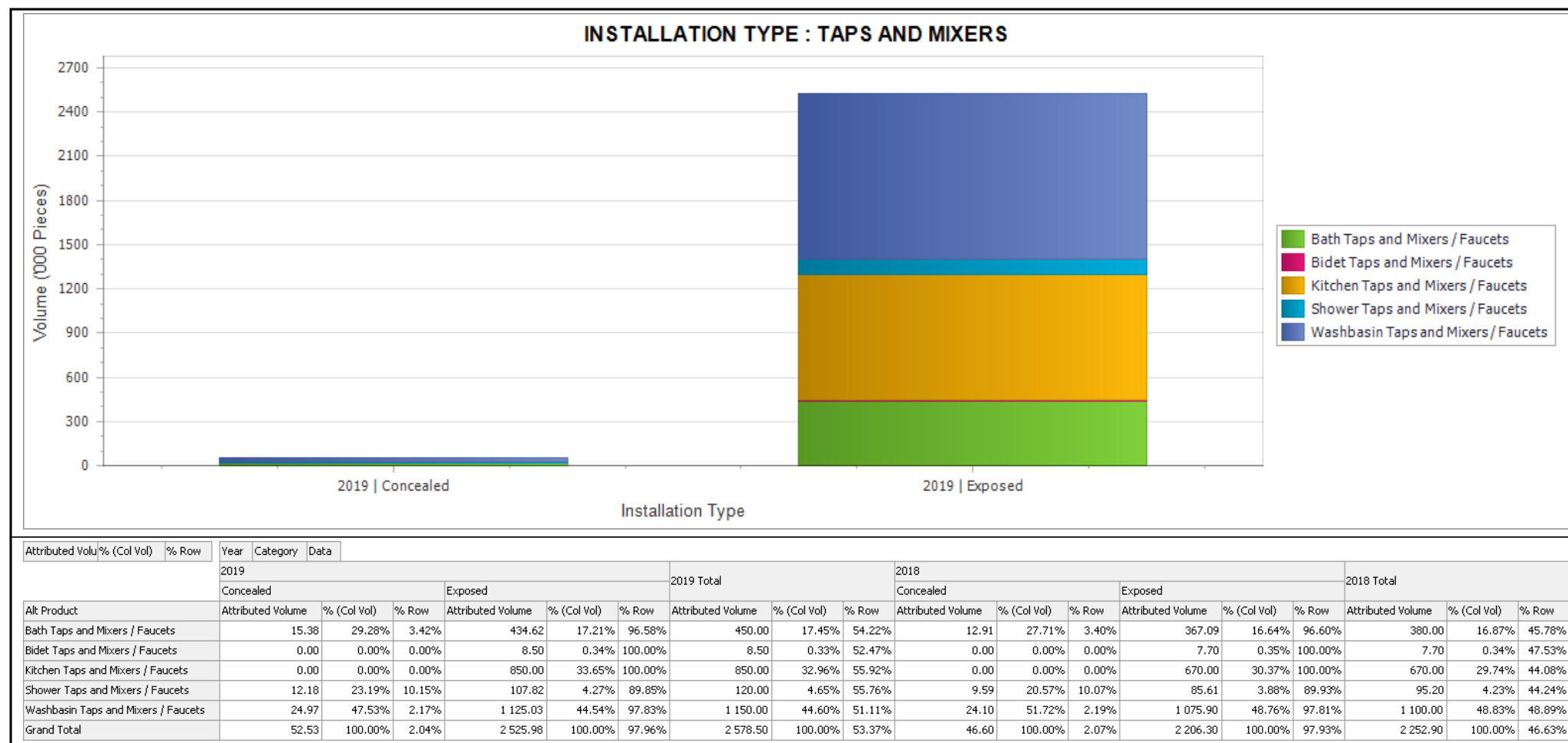


Attrib	% (Col Vol)	% Row	Year	Alt Product	Data													
2019																		
Bath Taps and Mixers / Faucets			Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			2019 Total			
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Black	0.00	0.00%	0.00%	0.00	0.00%	0.00%	21.25	2.50%	46.81%	0.00	0.00%	0.00%	24.15	2.10%	53.19%	45.40	1.76%	100.00%
Chrome	423.90	94.20%	17.97%	8.50	100.00%	0.36%	751.40	88.40%	31.85%	111.96	93.30%	4.75%	1 063.18	92.45%	45.07%	2 358.94	91.48%	100.00%
Gold	4.05	0.90%	22.12%	0.00	0.00%	0.00%	5.95	0.70%	32.48%	0.84	0.70%	4.59%	7.48	0.65%	40.81%	18.32	0.71%	100.00%
Others	13.05	2.90%	12.22%	0.00	0.00%	0.00%	51.00	6.00%	47.75%	4.80	4.00%	4.49%	37.95	3.30%	35.53%	106.80	4.14%	100.00%
Stainless Steel	7.20	1.60%	18.58%	0.00	0.00%	0.00%	11.90	1.40%	30.71%	2.40	2.00%	6.19%	17.25	1.50%	44.52%	38.75	1.50%	100.00%
White	1.80	0.40%	17.48%	0.00	0.00%	0.00%	8.50	1.00%	82.52%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	10.30	0.40%	100.00%
Grand Total	450.00	100.00%	17.45%	8.50	100.00%	0.33%	850.00	100.00%	32.96%	120.00	100.00%	4.65%	1 150.00	100.00%	44.60%	2 578.50	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

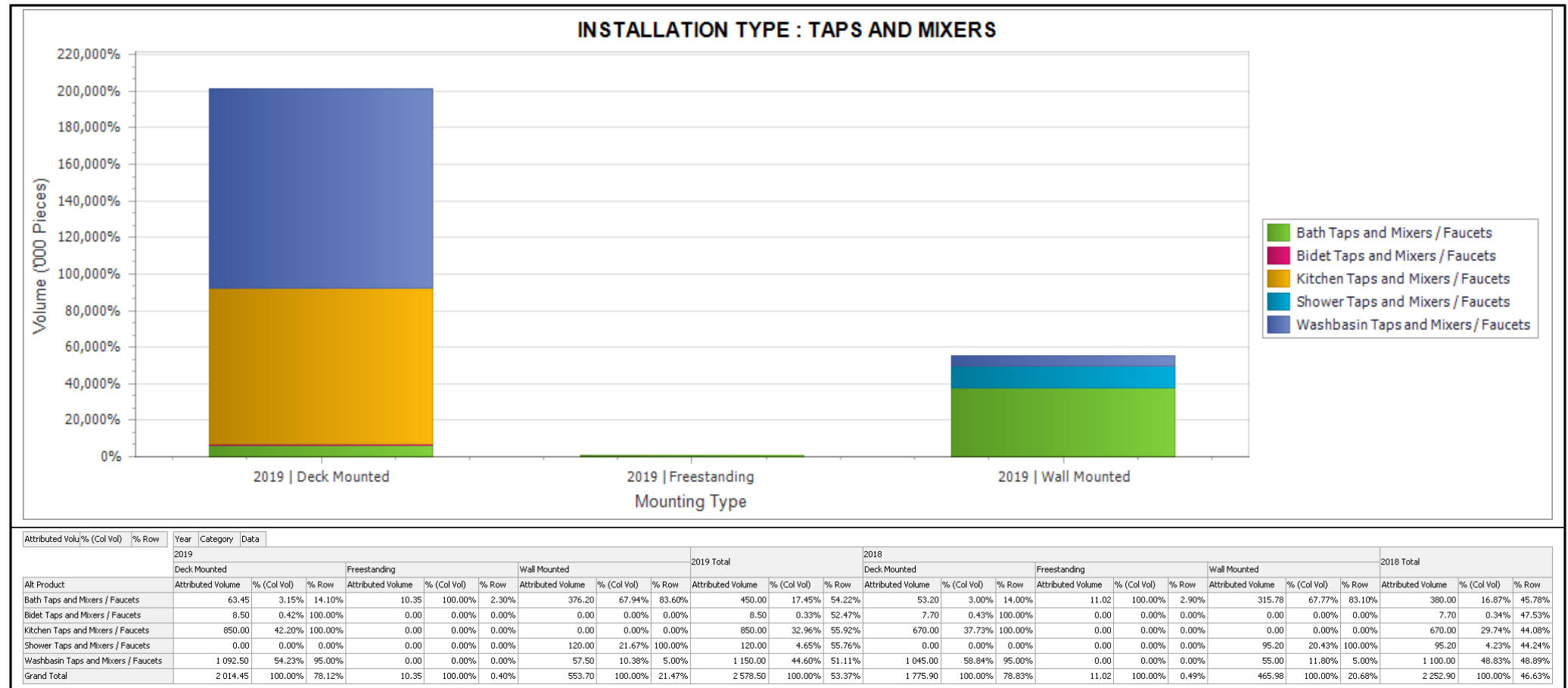
UA - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

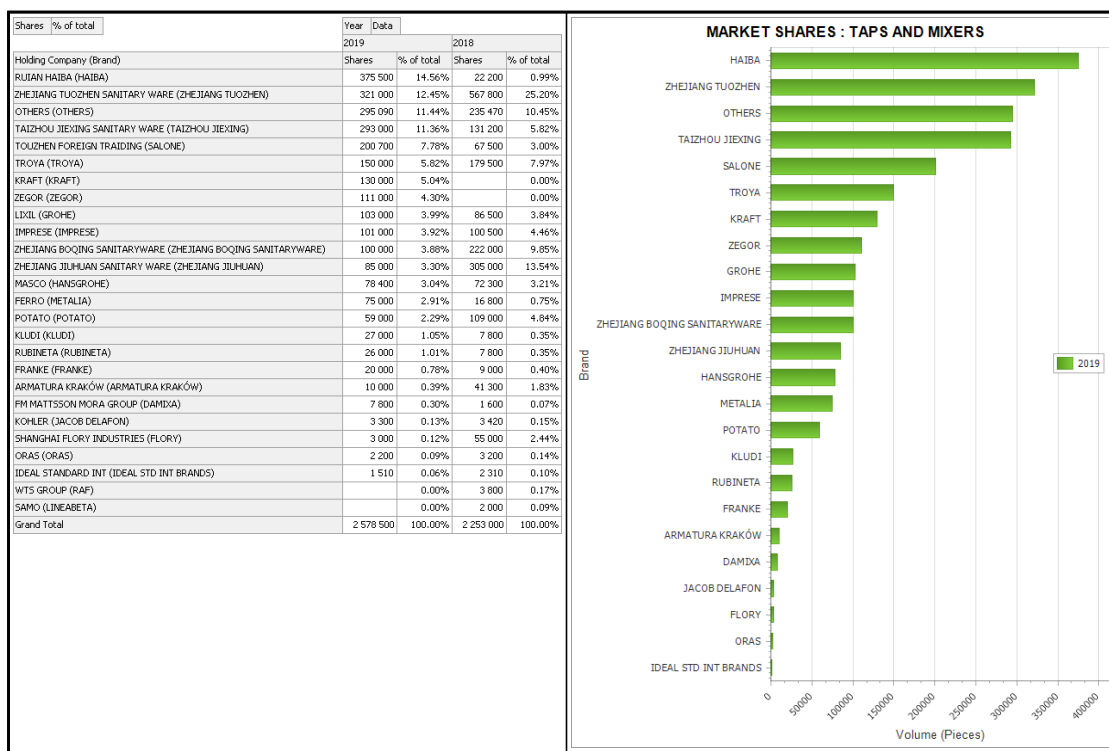
UA - TAP AND MIXER SALES BY TYPE OF MOUNTING ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

UA - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1

Route to Market: Taps & Mixers / Faucets
UA - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

96.1%
Wholesalers / Merchants
96.1%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
3.9%	26.0%
DIY Retailers	
29.9%	

Manufacturer	Wholesaler
0.0%	41.0%
Specialist Retailers	
41.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	2.0%	0.0%	1.0%	4.0%
Installers				
7.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	17.1%	8.0%	28.9%	37.0%	3.3%
Residential					
94.3%					
New Build			Residential RMI		
15.2%			79.0%		
Project	Non-Project		Project	Non-Project	
12.0%	3.2%		1.0%	78.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.0%	0.0%	0.0%	0.0%	3.7%
Non-Residential					
5.7%					
New Build			Non-Residential RMI		
1.0%			4.7%		
Project	Non-Project		Project	Non-Project	
1.0%	0.0%		1.0%	3.7%	

3.6.2

Route to Market: Taps & Mixers / Faucets
UA - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

86.0%
Wholesalers / Merchants
86.0%

Retail Level

Manufacturer	Wholesaler
0.0%	10.0%
Internet Retailers	
10.0%	

Manufacturer	Wholesaler
7.0%	24.0%
DIY Retailers	
31.0%	

Manufacturer	Wholesaler
0.0%	42.0%
Specialist Retailers	
42.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	2.0%	1.0%	1.0%	7.0%
Installers				
11.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
7.0%	4.0%	9.0%	30.0%	35.0%	10.0%
Residential					
95.0%					
New Build			Residential RMI		
10.6%			84.4%		
Project	Non-Project		Project	Non-Project	
8.0%	2.6%		1.0%	83.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.0%	0.0%	0.0%	0.0%	1.0%
Non-Residential					
5.0%					
New Build			Non-Residential RMI		
1.0%			4.0%		
Project	Non-Project		Project	Non-Project	
1.0%	0.0%		1.0%	3.0%	

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.6.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

UA - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

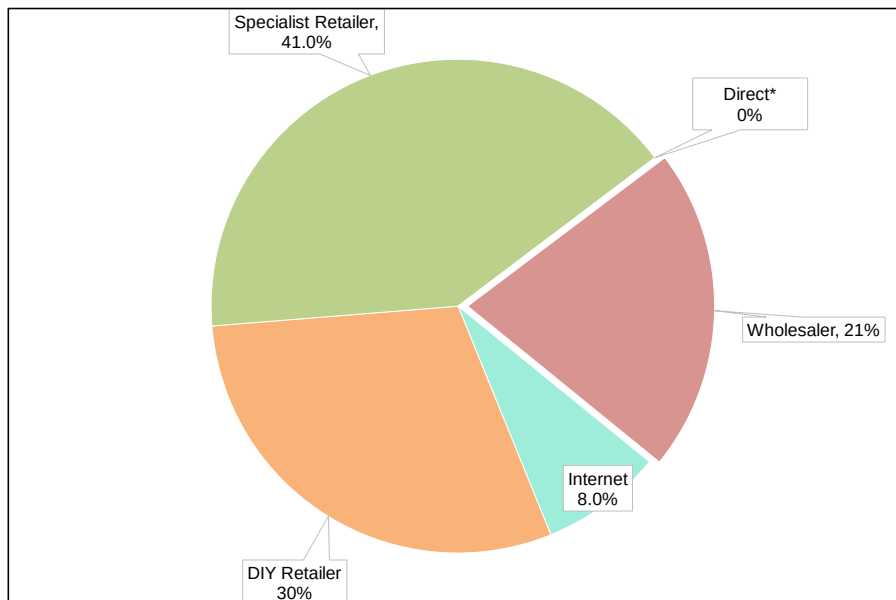
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.1%	8.0%	29.9%	41.0%	0.0%	13.0%	2.0%	81.3%	3.7%
100%					15.0%		85.0%	

3.6.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

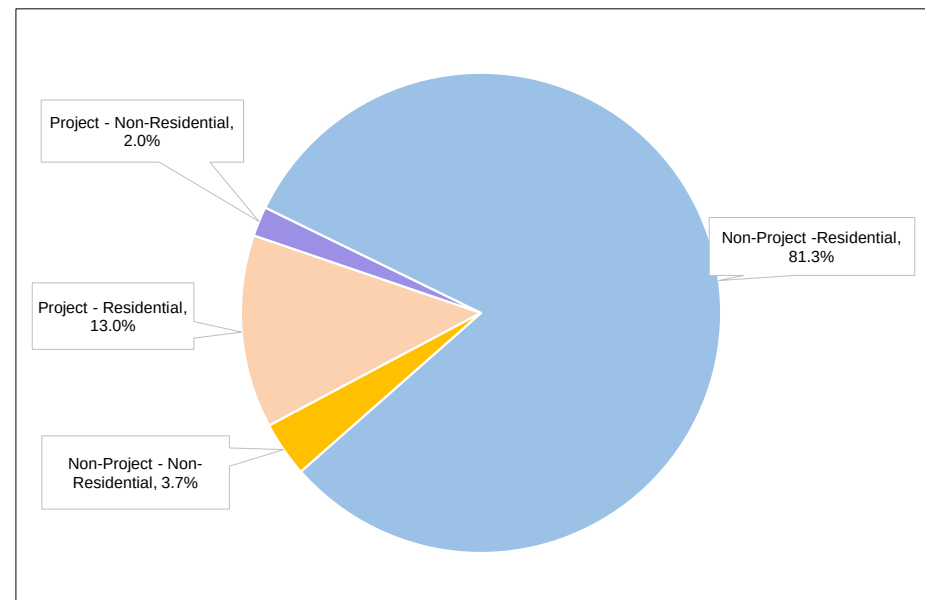
UA - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
10.0%	10.0%	31.0%	42.0%	7.0%	9.0%	2.0%	86.0%	3.0%
100%					11.0%		89.0%	

UA - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



UA - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



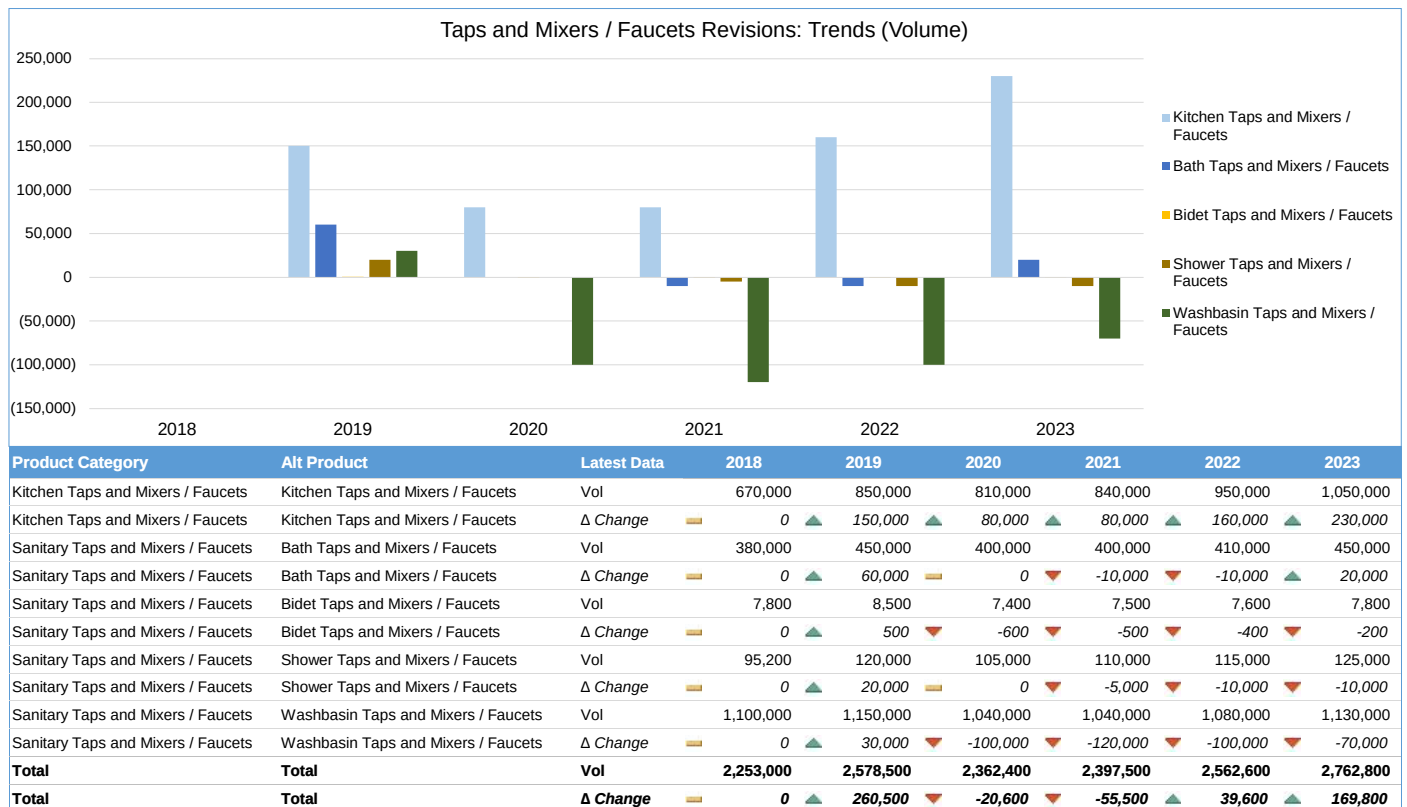
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7 Revisions in the Ukrainian Taps and Mixers / Faucets Market (July 2020)

UA - REVISIONS IN THE UKRAINIAN TAPS AND MIXERS / FAUCETS MARKET

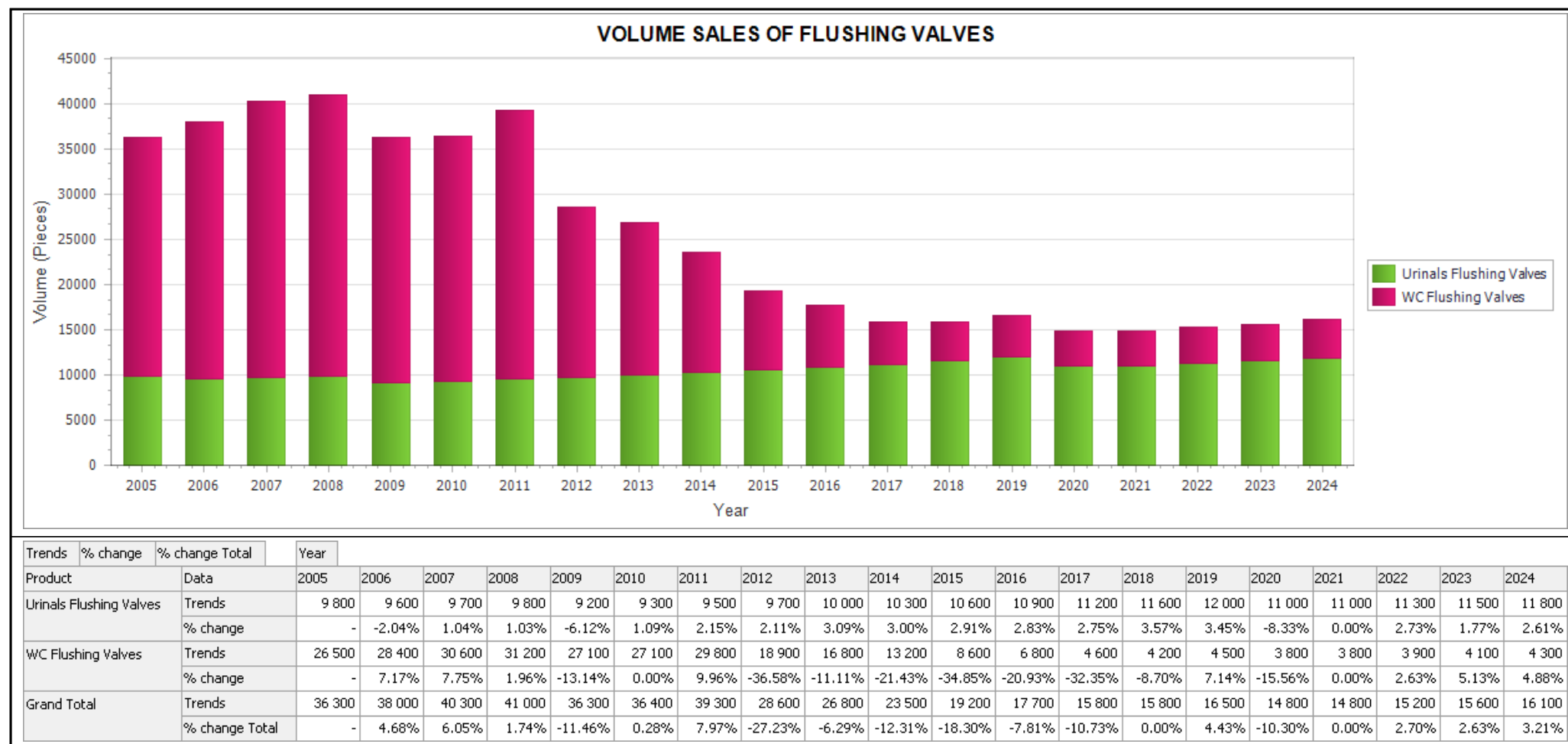
Data Comparison: July 2019



Sales of all types of taps and mixers have been revised upwards for 2019 due to higher than expected new housing completions.

3.8 Historical Trends and Forecasts : Flushing Valves

UA - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

UKRAINE

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The Ukrainian shower wall market, which started in the early 1990s, has been growing at a fast pace. Shower enclosures are the main product sector in this market, although sales declined significantly during the economic crisis of 2009.

There is a predominance of small-sized bathrooms with small baths and plastic bath curtains, which contributes to the growth of the shower products market. Showers are installed in both new construction and renovation. In renovation, there is a trend to replace the bath in a small-sized bathroom with a shower to create space for a washing machine. In addition, there is also a small market in the upmarket 'dachas' for shower trays and shower enclosures, although there is a definite concentration of sales in urban areas.

Shower enclosures are by far the largest product within the shower wall family. Glass is the most popular material for shower enclosures and bath screens. The most popular shower enclosures are the 80 x 80 cm size. Most bath screens sold in Ukraine are made of glass. Bath screens are a relatively new product and considered to be a more trendy and upmarket product, appealing to young people. They are predominantly installed in new housing that undergoes renovation; however, they are also popular in new housing and high-end hotels.

The Ukrainian market is very traditional and has been dominated for years by bathtubs. Shower enclosures entered the market relatively late and are more expensive than baths. Therefore, most people still prefer to install a bath rather than a shower enclosure, both in new and existing housing. The current bathroom park is dominated by bathtubs. The share of shower enclosures is higher in the RMI sector, and it is slowly increasing. Hydrotherapy cubicles are less popular than hydrotherapy baths and this segment remains small for the size of the country.

Recent Market Trends

The overall Ukrainian shower wall market recorded a healthy growth in 2019. The main factors supporting the growth were growing construction and replacement demand and an increasing penetration in both the new housing and replacement segments. Due to the political turmoil and economic uncertainty, many households postponed replacement of shower enclosures and bathroom renovations in general over 2014-2015. This postponed demand kicked in during 2017-2019, leading to the growth of the RMI sector. There is a shift towards smaller and economy dwellings. Bathrooms tend to be small in these flats and consequently end users favour showers over bathtubs. Most products of shower walls experienced sound growth in 2019.

More Ukrainian companies have started to import shower enclosures from Polish wholesalers rather than directly from manufacturers. This practice seems to be more convenient, as importing from Russia became more difficult due to tension

between the countries. However, significant import remained in the shower enclosure segments. The market also saw influx of new Asian brands. The major obstacles for hydrotherapy cubicles remain to be the current economic crisis in the country and the relatively small size of new build block dwellings (as there is not enough space in the bathroom for hydrotherapy products). As a result, hydrotherapy cubicles are mainly installed in luxury apartments and individual houses.

Prices and Market Values

Most shower wall products are imported to Ukraine from Europe and Asia. The prices are fixed in USD and EUR. There was a shift from the upper to lower price segments. However, UAH strengthened in 2019 leading to fall in average prices of imported goods. Only prices of conventional shower cubicles increased in EUR due to shift towards higher price segments.

New Housing

Shower enclosures have more appeal to the middle class and young population, who are the main buyers of new dwellings. Shower enclosures are very popular in new housing, and an increase in new construction in recent years was the main reason for the segment growth. In terms of installations, baths dominate the new housing market but have been losing marginal position to shower enclosures and, consequently, trays.

Newly-built flats are usually equipped with one bath or shower enclosure. Only luxury flats with more than two bedrooms have more than one bathroom. Multiple bathrooms are more frequent in villas. Even more rare are cases whereby households have a bath and a shower in one bathroom. Walk-in/tiled showers are not popular in Ukraine, and households prefer to install shower trays.

Housing RMI

2016 was the turning point for the segment. Many installations were postponed over 2014 and 2015, but some of them materialised in 2016-2018. In addition, the consumer confidence improved and this positively affected the spending in 2019. The strengthening of the national currency was another important factor to influence the market as improved purchasing power. The fact that the Ukrainian market is not mature for shower wall products should help the segment continue to grow in long term. The segment is expected to develop healthily in the long term and increase considerably. Often when bathrooms are renovated, consumers might decide to leave the old cast iron bath in there if it is functional. Usually products are replaced like-for-like and households don't install a shower enclosure instead of a bathtub. Therefore, there is no visible substitution trend in the segment. However, the share of shower enclosure installations has been growing over the last decade. Therefore, replacement demand is set to grow in the future. Shower enclosures are mainly used in the renovation market, and are the most popular product in the home improvement segment.

Conventional shower cubicles are used for renovation purposes, where an existing cubicle is replaced. They are generally used when there is not enough room for a complete bathroom and are often installed when a quick (and temporary) solution is required or as a second shower, in a fitness room for example.

Non-Housing

The non-housing segment recorded growth in 2019. Most shower wall products sold in the non-housing segment were installed in hotels (most of them for replacement). The sector is sensitive to hotel completions and renovations. The share of this segment remains very low. Completions of hotels are set to decline due to the current economic situation in the middle term. Therefore, the market will be supported by replacement demand and penetration of the product in long term but should decline in the short term due to the COVID-19 crisis.

Shower enclosures are installed predominantly in hotels in the large cities, while regional hotels prefer to install baths. Hospitals and nursing homes are equipped with baths rather than shower enclosures.

Supply Structure

The Ukrainian shower wall market is dominated by sales of shower enclosures, which account for the majority of the total shower wall market.

There are no notable manufacturers of shower wall products in Ukraine apart from LIBERTA. The market is dominated by imports. Imports come from the Czech Republic, Poland, Italy, and Germany, mainly in the middle and upper price segments. The market is characterised by the involvement of certain key players that also supply the shower tray market. RAVAK dominates bath screens, and CERSANIT the shower enclosure market.

JACUZZI remains under pressure from Chinese goods in the hydrotherapy cubicles market. Chinese imports from VOLLE, APPOLLO, AM.PM, AOKELIYA and other manufacturers have also been registered on the market. The hydrotherapy cubicle market is still regarded as niche, and a high number of units are imported to order, directly, from the companies abroad.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3 and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Ukraine in March 2020 which led to lockdown. Factories were operating with various capacities depending on the

region. Similarly construction was frozen temporarily depending on the region. Each Ukrainian region has managed the crisis differently based on the local extent of the spread of the virus. Some bathroom product manufacturers decreased outputs in April and similar to the rest of the Europe, offices switched to remote operations.

Block dwelling construction activity also significantly declined in April 2020. Individual housing construction was not affected much and was predominantly ongoing. Installation activities also declined significantly in some regions. Even though installers did not have shortage of bathroom products, homeowners were cautious to allow installers in. Lockdown lasted for about two months and the country started gradually reopening by the end of May. However, lockdown measures were made stricter in three (Western Ukraine) regions due to deterioration of situation in June. The government decided to keep 'adaptive lockdown' until 31 July.

Ukraine is a relatively poor country with limited resources. Most Ukrainians do not have savings. The government was unable to properly support small businesses and low-income families. The lockdown process was mismanaged to a certain degree and did not lead to a significant fall in COVID-19 cases. The number of cases rapidly increased in some regions after lockdown was eased. Unless the death toll and infections increase significantly, the government would not introduce another lockdown as both state and private household savings are depleted. Most likely these lockdowns would be local rather than covering whole country.

Other factors to reshape the shower wall market are the construction and replacement segments. Some projects were put on hold due to lockdown measures. Some developers have realised that they would not be able to sell dwellings profitably and they might decide to freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of shower wall or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and try to fix broken appliances instead of replacing them. Only necessary replacements will take place on the market and most consumers will be largely influenced by price rather than quality. Some households may opt to purchase the lowest-priced appliances as a temporary solution. However, it should be noted that some consumers with sufficient savings and a stable financial situation decided to use the lockdown period to start renovations. Devaluation of local currency prompted people to spend money and purchase goods (including bathroom products) before UAH devaluated further.

BRG's forecast assumes that there will not be a full scale military conflict in Ukraine and political instability should be localised in only three eastern regions, with the central government losing (at least) legal control over them; the COVID-19 pressure would remain stable and limited to local lockdowns.

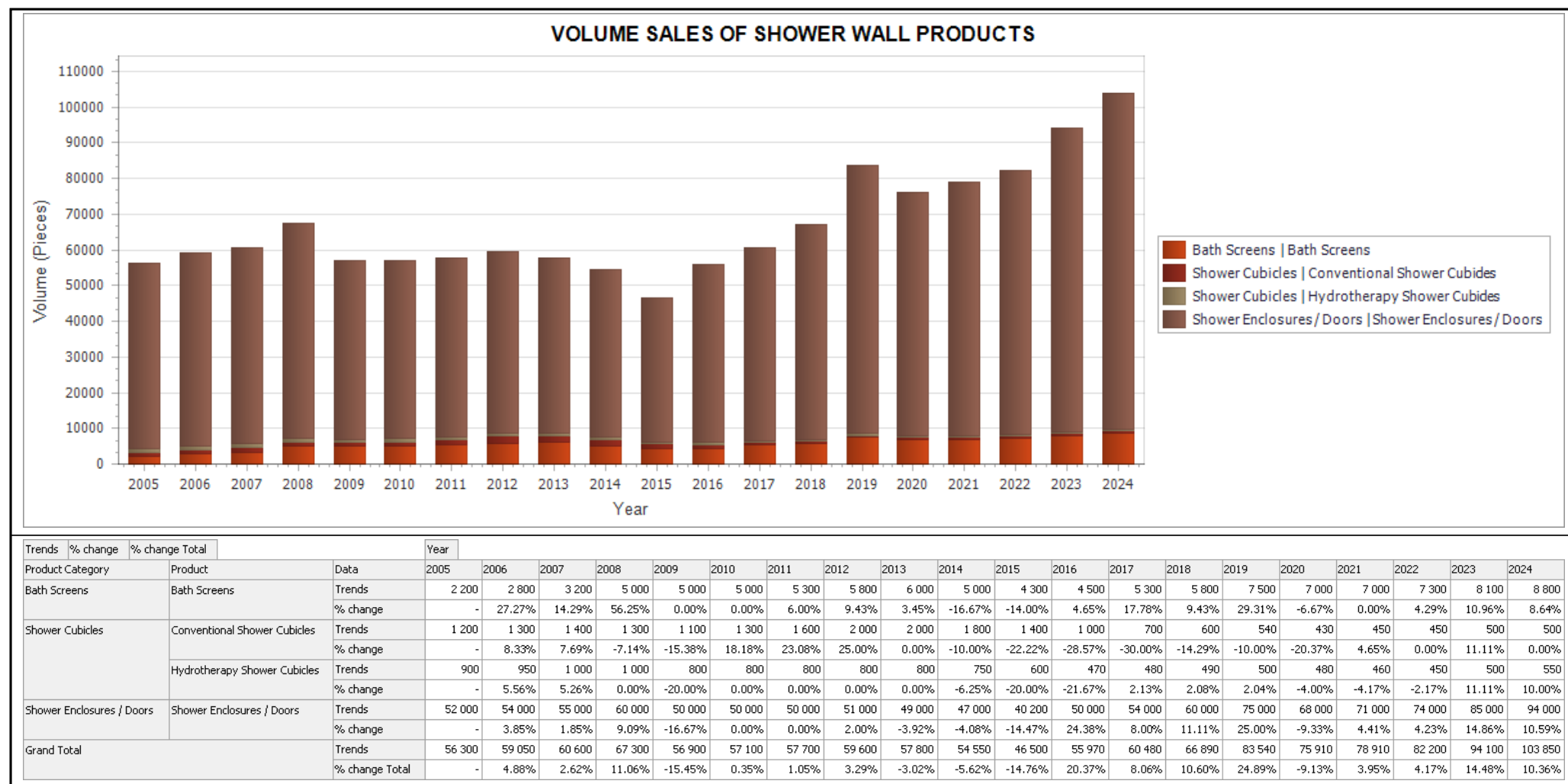
The overall shower wall market is forecast to decline in 2020 due to the lockdown, decreased purchasing power of general population, devaluation of local currency, and an expected fall in construction. Unemployment is likely to increase and real wages of the population are likely to decline. The overall bathroom products market is forecast to remain under significant pressure and expected to start recovering only in 2021 (unless it is hit by other shocks or a significantly worse spread of COVID-19). There is a high degree of certainty that some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022. The overall market is set to grow in the long term, as the replacement level has remained low over the last decade. The market is far from saturation and penetration of shower enclosures and bath screens is growing. The replacement sector is expected to perform better in the long term, as lots of replacements were postponed and with the stabilisation of the situation people can spend more. The non-housing segment is also expected to increase for the shower tray market due to increasing penetration of shower enclosures. The penetration of the products is likely to increase as well. Sales of bath screens and shower enclosures are expected to grow.

It is expected that the Ukrainian shower wall market will continue to grow in the long term. The replacement market should grow also, due to naturally existing replacement demand and postponed replacements that should materialise in the coming years. The products sold in recent years have been of a low quality, with short lifespans. As a result, the replacement rate should grow. The shower wall market is relatively small but the increasing interest of consumers in bathroom products and the improved ranges, prices, and designs of products should facilitate steady sales growth.

The market is very sensitive to the political and economic situations and state funding. The political situation has stabilised to a certain extent, and the devaluation of the UAH slowed down in 2017-2019. However, the country is very far from normalisation of the political environment, preventing the country from enjoying needed investments. Taking into account the current budget deficit, it is expected that the government will start to reduce funding for social housing and state projects. Also, due to the current instability, the construction industry should remain under pressure. This is estimated to have an effect on the sales mix as well as overall sales.

4.2 Historical Trends and Forecasts : Shower Wall

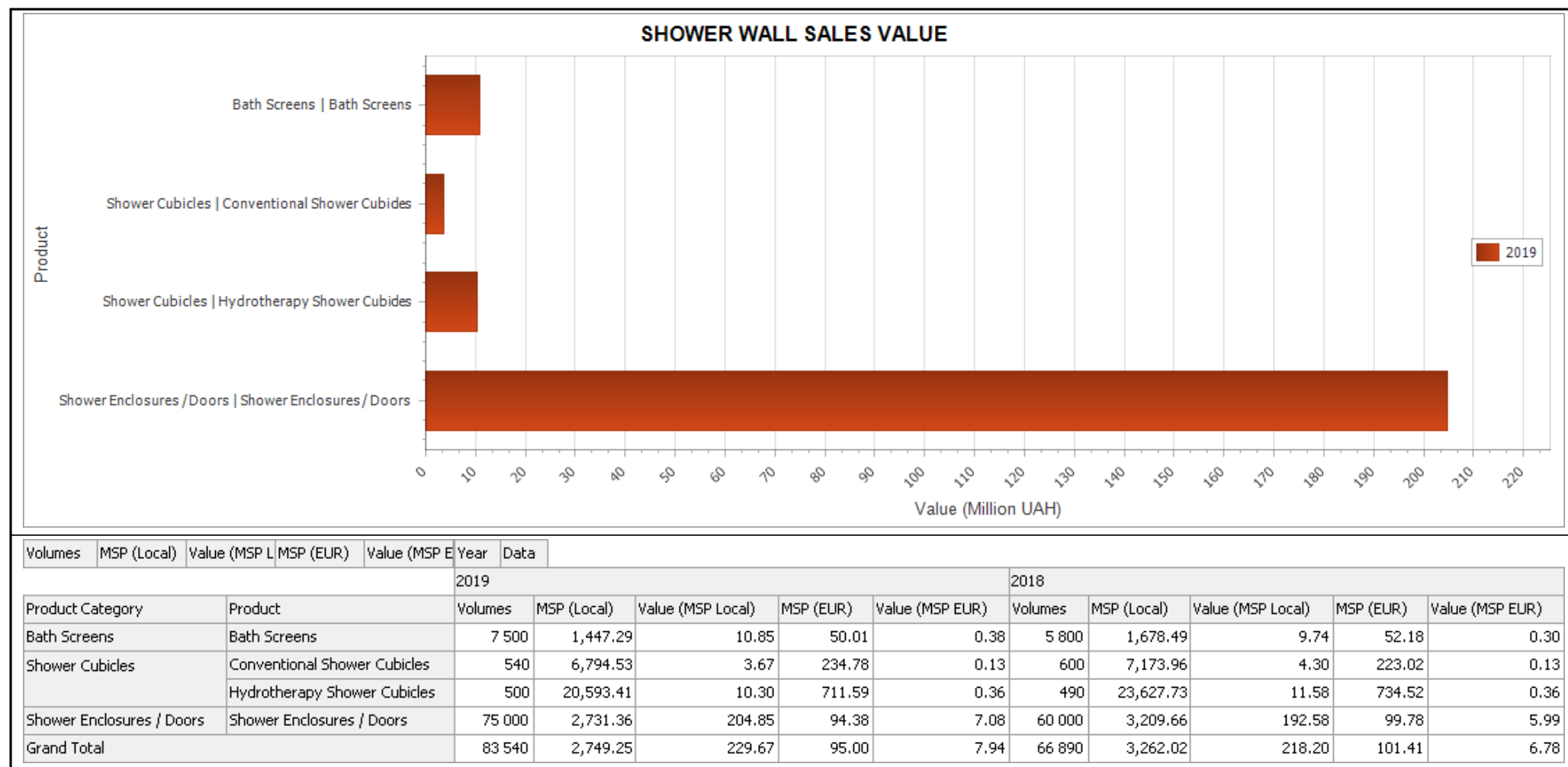
UA - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

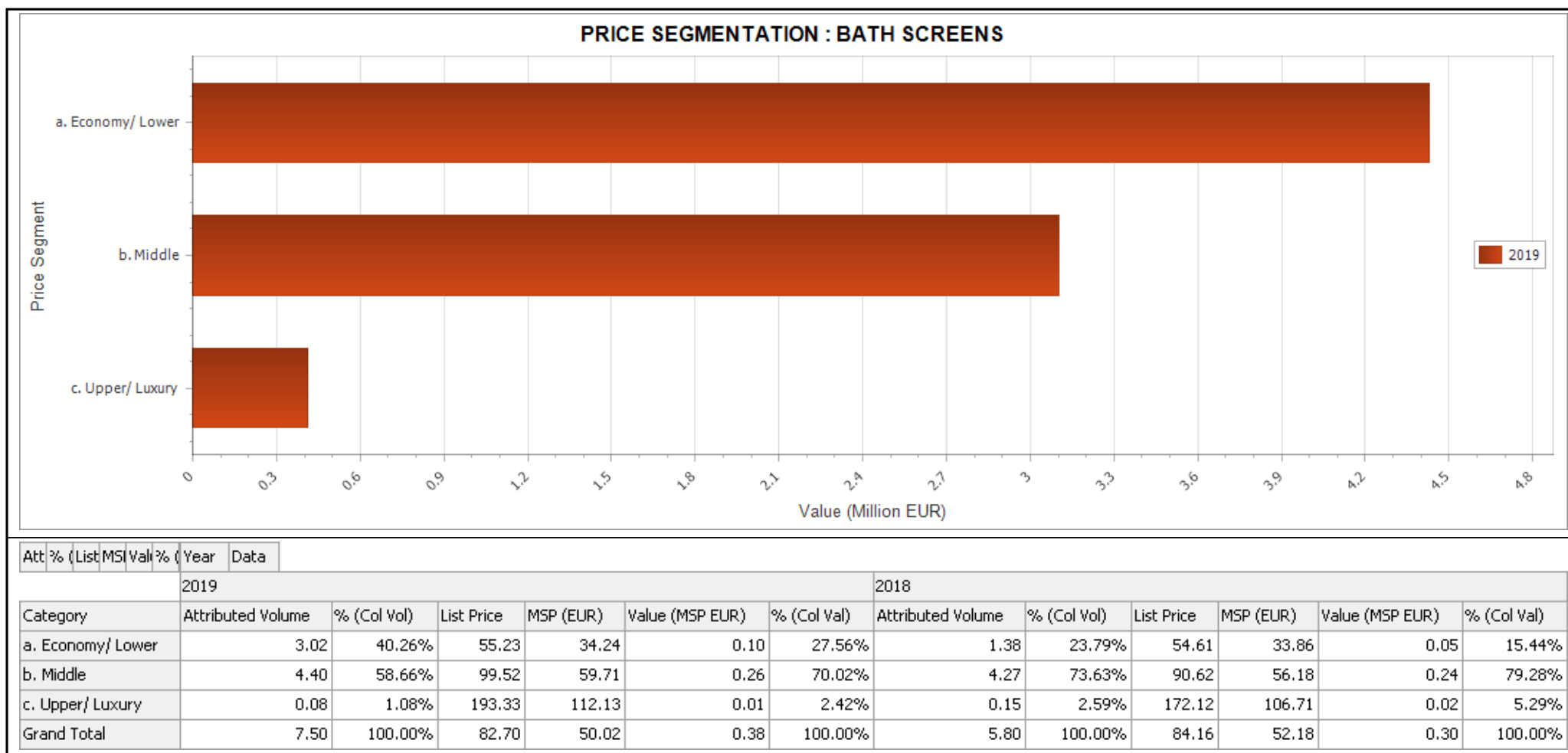
UA - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in UAH. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

UA - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

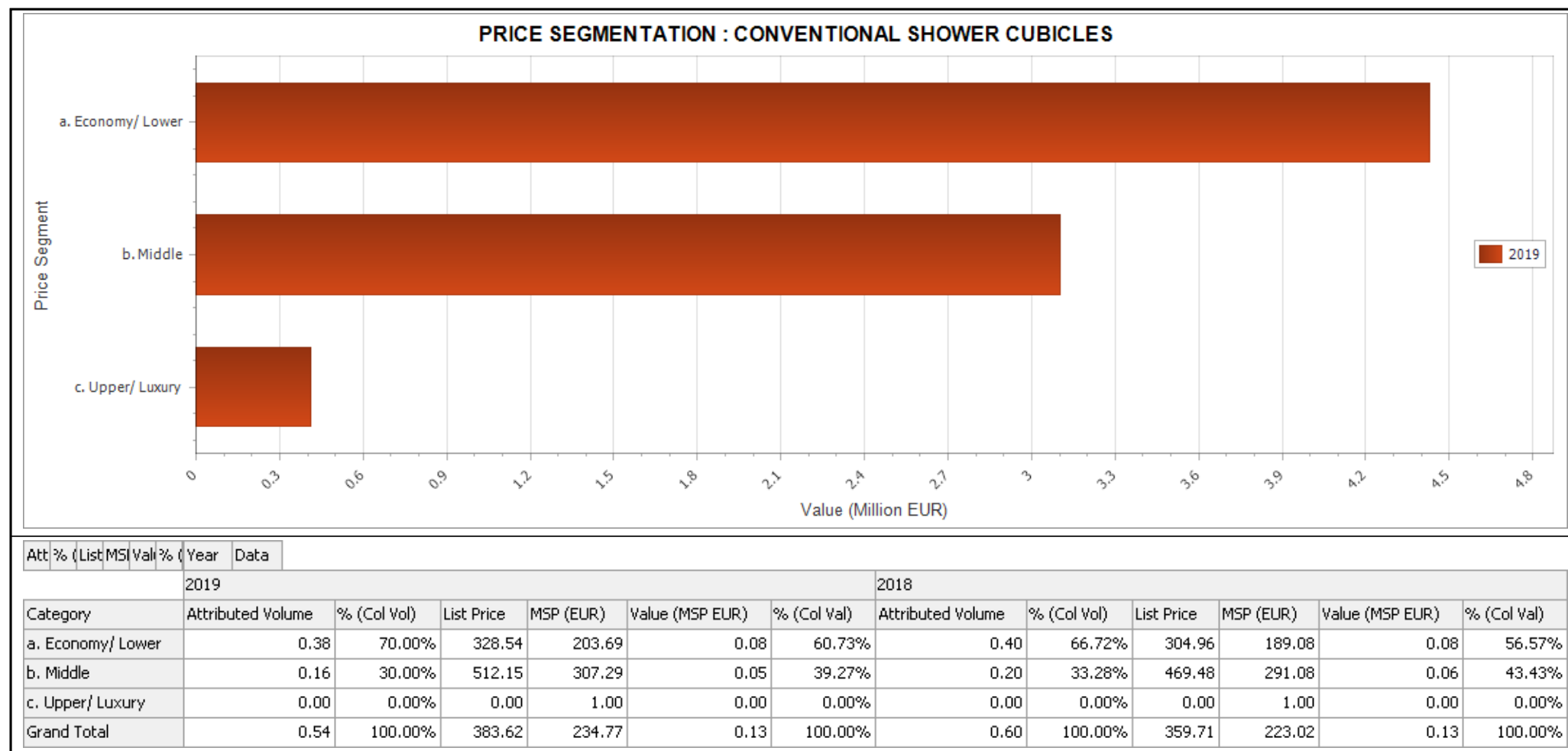


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€70, Upper/ Luxury >€70

4.3.3 Price Segmentation : Conventional Shower Cubicles

UA - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

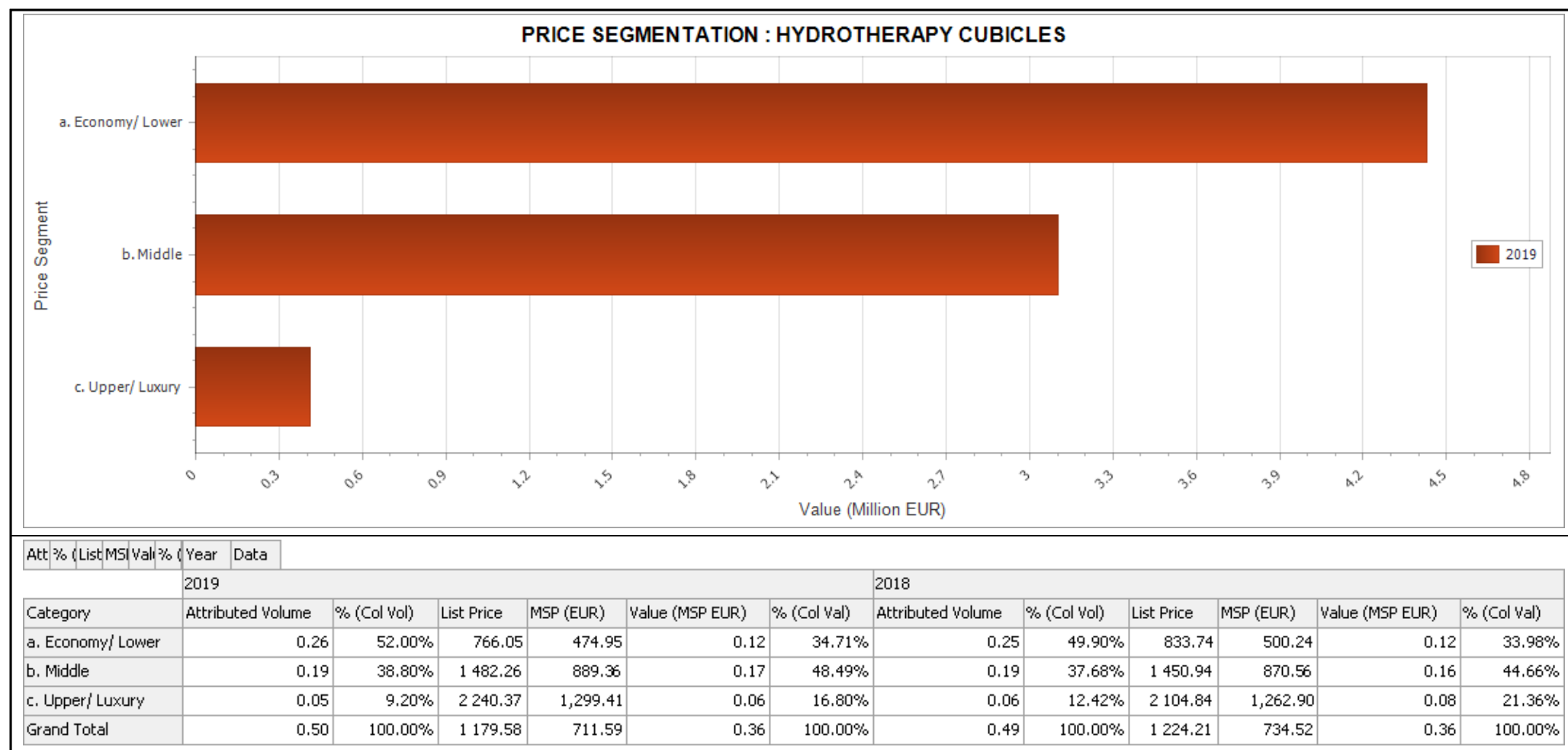


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

UA - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

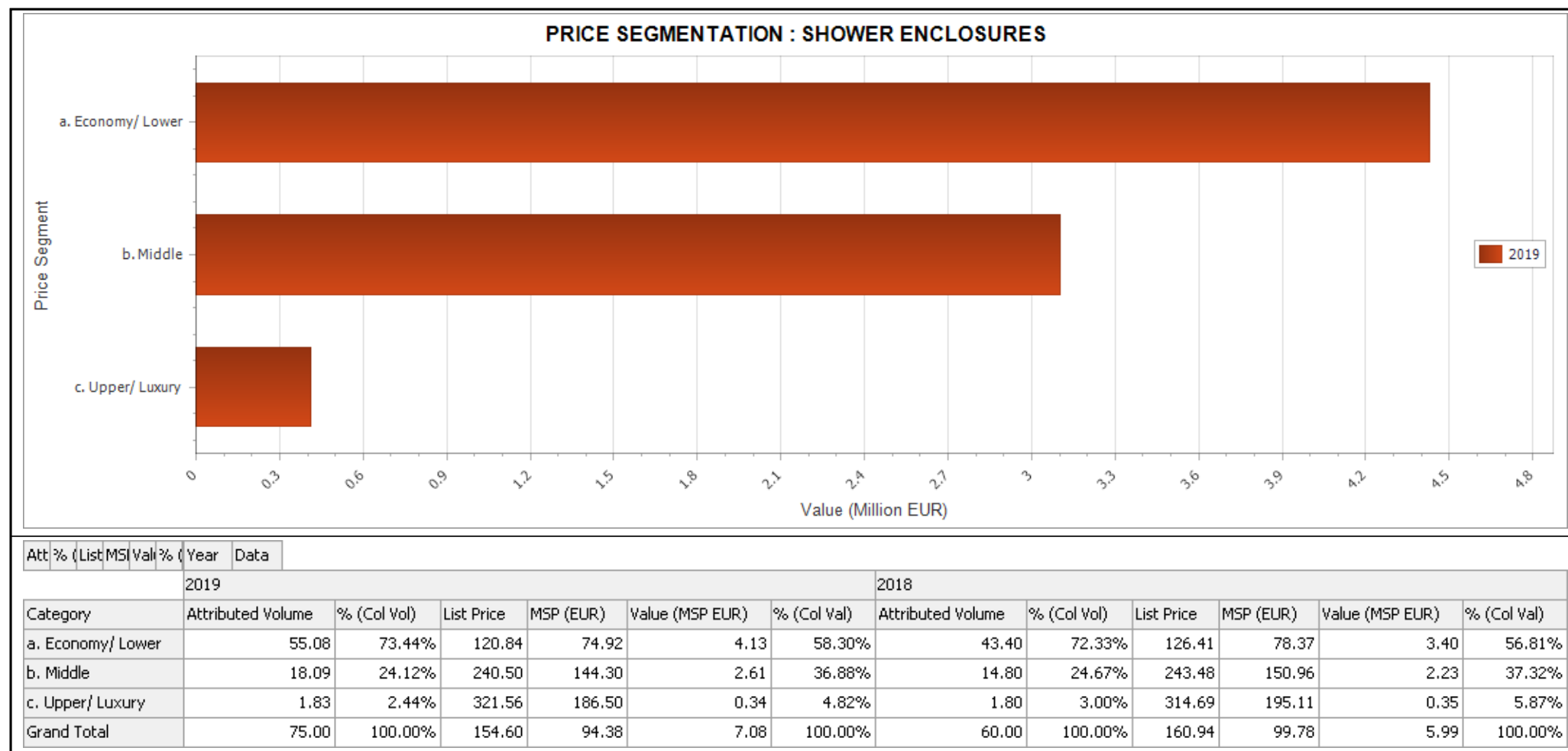


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,200, Upper/ Luxury >€1,200

4.3.5 Price Segmentation : Shower Enclosures

UA - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

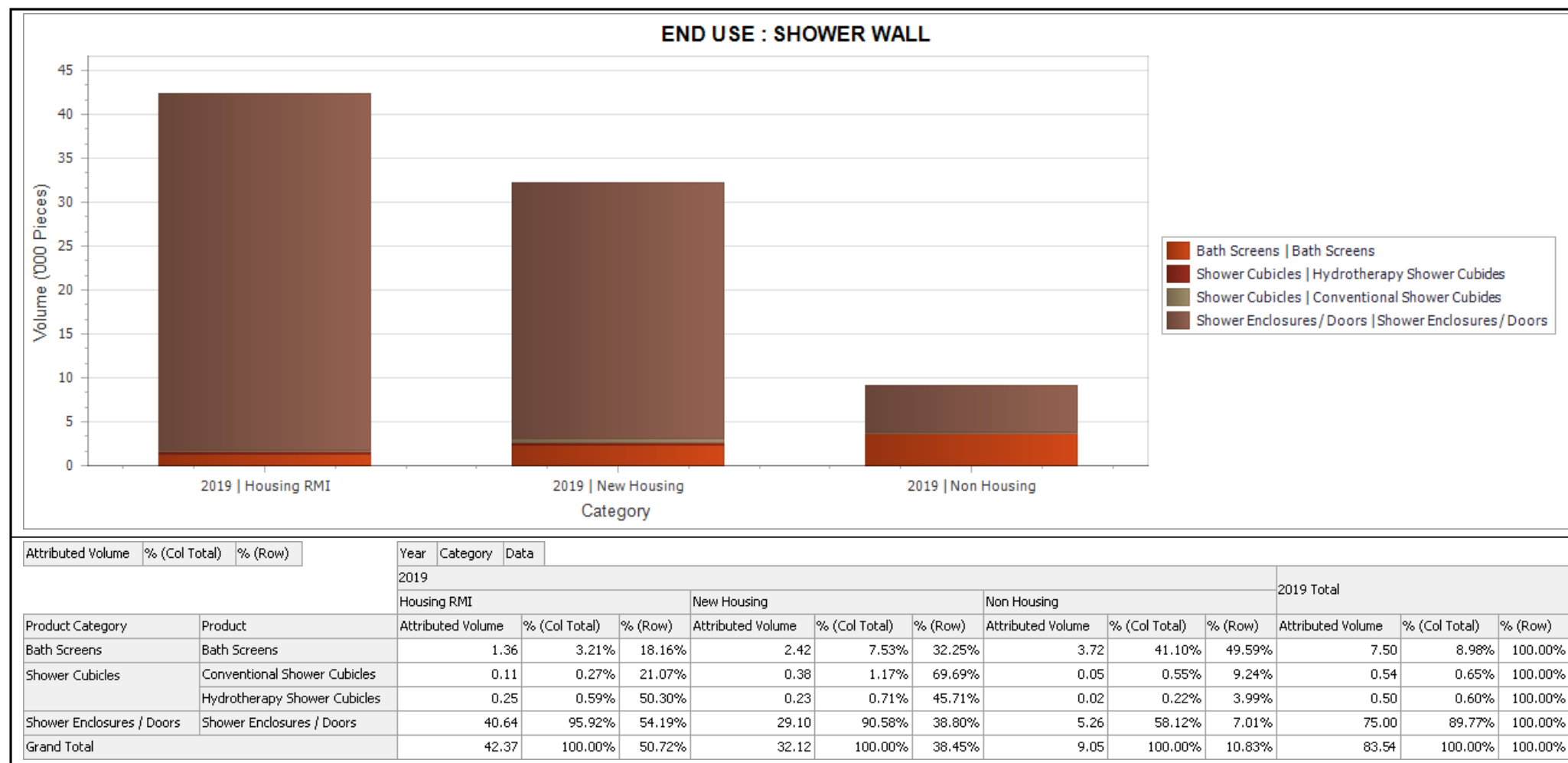


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€180, Upper/ Luxury >€180

4.4.1 End Use : Base Year

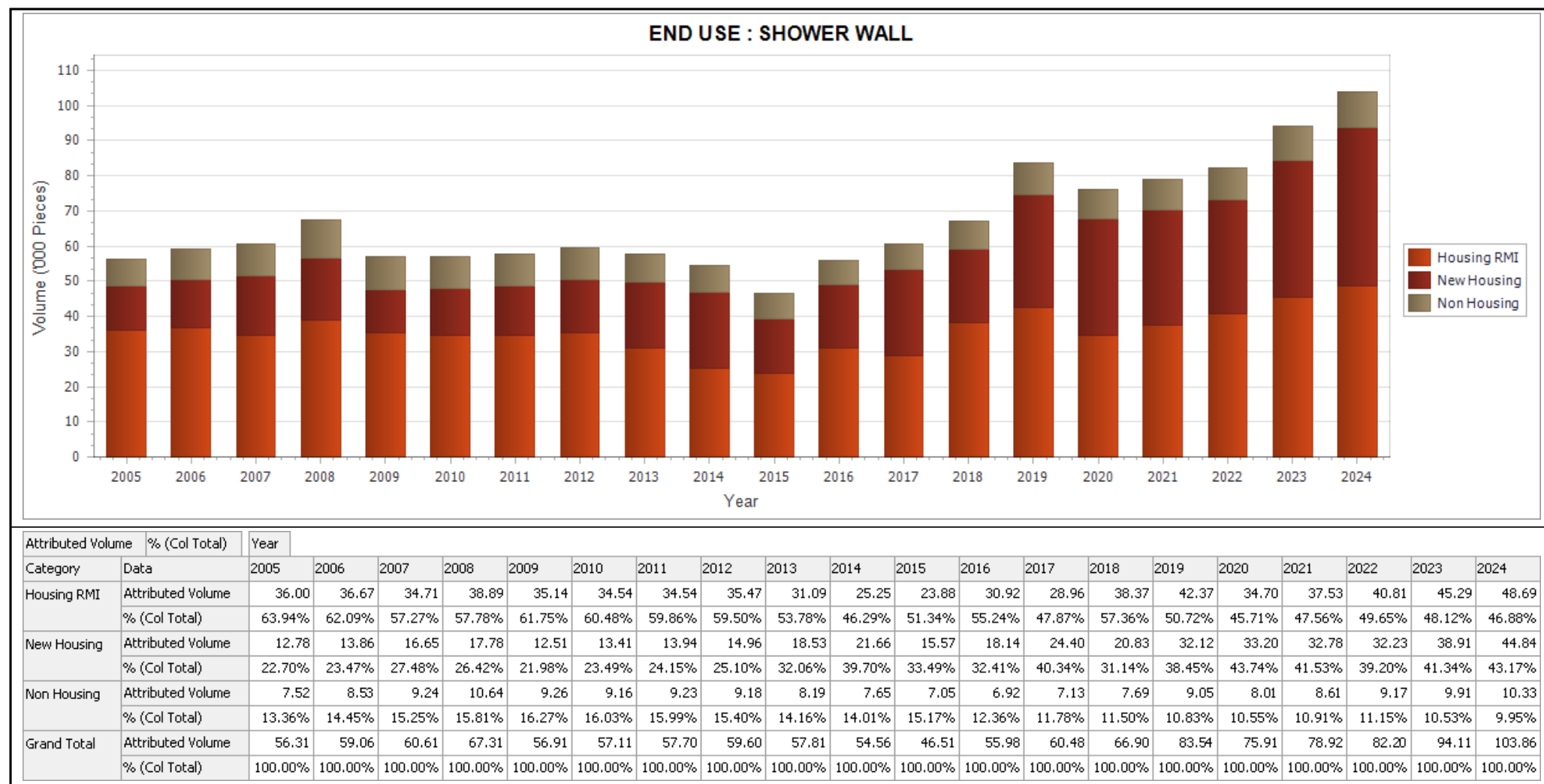
UA - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

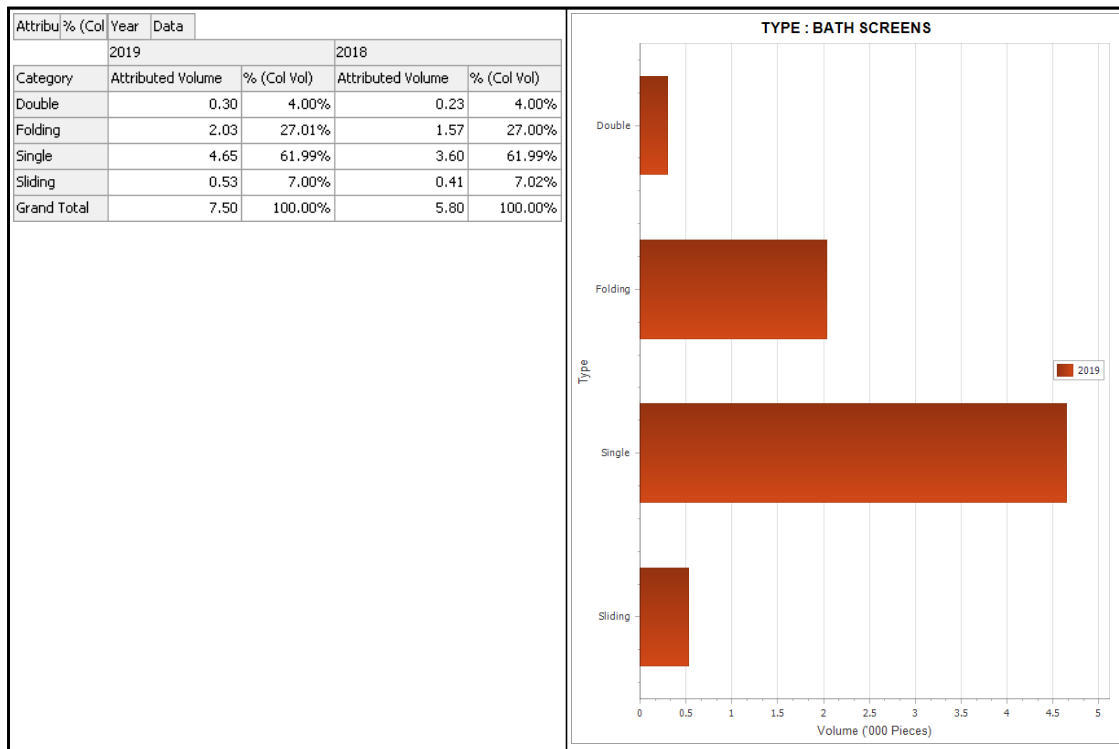
UA - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

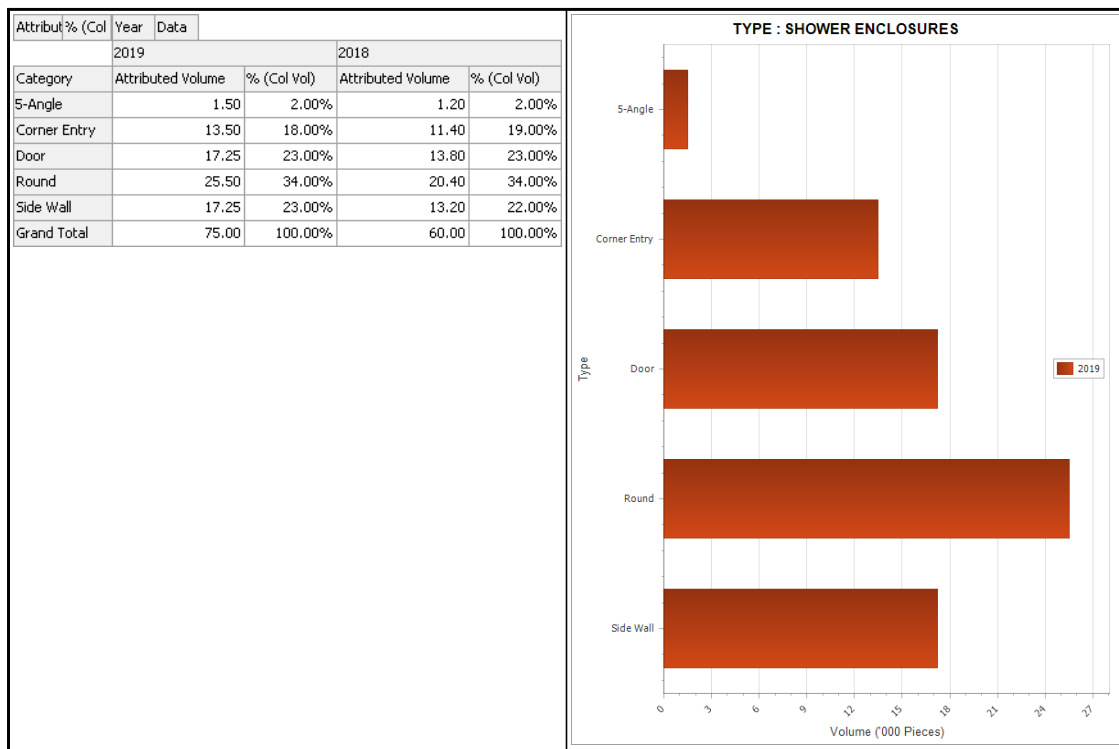
UA - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

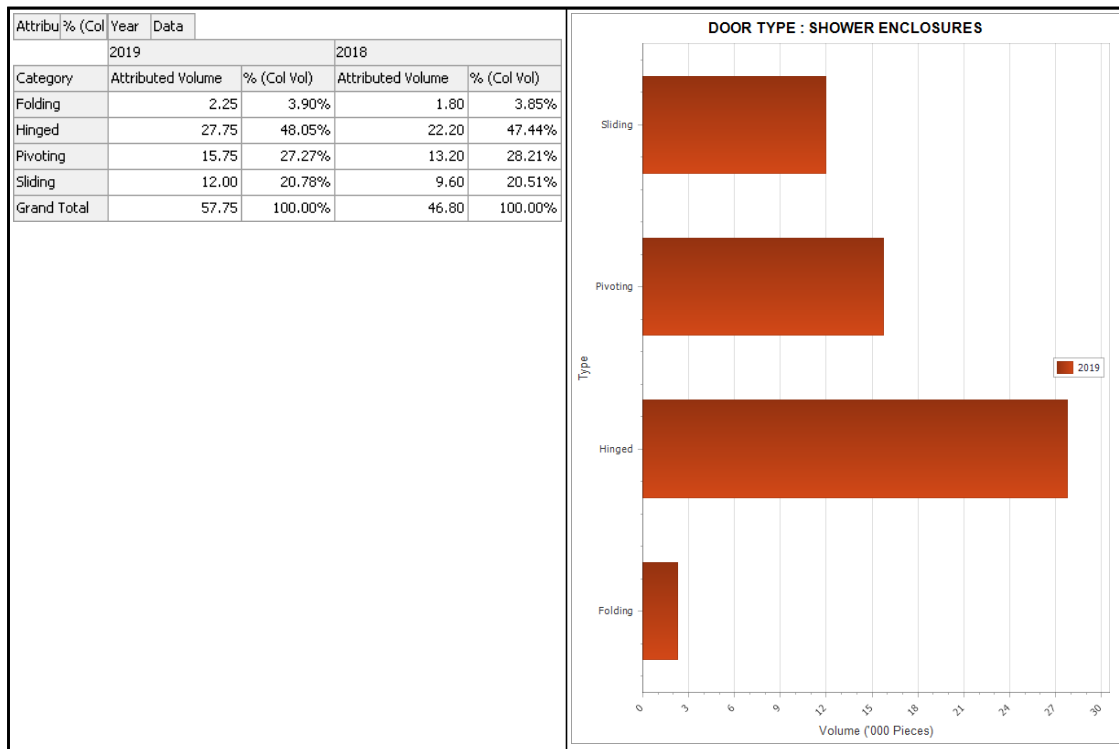
UA - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

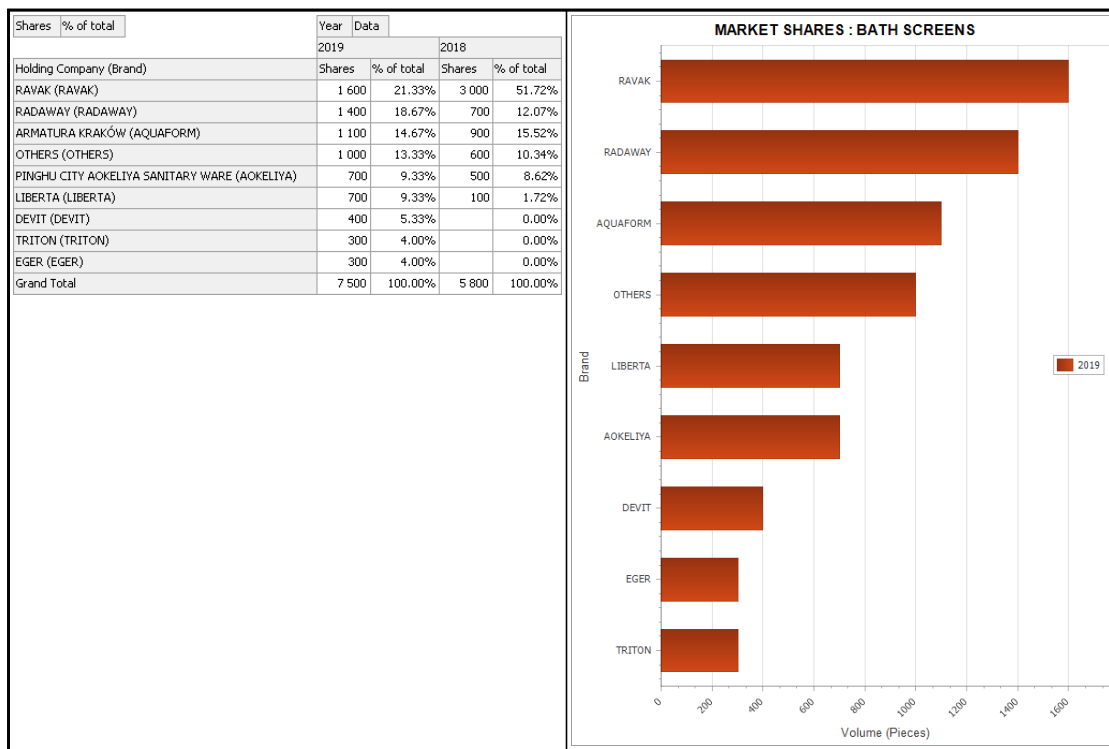
UA - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

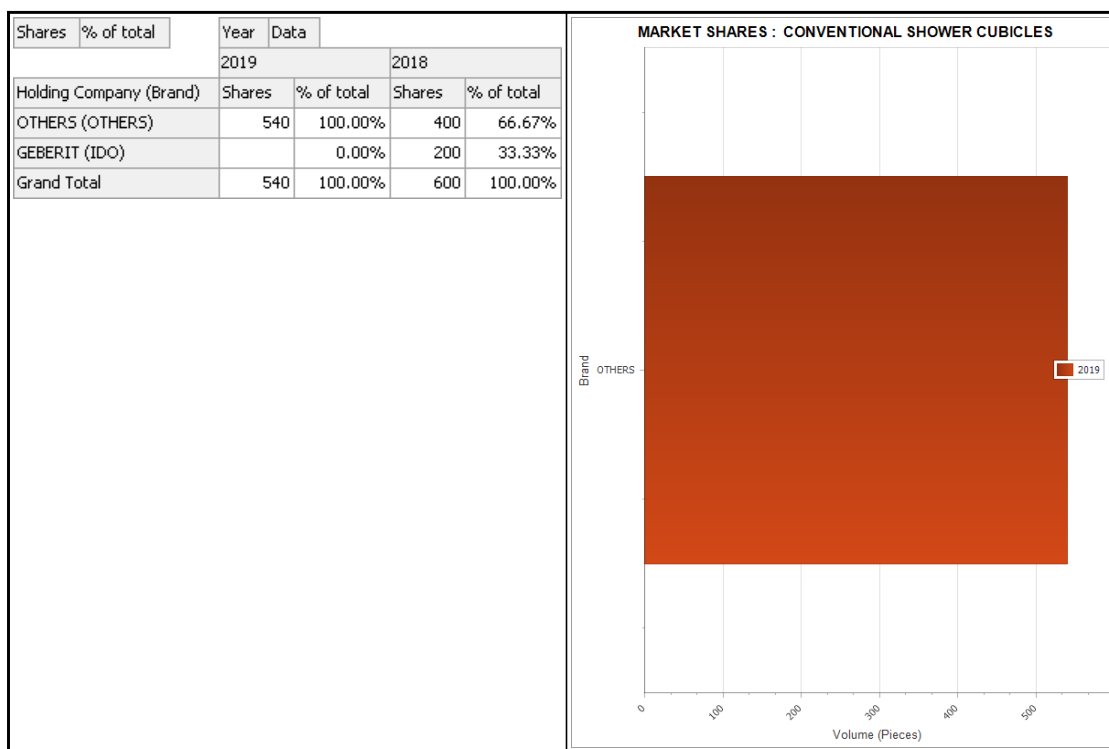
UA - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

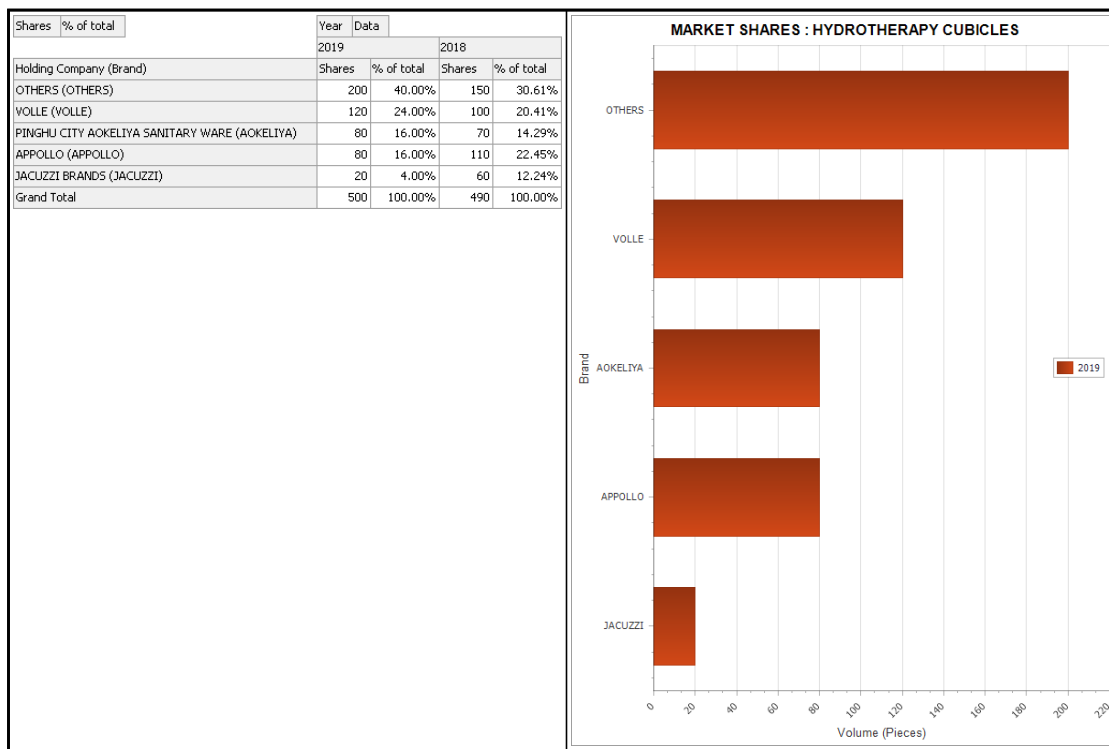
UA - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

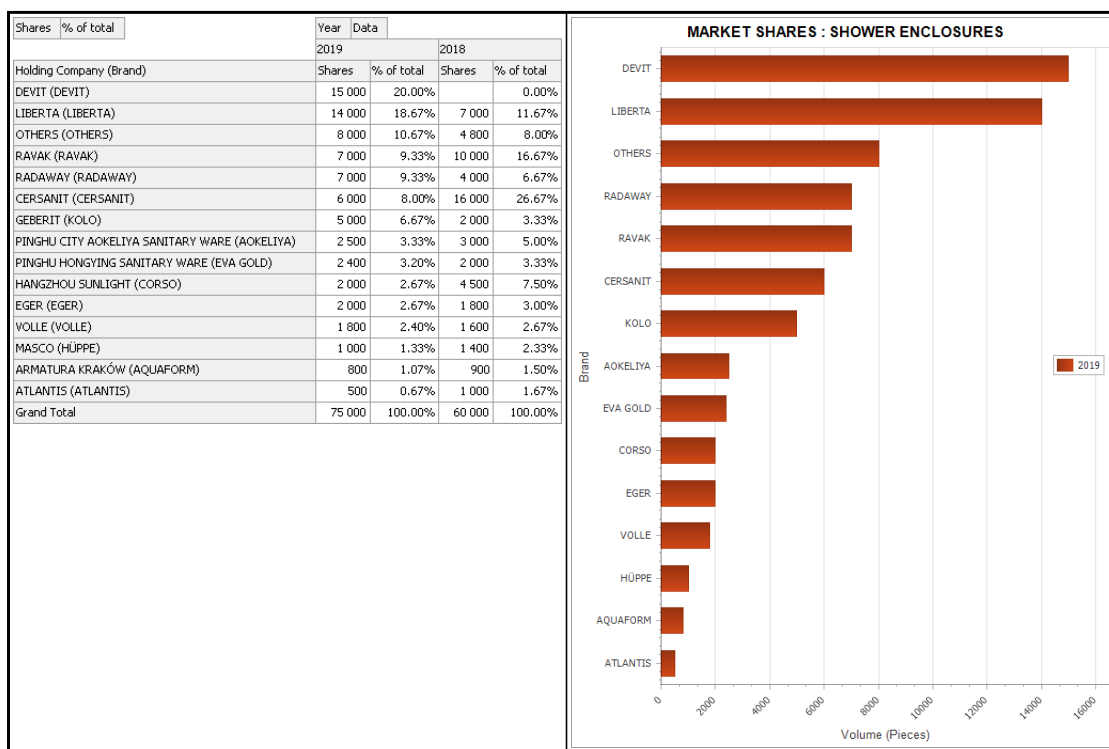
UA - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

UA - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1

Route to Market: Shower Wall
UA - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

91.8%
Wholesalers / Merchants
91.8%

Retail Level

Manufacturer	Wholesaler
0.0%	7.0%
Internet Retailers	
7.0%	

Manufacturer	Wholesaler
8.2%	16.0%
DIY Retailers	
24.2%	

Manufacturer	Wholesaler
0.0%	32.0%
Specialist Retailers	
32.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	0.0%	2.0%	11.0%
Installers				
16.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	29.8%	7.0%	22.2%	21.0%	9.2%
Residential					
89.2%					
New Build			Residential RMI		
38.4%			50.7%		
Project	Non-Project		Project	Non-Project	
37.0%	1.4%		1.0%	49.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.0%	0.0%	0.0%	0.0%	6.8%
Non-Residential					
10.8%					
New Build			Non-Residential RMI		
2.5%			8.3%		
Project	Non-Project		Project	Non-Project	
2.5%	0.0%		7.6%	0.7%	

4.6.2

Route to Market: Shower Wall
UA - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

87.0%
Wholesalers / Merchants
87.0%

Retail Level

Manufacturer	Wholesaler
0.0%	9.0%
Internet Retailers	
9.0%	

Manufacturer	Wholesaler
13.0%	18.0%
DIY Retailers	
31.0%	

Manufacturer	Wholesaler
0.0%	35.0%
Specialist Retailers	
35.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	0.0%	2.0%	7.0%
Installers				
12.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	18.0%	9.0%	29.0%	28.0%	6.1%
Residential					
90.1%					
New Build			Residential RMI		
43.2%			46.9%		
Project	Non-Project		Project	Non-Project	
42.0%	1.2%		1.0%	45.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.0%	0.0%	0.0%	0.0%	5.9%
Non-Residential					
9.9%					
New Build			Non-Residential RMI		
2.0%			7.9%		
Project	Non-Project		Project	Non-Project	
2.0%	0.0%		7.2%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

UA - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

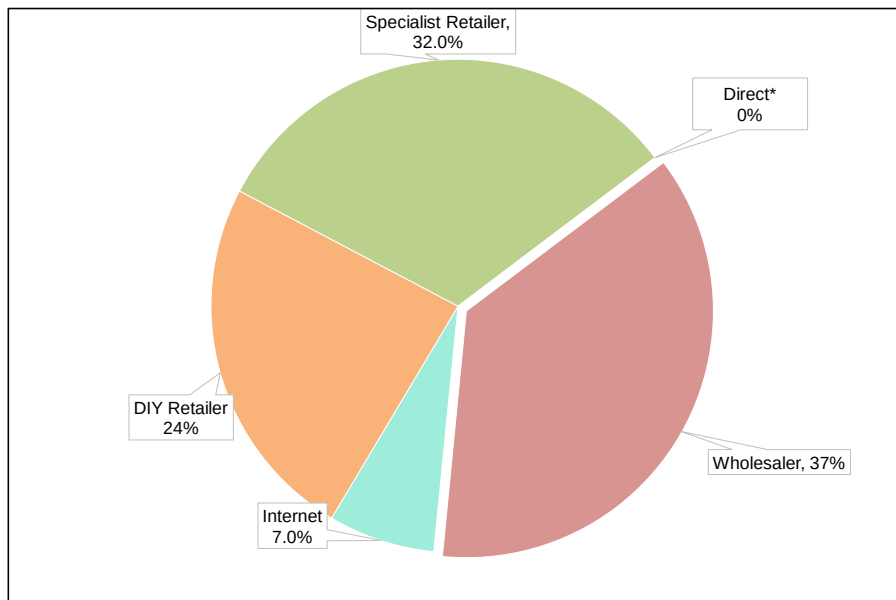
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
36.8%	7.0%	24.2%	32.0%	0.0%	38.0%	10.1%	51.2%	0.7%
100%					48.1%		51.9%	

4.6.4 Route to Market - Consolidated View : Shower Wall

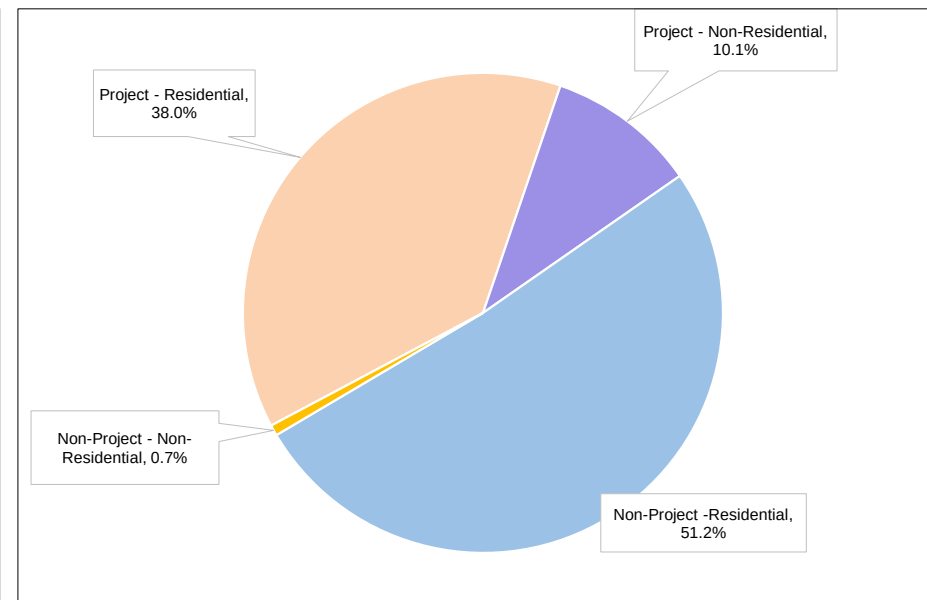
UA - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.0%	9.0%	31.0%	35.0%	0.0%	43.0%	9.2%	47.1%	0.7%
100%					52.2%		47.8%	

UA - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



UA - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



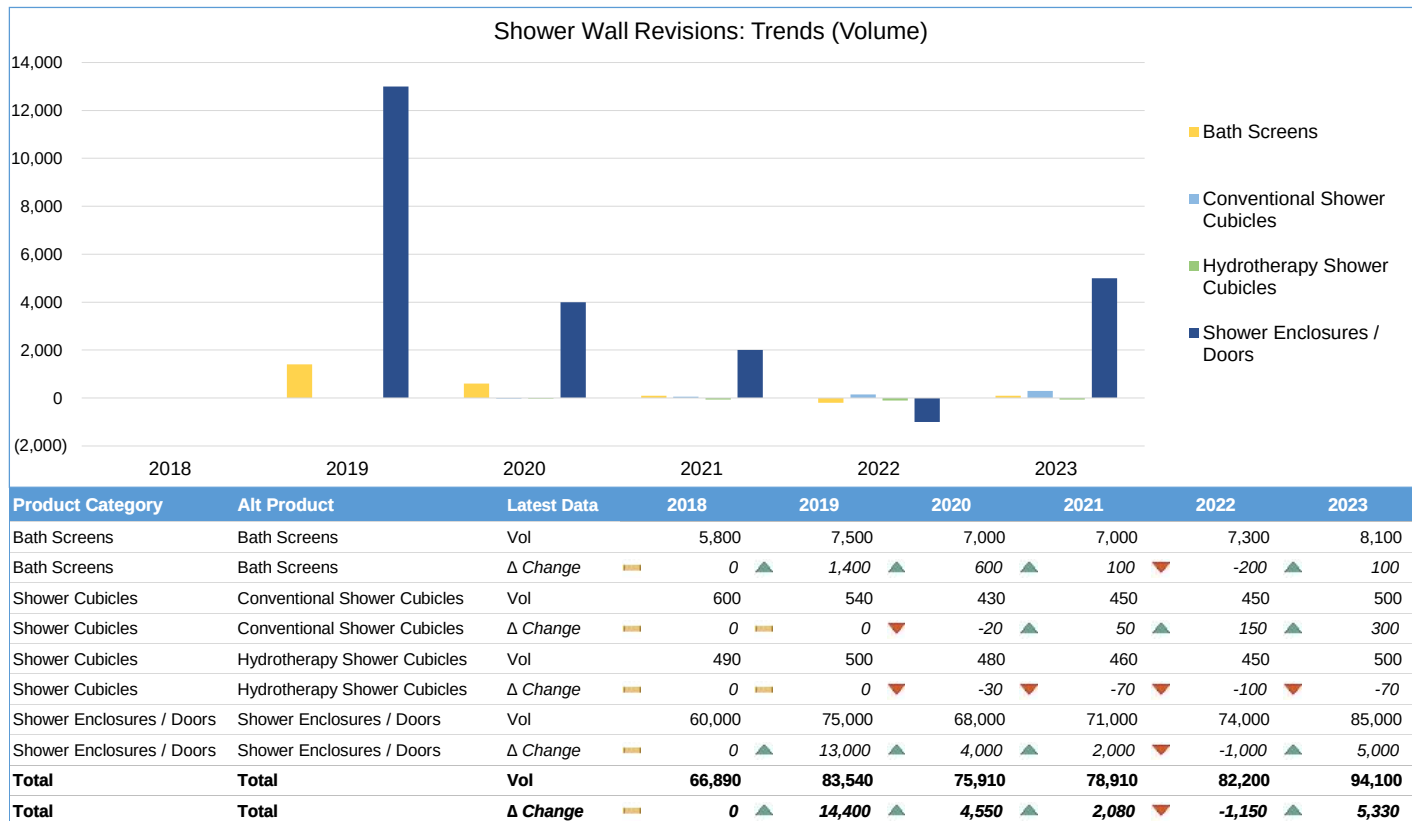
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Ukrainian Shower Wall Market (July 2020)

UA - REVISIONS IN THE UKRAINIAN SHOWER WALL MARKET

Data Comparison: July 2019



Sales of shower enclosures and bath screens have been revised upwards for 2019 due to higher than expected new housing completions.